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INTRODUCTION

Consumer contracts present a fundamental challenge to the law of contracts, arising from the asymmetry in information, sophistication, and stakes between the parties to these contracts: the business and the consumers. On one side stands a well-informed and counseled business party, entering numerous identical transactions, with the tools and sophistication to understand and draft detailed legal terms and design practices that serve its commercial goals. On the other side stand consumers who are informed only about some core aspects of the transaction, but rarely about the list of standard terms. These consumers enter the transaction solely for personal or household purposes without any professional understanding of its legal contours.

Typically, consumer contracts consist of core deal terms, which consumers readily identify as characterizing the transaction (such as price and payment methods, a shorthand description of the product, and a few others), and non-core standard contract terms, which cover a variety of provisions that the business seeks to apply to the transaction. Primary among these non-core terms are provisions that disclaim representations and warranties, limit consumer remedies, qualify the rights of consumers to bring legal actions, and authorize the business to collect, use, and share consumers' personal data. Such standardized terms are frequently referred to as the "fine print" or "boilerplate." It is both irrational and infeasible for most consumers to keep up with the increasingly complex standard contract terms provided by businesses in the multitude of transactions, large and small, entered into daily. Courts expressly recognize the asymmetry between the parties when applying the principles of the common law of contracts to consumer transactions. How courts should address the asymmetry in particular contexts is the subject of this Restatement.

There are many benefits to standard-form contracting, even in such asymmetric environments. The efficiencies of mass production and mass distribution of products and services would be hindered if the terms of each transaction with each consumer had to be individually negotiated. These market efficiencies can benefit all market participants, but the benefits of standard-form contracting are not without risks. Because consumers typically lack the information, sophistication, and incentive to monitor the terms appended to the consumers' transactions, there is a concern that businesses will include terms that are unreasonably one-sided, unfair, and inefficient. In the absence of scrutiny from their customers, businesses might overreach and draft

terms of agreement that undermine some of the value that consumers reasonably expected. Such overreaching might persist even in competitive environments. Accordingly, while the law views standard-form contracting as an effective form of creating legal obligations, it also contains various minimum requirements to protect consumers against overreaching by businesses.

In dealing with this fundamental challenge of potential abuse in asymmetric contracting environments, consumer-contract law deploys several protective techniques. The first set of techniques fits within the doctrine of mutual assent—the rules that determine how a contract is formed, which terms are adopted into the agreement, which terms are being modified, and what processes a business must follow to alert consumers to the terms being introduced and to the consequences of their adoption. The second set of techniques involves mandatory restrictions over the substance of the deal—rules that limit the discretion of the business in drafting contract terms and set boundaries to the permissible terms of contracts. The third set of techniques concerns the alignment between the standard contract terms and the deal that consumers were led by the business to reasonably expect.

Questions relating to these protective techniques have emerged at the forefront of consumer-contract case law in recent decades. In the area of contract formation, technological advances have made it easier for business parties to draft and disseminate lengthy documents with (often self-serving) contractual terms at the initiation phases of consumer transactions, and to modify those terms periodically. Whereas shopping at a grocery store in the brick-and-mortar world entails very few standard contract terms (and many legally supplied gap-fillers), shopping at the online outlet of that store now entails a lengthy list of standard terms. The proliferation of lengthy standard-term contracts, mostly in digital form, makes it practically impossible for consumers to scrutinize the terms and evaluate them prior to manifesting assent. A signature at the bottom of the form, a click of “I Accept,” or some other form of manifestation of willingness to enter the transaction is, at best, a declaration that “I know I am agreeing to something, but I don’t know to what. I trust that if something really bad is buried in the fine print, the law will protect me from its bite.” In such environments, whether the lengthy terms are presented to the consumer before or after the decision to enter the transaction has little bearing on the consumer’s awareness or understanding of the terms, as the process of review and scrutiny has become largely impractical. While courts have allowed businesses to design the format and timing of the

presentation of standard contract terms, they require that reasonable notices be provided to consumers regarding the inclusion of these terms and their contractual nature.

Recognizing, however, that such notices have limited protective effect, a second set of protective techniques—policing the limits of permissible contracting—has emerged at another frontier of consumer-contract law. As standard-form contracts increasingly replace long-standing default rules with provisions drafted by business entities, courts have been called upon to police those contracts' reach. Whether the terms are excessively one-sided and unfair or diverge from the consumer's reasonable expectations as shaped by the business's marketing practices, common-law courts and consumer-protection statutes are establishing a framework for marking the boundaries. One possible approach to the marking of boundaries is a set of presumptions that certain provisions are unfair and unenforceable. This approach, widely followed in foreign jurisdictions, has only limited presence in American law (see, e.g., Uniform Commercial Code (UCC) § 2-719(3)). Instead, under the common law, traditional doctrines like unconscionability and misrepresentation have been applied to police suspect practices and terms relating to the subject matter of the transaction, the remedies that consumers or the business may seek when the transaction fails, choices of law and forum, the business's discretion to specify and adjust contractual obligations, and to many other areas of contracting.

The third category of restrictions protects consumers from standard contract terms that negate or undermine consumers' reasonably expected benefits from the bargain. At the center of this category stand rules that give effect to representations, affirmations, and promises made to consumers, even when meticulous language in the standard contract terms purports to undo such effect.

Because the imbalance between businesses and consumers is so great, the application of contract law's general rules of mutual assent and adoption of terms is not likely to level the playing field. In a world of lengthy standard forms, which consumers are unlikely to read, more restrictive assent rules that demand more disclosures, more notifications and alerts, and more structured templates for manifesting assent, while required by courts, are unlikely—even if businesses comply with them—to produce substantial benefit for consumers. Similarly, outside the common law, the UCC's rule that disclaimers of implied warranties become effective and are adopted as part of the contract only if made in a conspicuous manner has bred lengthy disclaimer paragraphs in ALL CAPS typeface, but again without curing the imbalance between the business and the

consumer. As the length and incidence of standard-form contracts have grown, it has become all the less plausible to expect consumers to read and take informed account of the contracts' provisions. In these environments, strengthening the disclosure requirements emanating from contract law's general rules of mutual assent would not prompt consumers to read the terms, to carefully weigh them, and to ultimately make more prudent contracting decisions. Since advance disclosure of standard terms generally does not render the assent process any more meaningful, the "opportunity to read" technique, which courts have embraced, is quite ineffective in consumer contracts. Some observers have even argued that mandating more disclosures might backfire by creating a false presumption of meaningful assent, thus undercutting the second policing technique—the ex post scrutiny of contract terms.

Despite the limited effectiveness of the assent doctrine and of advance disclosure rules in producing environments of informed consent, courts have—without exception—endorsed and enforced standard-form contracts, as long as some necessary protective requirements are met. This Restatement states the requirements developed by common-law courts (based on traditional common-law contract principles) for the adoption of standard contract terms into consumer contracts. The requirements focus on the timing, format of presentation, context, process, flow, and substance of the notifications consumers receive regarding the existence of terms applying to the transaction. The goal of these court-developed requirements has been to afford consumers a meaningful opportunity to review the terms and to avoid the transaction, and thus ensure the valid adoption of these terms as part of the consumer contract. While some variation exists among courts and jurisdictions concerning the necessary substance and scope of the notifications accompanying the presentation of standard contract terms, this Restatement presents a comprehensive set of requirements unifying this common-law jurisprudence. Satisfaction of such requirements does not impose significant burdens on businesses or consumers interested in quick, streamlined completion of transactions. Adherence by businesses to these procedures would provide certainty surrounding the process of adoption of standard contract terms.

Meeting the threshold for adoption of the standard contract terms is not the only necessary step in creating enforceable contractual obligations. Because the rules of mutual assent and adoption of standard contract terms are limited in their ability to protect consumers from abusive deals, common-law courts have sought to address the concern about potential abuse in asymmetric contracting environments through additional techniques. Beyond the minimum requirements

relating to the manner in which the agreements are presented to consumers and to the conspicuousness of the alerts that consumers receive, courts have developed standards under which intolerable terms are refused enforcement and have policed against deceptive acts even when terms pass through the filters of mutual assent and adoption. Through the common-law doctrines of unconscionability and reasonable expectations, courts have been limiting the effect of unfair standard contract terms. Accordingly, in addition to the rules governing the adoption of standard contract terms, this Restatement unifies and presents the primary common-law restrictions over the substance of those terms.

In recent decades, an important question regarding the scope of the unconscionability safeguard is the effect of limits (stipulated in standard contract terms) on the ability of consumers to pursue a complaint or to seek reasonable redress, particularly by channeling disputes to arbitration or barring class actions. Many courts have held that imposing express or de facto class-action bars on consumers is unconscionable, because such limitations render the enforcement of low-stake individual contractual rights impractical. Recently, however, the enforceability of arbitration terms and class-action waivers has turned also on the provisions of various federal statutes. One such statute is the Federal Arbitration Act (FAA), which has been held by the United States Supreme Court to preempt, in some cases, the application of the common-law doctrine of unconscionability to arbitration clauses.

The interpretation of the FAA and of other federal rules that regulate the procedures for consumers' access to justice is outside the scope of the common law of consumer contracts. This Restatement states the rules that, in the absence of constraints of federal law, guide the application of the doctrine of unconscionability under state law. It thus takes no position on the proper application of the Federal Arbitration Act or other statutes governing enforceability of or limits on arbitration provisions and the way such statutes affect the application of the unconscionability standard.

The ex post scrutiny of permissible contracting, as well as the scrutiny of standard contract terms that conflict with other promises and representations made to consumers, are not intended to be (nor can they feasibly operate as) a replacement for private ordering. Parties are allowed to design their transactions, and standard contract terms—despite being invisible to most consumers—are an indispensable part of the transaction. Parties may agree to bargain-basement terms, if they so wish, and for the right price. The ex post scrutiny by courts is only intended to

uproot terms so unfair that they would be unlikely to survive in an environment of meaningful free choice or that stealthily peel off the value that consumers bargained for.

Consumer-contract law as developed by courts was famously characterized by Karl Llewellyn as consisting of two complementary prongs: first, manifestation of assent to, along with rigorous scrutiny to protect the spirit of, the bargained-for deal (“the dickered terms”), and second, a fairly streamlined adoption of standard contract terms (the “supplementary boilerplate,” in Llewellyn’s words). Llewellyn recognized that the manifestation of assent to a consumer contract often results also in the adoption of standard contract terms even if the vast majority of consumers are not meaningfully informed of the content of these terms. This recognition has become all the more relevant and concerning in the digital era, when businesses can draft longer lists of terms and attempt to incorporate them into the transactions more often. Llewellyn recognized that common-law courts enforce the standard contract terms only if they “do not alter or eviscerate the reasonable meaning of the dickered terms.” Karl N. Llewellyn, *The Common Law Tradition: Deciding Appeals* 370 (1960).

This Restatement offers a roadmap to the implementation and augmentation of Llewellyn’s approach, which continues to accurately characterize the approach taken by courts. At the front end, when consumer contracts are formed, courts require that consumers receive adequate opportunity to review the terms (and adequate notices of this opportunity and of the fact that such terms would be part of the contract). At the back end, when consumer contracts are enforced, courts scrutinize the standard contract terms to ensure that they are not unreasonable.

This Restatement reflects the common-law “blanket assent” principle, whereby courts allow businesses to draft and affix standard contract terms to the transaction, as long as they provide consumers with adequate notices and opportunity to review the terms as well as a meaningful opportunity to avoid the transaction. At the same time, this Restatement identifies the doctrines and rules arising from common-law jurisprudence, which restrict the effect of standard contract terms by prohibiting businesses from imposing intolerable terms or undermining the core bargain presented to consumers either as part of the dickered terms or in precontractual communications.

In restating the rules that apply contract law to consumer contracts, this Restatement relies on the common-law principles that have been guiding courts in adjudicating consumer contract disputes. Those principles were originally found in the Restatement of the Law Second, Contracts

(and often reflect the statutory provisions of the UCC) but have evolved and been applied by the courts in particular and important directions that are specific to consumer contracts and are restated in this Restatement.

When appropriate and consistent with the common law of contracts and the UCC, the rules of this Restatement also reflect the principles of fairness and anti-deception guiding consumer-protection statutes and regulations, just as the UCC influenced provisions of the Restatement of the Law Second, Contracts. See Restatement of the Law Second, Contracts, Foreword. The principles that guide this latter body of law are derived from general policing doctrines of the common law and are manifested in several Sections of this Restatement that protect consumers by enforcing the bargain as presented to them, even when some elements are missing from, or qualified in, the standard contract terms. The two bodies of law that address consumer contracts—the general common law of contracts and statutory and regulatory consumer-protection law—appear together in many litigated cases and have been implemented by the courts as a matter of contract law. The present document promotes a greater conceptual unity across these two branches of contract law. See *Moragne v. States Marine Lines, Inc.*, 398 U.S. 375, 392 (1970) (“It has always been the duty of the common-law court to perceive the impact of major legislative innovations and to interweave the new legislative policies with the inherited body of common-law principles—many of them deriving from earlier legislative exertions.”).

The challenges posed by consumer contracts have heightened over the past generation as courts have adapted traditional contract-law rules to consumer contracts. To track this development, this Restatement follows the traditional American Law Institute methodology and bolsters it with an additional layer of transparency. Primarily, this Restatement follows leading court decisions, eliciting from them the guiding rationales. It clarifies the policy goals underlying the rules applied by courts and develops their conceptual implications to accord them greater clarity and coherence. In addition, and in order to confirm that the rules identified through this primary method indeed reflect the “law in action,” the Reporters read the entire body of contract-law decisions relating to consumer contracts and to a number of the rules of this Restatement—higher-court as well as lower-court decisions, both state-court and federal-court (applying state law) cases, published and unpublished, and holdings as well as dicta, made available in online legal-research directories and from secondary sources. By looking at all the information flowing from case law and carefully organizing it according to outcomes, rationales, and influence, this

methodology made it possible to examine with greater subtlety the emerging rules, their impact, and their prominence. It decreases the possibility that important or well-reasoned cases may have been missed and allows a closer consideration of the evolution of the doctrine to better understand how courts are addressing key issues. We thus present a Restatement that reflects the rules as elicited from the most influential and persuasive court decisions, along with the assurance that these rules have indeed been widely accepted by the courts in the many jurisdictions throughout the United States. It is important to emphasize that the examination of the entire body of case law does not replace or modify the traditional legal analysis—the craft of discovering the DNA of the law through experienced and informed reading of persuasive sources. Rather, the full landscape view bolsters the traditional approach with an added measure of comprehensiveness and transparency. The traditional method of legal reasoning is reflected in the black letter and explicated in the Comments to the Sections of this Restatement. The comprehensive analysis of the entire case law is explained and reported in Reporters’ Notes accompanying the relevant Sections.

As explained above, this Restatement draws on common-law principles that have antecedents in the Restatement of the Law Second, Contracts. The application by the courts of those existing principles in the area of consumer contracts produced the rules that are restated here. In restating these rules in the consumer context, the present document seeks to provide courts with more tailored guidance in adjudicating consumer-contract disputes than the Restatement of the Law Second, Contracts, offers, reflecting developments in consumer-contract law since the completion of the Restatement of the Law Second, Contracts. Importantly, this Restatement does not purport to cover all possible aspects of a consumer-contracts case. The Restatement of the Law Second, Contracts, continues to provide valuable guidance on general contract-law questions in the consumer context that are not covered in this Restatement. Moreover, as the case law on consumer contracts continues to develop, this Restatement does not seek to cement the rules governing this body of law and stifle their evolution. Rather, this Restatement clarifies and unifies the principles that underlie several decades of jurisprudence in the field, establishing a coherent basis for the field’s further development.

This Restatement is organized as follows: Section 1 defines key terms, states the scope of this Restatement, and provides a roadmap of this Restatement’s structure and provisions. The first substantive rule is the provision on the adoption of standard contract terms in § 2. The rule in § 2

reflects an approach, widely embraced by a large majority of courts, that enables businesses to design the terms of the transaction, as long as they provide reasonable notice and meaningful opportunity to review the terms and to avoid the transaction. This rule is complemented by a related provision in § 3, extending similar principles to the adoption of modifications of standard contract terms.

The remaining Sections comprise a set of rules that rely on ex post scrutiny by courts to limit the risk of abuse. Section 4 restates the rules of interpretation and construction from the Restatement of the Law Second, Contracts, that are most relevant to consumer contracts, including interpretation against the drafter and the duty of good faith and fair dealing. Section 5 addresses the problem of open-ended terms, which grant the business unrestricted discretion to specify and adjust its obligations. Section 6 is the unconscionability rule, providing the framework for refusing enforcement of terms that unreasonably favor the business and unfairly surprise the consumer. Section 7 deals with the problem of deception, whereby the standard contract terms conflict with explicit affirmations or promises made to the consumer. Section 8 includes the rules regarding the legal consequences of precontractual affirmations of fact and promises. Section 9 creates presumptions of integration for standard contract terms (under the parol-evidence rule) and explains how such presumptions are rebutted by prior affirmations of fact or promises. And § 10 completes this list of anti-abuse provisions by stipulating the effects of striking terms out of contracts and related remedies.

§ 1. Definitions, Scope, and Outline

(a) *Definitions.*

(1) **“Consumer”**: An individual acting primarily for personal, family, or household purposes.

(2) **“Business”**: An individual or entity other than a consumer that regularly participates in or solicits, directly or indirectly, transactions with consumers.

(3) **“Contract”**: A promise or set of promises for the breach of which the law gives a remedy, or the performance of which the law in some way recognizes as a duty.

(4) **“Consumer contract”**: A contract between a business and a consumer, other than an employment contract.

(5) **“Standard contract term”**: A term, relating to a consumer contract, that has been drafted prior to the transaction for use in multiple consumer contracts.

(6) **“Affirmation of fact or promise”**: Any express or implied statement or representation about a transaction, including but not limited to statements or representations about quantity, quality, characteristics, utility, price, discount, comparative cost, service, and remedy, intended to reach consumers, including statements or representations made in negotiations, advertising, brochures, or labels, or in any record accompanying the transaction, but excluding statements or representations that would be reasonably understood by consumers as “puffing” or statements of belief not founded on fact.

(7) **“Good faith”**: Honesty in fact and the observance of reasonable commercial standards of fair dealing.

(b) *The Reasonableness Standard.*

When a rule in this Restatement depends on whether an action or other feature of the parties’ conduct or communications is “reasonable,” reasonableness is determined on the basis of the totality of the circumstances, including consideration of the ordinary behavior, perspective, and expectations of consumers engaged in the type of transaction at issue, and the consumer’s interaction with the business.

(c) *Scope.*

This Restatement restates the common law of contracts as courts have applied it in the context of consumer contracts. It restates the approach courts have taken to determine which terms are adopted as part of the contract and whether those terms are enforceable.

(d) *Relation to the Restatement of the Law Second, Contracts.*

The entire Restatement of the Law Second, Contracts, applies to consumer contracts, and provides additional rules and principles, including rules of mutual assent, interpretation, avoidance, and remedies not included in this Restatement. Provisions from the Restatement of the Law Second, Contracts, that are particularly suited to the interpretation and construction of consumer contracts include § 206 on interpretation against the drafter and § 211(3) on protecting the reasonable expectations of the consumer.

(e) *Relation to Statutory Law.*

This Restatement applies to consumer contracts, except to the extent a matter is governed by, or application of the rules of this Restatement is displaced by, statute, regulation, or other discrete body of law. It restates contract-law principles under state law and takes no position on the proper relationship between statutory or regulatory requirements and those principles. In particular, this Restatement neither interprets nor determines the scope or application of provisions of the Uniform Commercial Code.

(f) *Outline.*

This Restatement provides specific guidance on the following issues:

- (1) contracts to which this Restatement applies and the definition of this Restatement's key terms (§ 1);
- (2) adoption of standard contract terms in a consumer contract to which a consumer manifested assent (§ 2);
- (3) adoption of a modification of the standard contract terms in a consumer contract (§ 3);
- (4) interpretation and construction of consumer contracts (§ 4);
- (5) terms in a consumer contract that grant a business discretion (§ 5);
- (6) terms in a consumer contract that are unenforceable on grounds of unconscionability (§ 6);

(7) terms in a consumer contract that are unenforceable on grounds of deception (§ 7);

(8) affirmations of fact and promises that are part of the consumer contract (§ 8);

(9) application of the parol-evidence rule to consumer contracts (§ 9); and

(10) effects of derogation from mandatory provisions (§ 10).

(g) Rules Cumulative.

Standard contract terms that satisfy the requirement for adoption under §§ 2 and 3, or are subject to appropriate limits of discretion under § 5, are interpreted and construed under the rules provided in § 4, and may be unenforceable under the rules provided in §§ 6 to 9 or under any other rules of contract law, or other statutory or regulatory provisions.

Comment:

1. *“Consumer” defined.* The definition of “consumer” follows Uniform Commercial Code (UCC) § 1-201(b)(11).

2. *“Business” defined.* An individual or any type of entity can be a “business” under this Section. Cf. UCC § 1-201(b)(27) (defining “Person”). A “business” is an individual or entity that regularly participates in or solicits, directly or indirectly, transactions with consumers. The definition of “business” is consistent with the definition of “merchant” in UCC § 2-104(1), subject to two qualifications: (i) a “business” may also deal in transactions other than those involving goods (for example, it may deal in services, real estate, and information products); and (ii) a “business” is covered by this Restatement only to the extent that it deals with consumers, not with other merchants.

3. *“Contract” defined.* The definition of “contract” follows Restatement of the Law Second, Contracts § 1.

4. *“Standard contract terms” defined.* The definition of “standard contract term” focuses on the pre-drafting factor, which captures a key feature of consumer contracts: their multi-transaction application. Pre-drafting also implies that there is no negotiation between the business and the consumer over the language of those terms. See § 6(b)(2). In some cases, negotiation of the standard contract terms is present, as when the consumer has meaningful choice on which version of a pre-drafted standard term applies or is meaningfully able to choose to avoid a particular subset of pre-drafted terms. In other cases, tailoring of the standard contract terms is

present, as when the terms are tailored per consumer based on personal information or specific characteristics known to the business. Such negotiated or tailored terms are considered “standard contract terms” despite the absence of uniform content because the method for specifying their content is pre-drafted by the business and has a multi-transaction application.

Illustrations:

1. A credit-card issuer includes a pre-drafted arbitration clause in the terms that it offers to all of its consumer customers. The arbitration clause is a standard contract term, as defined in subsection (a)(5), even if the contract provides that the consumer can prevent the term from becoming part of the contract by a notice to the business.

2. An insurer offers different, non-negotiated premiums to different consumers based on a formula that rates each consumer’s risk. The premium is not negotiable. The term setting the premium is a standard contract term, as defined in subsection (a)(5).

3. A consumer has a membership in a gym and is invited to adopt an additional standard contract term that entitles the consumer to an add-on package of 12 sessions of personal training for an additional \$720. To entice the consumer to purchase the add-on, the authorized agent of the gym proposes, and the consumer agrees, to vary the add-on package and extend it to 15 sessions at no additional cost. The agent makes a handwritten correction on the preprinted “Terms of Service” sheet to reflect this accommodation. The term of the contract setting the number of sessions is not a standard contract term, as defined in subsection (a)(5).

5. *Core versus non-core terms of the deal.* Standard contract terms may include both terms that consumers readily identify as characterizing the transaction (“core deal terms”) and terms that are appended by the business to the transaction, which appear in fine print and which consumers do not appreciate and rarely scrutinize. Core deal terms often include price and payment methods, a shorthand description of the product, key delivery arrangements, and a few successfully communicated legal rights or limitations (for example, duration of the right to withdraw and receive a refund, or the length of the duration commitment in ongoing service contracts). The criteria for adoption and legal enforceability may vary according to this classification of the standard contract term or the circumstances in which the term is provided to the consumer, and thus some rules of this Restatement may apply differently to core versus non-core terms of the deal

(for example, rules relating to adoption of terms under §§ 2 and 3, unconscionability under § 6, deception under § 7, disclaimers under § 8(c), and integration under § 9).

Illustrations:

4. A product is offered online for a fixed price. The listing of the product contains a description of the product, the price, the delivery charge, and a “30-day money-back” statement, as well as a link to the business’s website, on which additional “Terms of Purchase” are posted. All are standard contract terms as defined in subsection (a)(5), even though only some of them—the description of the product, the price, the delivery charge, and the “30-day money-back” statement—are core deal terms.

5. Same facts as Illustration 4, except that the 30-day money-back statement is elaborated on in the additional “Terms of Purchase,” which contain restrictions on the manner by which the money-back right may be exercised, including the manner by which the consumer must present the claim, the proof of purchase, and the condition the returned product must be in. These added restrictions are not part of the core deal terms. (See also § 2, Illustration 2.)

6. *“Affirmation of fact or promise” defined.* The definition of “affirmation of fact or promise” includes express statements, made in a written record or orally, as well as reasonable interpretations of express statements and implications that reasonably flow from express statements or acts. An affirmation of fact or promise also can result from an omission by the business, as when the business has reason to believe that the consumer reasonably but mistakenly expects a particular term or a particular benefit and fails to correct that expectation. (See § 8(b) and § 8, Comment 2.)

Affirmations and promises can be found, for example, on a business’s website, on packaging materials, and in advertisements. The definition does not include statements that should be reasonably understood as “puffing” or statements of belief not founded on fact. See Restatement of the Law Second, Contracts §§ 168 and 169; cf. Restatement of the Law Third, Torts: Liability for Economic Harm § 9, Comment *b*(2) and Illustration 6 (“dealer talk” and “puff[ing]” do not provide a basis for a claim of misrepresentation); UCC § 2-313(2). As explained in §§ 7 to 9 of this Restatement, an affirmation or promise can result in nonenforcement of inconsistent standard

contract terms (§ 7), can create an obligation that becomes part of the consumer contract (§ 8), and can rebut the presumption of partial or complete integration of the standard contract terms (§ 9).

7. *“Good faith” defined.* The definition of “good faith” in this Restatement follows the current definition of “good faith” stated in UCC § 1-201(b)(20). Restatement of the Law Second, Contracts § 205 did not define “good faith” in the black letter. Comment *a* to that Section directed attention to the definitions of “good faith” in UCC Articles 1 and 2, which were not identical. Since the completion of the Restatement of the Law Second, Contracts, the definition in UCC Article 1 (now in § 1-201(20)) has evolved to follow the definition in UCC Article 2 in effect at that time. Although various formulations and explications of the duty of good faith have been adopted in different sources of law, they all share the same ultimate goal. The duty of good faith is intended to capture and weed out various forms of opportunistic behavior—including unfair and inequitable advantage-taking, hold-up, manipulation, and dishonesty—that undermine the reasonable expectations of the parties, reduce the value of contracting, and require costly precautions. Good-faith performance or enforcement of a contract emphasizes faithfulness to an agreed common purpose and consistency with the reasonable expectations of the other party. The element of “observance of reasonable commercial standards of fair dealing” is particularly necessary when businesses operate through agents and deal with numerous consumers. In these settings, unfair advantage-taking may occur even without dishonesty in fact. See Restatement of the Law Second, Contracts § 205, Comment *a*. This definition does not intend to change the meaning of the implied covenant of good faith and fair dealing.

8. *The reasonableness standard.* Numerous provisions throughout this Restatement depend on whether an action or communication is “reasonable” or “unreasonable” or whether a party has acted “reasonably” or “unreasonably.” The standard of reasonableness is evaluated on the basis of the totality of the circumstances and requires a fact-intensive analysis. For example, the analysis under § 2 of whether a consumer received reasonable notice regarding the terms sought to be adopted as part of the contract includes a review of factors such as the form and nature of the transaction; the clarity, sequence, flow, and simplicity of the communication of the terms; the design, layout, and content of the interface; the difficulty of identifying the notices and finding the location of the terms; the prominence of notices regarding important terms and their nature; and the visibility and clarity of the language alerting consumers that specific steps will result in the adoption of the terms as part of the contract with the business. See § 2, Comment 2. See also § 3,

Comment 3. The use of a particular contracting technology, font color, contrast, size, or type; capitalization; or graphic design or website design elements is a relevant consideration under the “totality of the circumstances” test, but is not determinative. Compare the definition of “conspicuous” in UCC § 1-201(b)(10), which eliminates the presumed conspicuousness of terms of particular font sizes, colors, and contrasting types.

Likewise, the analysis under § 6(d) whether a reasonable consumer is unfairly surprised by a term includes a review of the bargain as presented to consumers, the manner in which the presence or the effect of the term was hidden or otherwise suppressed, the sophistication of the ordinary consumer engaging in the type of transaction at issue, and the language used by the business. See § 6, Comment 6.

Reasonableness of the contracting process is determined in light of the ordinary behavior and perspective of consumers engaged in the type of transaction at issue rather than evaluated against an abstract, aspirational standard of consumer behavior. An evaluation of reasonableness includes consideration of the entirety of a consumer’s interactions with a business, including both prior transactions and the course of the instant transaction.

The evaluation whether, under the circumstances, the reasonableness standard has been met involves questions of fact and of law. If there is a dispute about the relevant facts—for example, whether under § 2 an agent of the business alerted a consumer to the presence of the standard contract terms at the time that the consumer manifested assent—the factual dispute will be decided by the trier of fact. Once the facts are established, or in circumstances in which they are not under dispute, a determination of whether the adoption process meets the reasonable-notice requirements in § 2 is generally made by the court. Such determinations are made based on the ordinary behavior and perspective of consumers engaged in the type of transaction at issue and those consumers’ interactions with the business.

9. Scope. The scope of this Restatement derives from the definition of “consumer contract” in subsection (a)(4). This Restatement contains contract-law rules that have distinct application to contracts in which asymmetries in information, sophistication, and bargaining power are present, of which consumer contracts are a prominent species. This Restatement does not purport to cover all possible aspects of such contracts. The Restatement of the Law Second, Contracts, continues to apply to general contract-law questions, including to questions relating to consumer contracts. In particular, the Restatement of the Law Second, Contracts, provisions on misrepresentation,

duress, and undue influence, §§ 159 to 177, and provisions on the effect of adopting a writing, §§ 209 to 218, are not displaced by this Restatement. Several provisions of this Restatement (§§ 4, 6 to 9) provide specific guidance on the interpretation and construction of consumer contracts, with particular emphasis on the meaning attached by lay consumers. These provisions elaborate on the Restatement of the Law Second, Contracts, provisions on interpretation, §§ 200 to 218, but in case of conflict, the specific rules of this Restatement take precedence over the general common-law rules of contract construction. This Restatement also applies to insurance contracts involving consumers. Specific rules for the interpretation and enforcement of liability-insurance policies are found in the Restatement of the Law, Liability Insurance, and in case of conflict, those rules take precedence over the general rules of consumer contracts in this Restatement.

10. Contracts over data and privacy. A “consumer contract” is defined by the type of parties that enter it, not by the subject matter that it governs. Consumer contracts could govern a variety of topics, including the business’s data and privacy policies. Indeed, consumer transactions often involve attempts by the business to form agreements governing the business’s treatment of consumers’ personal information, including the business’s collection, use, sharing, protection, or other handling of personal information. Such matters have become an important economic component of many consumer transactions. While some privacy notices are required by law and some reflect obligations that are not contractual in their nature, and while the legal treatment of such aspects of the agreement may be subject to additional area-specific rules (see, e.g., Principles of the Law, Data Privacy, Introductory Note), the business’s rights and obligations could also be governed by contract law and by the rules of this Restatement. Accordingly, this Restatement is not intended to determine which data or privacy policies or terms constitute or become part of contracts but merely to provide rules of contract law for those that do. Specifically, if the data and privacy terms are presented to consumers in a manner that satisfies the definitions of “contract” and “consumer contract,” courts should apply the rules of this Restatement (as well as other contract-law rules, but subject to specific rules of data-privacy law) to determine the formation, scope, consequences, and enforceability of an agreement over data. This Restatement does not address whether there are also tort and other legal remedies available.

Illustration:

6. A consumer uses a business’s website to order a product. Before the purchase is complete, the website refers the consumer to two sets of standard contract terms that the

website says will apply to the transaction. The first set of terms is titled “Terms of Service” and covers several issues, including warranties, remedies, choice of law and forum, and intellectual property rights. The second set of terms is titled “Privacy Policy” and states the agreements of the parties with respect to the scope of personal data collection, use, sharing, and security. The Privacy Policy satisfies the definition of a “consumer contract.” Accordingly, the provisions of § 2 of this Restatement that determine whether the Terms of Service are adopted into the agreement also determine whether the Privacy Policy is adopted into the agreement.

11. Relation to the Uniform Commercial Code and other statutory law. This Restatement restates rules of the common law of consumer contracts. A significant number of consumer contracts are governed by statutes. Importantly, sales or leases of goods are governed extensively (but not completely) by UCC Articles 2 and 2A, and other consumer contracts are within the scope of other UCC Articles. Of course, the common-law rules set out in this Restatement cannot override statutory provisions of the UCC, and this point is made explicit in subsection (e). When an issue is governed by a UCC provision, interpretation of that provision is not within the scope of this Restatement. But the UCC does not create complete legal systems for contracts within its scope, and the common-law rules in this Restatement apply to issues not addressed by the provisions of the UCC. In some cases, the UCC is silent as to an issue and does not provide governing rules. In those cases, the UCC provides that common-law principles supplement the UCC unless displaced by particular provisions of the UCC. (See UCC § 1-103(b) and Comment 2 to that Section.) In other cases, even when there is a UCC rule generally applicable to a particular issue, the UCC rule does not answer all the questions that may arise in connection with that issue. Thus, many of the common-law rules set out in this Restatement, in addition to applying to non-UCC transactions, will have application to contracts within the scope of the UCC when no particular provisions of the UCC address or displace them. In addition, many of the common-law rules set out in this Restatement are drawn directly from UCC provisions and from case law interpreting them that reflect a widely shared view as to the meaning and application of the UCC. See UCC § 2-102(2) (amended 2022) (“In a hybrid transaction: . . . (b) If the sale-of-goods aspects predominate, this Article applies to the transaction but does not preclude application in appropriate circumstances of other law to aspects of the transaction which do not relate to the sale of goods.”).

Certain other subsets of consumer contracts, e.g., credit transactions, insurance contracts, real-estate contracts, or contracts involving investments in securities, are partially governed by specific federal or state enactments. Consumer contracts for the sale of goods are also governed by the Magnuson-Moss Warranty Act, 15 U.S.C. §§ 2301-2312. Many consumer contracts are covered by additional statutes and regulations, including the Federal Trade Commission Act, 5 U.S.C. §§ 41-58, and state unfair-and-deceptive-acts-and-practices statutes. This Restatement provides common-law rules that supplement and implement the provisions of these enactments, but in case of conflict or displacement by statute, the statutory rules apply. The statutory rules take precedence also when the statute supplants the common law. The existence of a statute, however, does not, in and of itself, supplant or displace the common-law rules restated herein. When an issue is governed by these enactments, the interpretation and scope of application of their provisions is not within the scope of this Restatement.

In addition, this Restatement takes no position on the proper application of the Federal Arbitration Act or other statutory or regulatory requirements that may affect the enforceability of or limits on arbitration provisions, and the way such requirements may affect application of the stated contract principles. This Restatement includes some Illustrations and, in the Reporters' Notes, some case citations that reference arbitration clauses in consumer contracts. Those references are intended to clarify the principles that guide the application of the rules relating to adoption of standard contract terms, to unconscionability, or to other contract principles. They are not intended to address the relationship between these principles and the law of arbitration.

Parties to a consumer contract are also subject to additional common-law rules. See, e.g., Restatement of the Law Third, Torts: Liability for Economic Harm; Restatement of the Law, Liability Insurance; Restatement of the Law, Children and the Law § 20.20 (Tentative Draft No. 5, 2023) (Voidability of Contracts by Minors). In case of conflict, sector-specific common-law rules may take precedence over the general common-law rules of consumer contracts that are restated herein.

REPORTERS' NOTES

a. Generally. The purpose of this Restatement is to identify a class of contracts that has presented separate challenges and concerns and has received special treatment. The definition of “consumer contracts” identifies this class of contracts.

The selection principle is consistent with the definition of “consumer contracts” in the common law, under the Uniform Commercial Code (UCC), and under state consumer-protection statutes. “Consumers” are defined as parties who enter the transaction primarily for personal, family, or household purposes. Consumers are acting for purposes outside their professions or trades. The distinction between personal and professional is based on a notion of expertise. Cf. UCC § 2-104 (defining “Merchant”). Professional transactors accumulate experience and expertise, which help them recognize the various aspects of the transaction, including the non-negotiated standard contract terms. Consumers, in contrast, do not have the same experience and expertise to draw on. The same is true for parties in markets that share similar qualities of asymmetry, such as the relationships between firms and less experienced independent contractors that have become characteristic in online platforms and the sharing economy. The rules of this Restatement could apply to such transactions, to the extent that they are not governed by more specific bodies of law.

The definition of “standard contract terms” identifies two elements: pre-drafting and application to multiple consumer transactions. This definition includes terms that appear nonstandard because they are personalized across consumers, as long as the formula (“the algorithm”) for the personalization is predetermined and applied generally across multiple consumer transactions. While such personalization has existed in some sectors for a while (e.g., in pricing insurance policies), it is emerging as a common feature in the design of consumer transactions in a data-driven economy.

A question that has come to the fore in recent times is whether privacy policies posted by businesses, which govern the businesses’ data collection, use, and protection practices, are contracts. While a business’s general statements of policy (in any area, including privacy) should not be viewed as contracts, a notice that purports to create consent-based rights and obligations should generally be viewed within the subject matter of a consumer contract, in the same way that notices regarding the scope of warranty, remedies, or dispute resolution do. Comment 10 provides a clear answer: Privacy policies that attempt to create consent-based rights and obligations are treated as attempts to form consumer contracts, and the Restatement’s rules apply to them. Such data-privacy provisions may be included in the standard contract terms, or they may be posted on websites, appended to mobile applications, or provided to consumers at retail locations where consumers complete their transactions. See *In re JetBlue Airways Corp. Priv. Litig.*, 379 F. Supp. 2d 299, 325-326 (E.D.N.Y. 2005) (indicating that business’s privacy policy may have formed the basis of a contract, but ultimately deciding that plaintiffs failed to meet their pleading requirement with respect to damages, so breach-of-contract claim should be dismissed); *In re Am. Airlines, Inc., Priv. Litig.*, 370 F. Supp. 2d 552, 556 (N.D. Tex. 2005) (stating as a matter of fact that the privacy policy on business’s website was part of the contract of carriage); *In re Sony Gaming Networks & Customer Data Sec. Breach Litig.*, 996 F. Supp. 2d 942, 954 (S.D. Cal. 2014) (granting a motion to dismiss various state-law implied-warranty claims against plaintiffs based on the disclaimers in the terms-of-service user agreement and privacy policy to which plaintiffs agreed).

Some of the terms in those notices merely inform consumers of rights and obligations that businesses have with respect to the consumers' personal information, including rights and obligations that do not depend on or require mutual assent. However, other terms in privacy notices grant the business rights that, in the absence of contractual agreement, it would not otherwise have in the consumers' personal information, or make explicit promises regarding the handling of consumer personal information beyond those required by law (e.g., the business may promise that it will employ heightened data-security protections and allow only qualified employees to have access to the information). It is in those situations that the classification of privacy policies as contracts has significant legal consequences. See, e.g., *In re Marriot Int'l, Inc., Customer Data Sec. Breach Litig.*, 440 F. Supp. 3d 447 (D. Md. 2020) (finding that business made explicit promises to take reasonable measures to protect consumer data in its privacy statements, which supported consumers' alleged breach-of-contract claims).

Indeed, agreements over the business's use of consumers' information are increasingly at the core of many consumer products and services. Consumers "pay" for services by allowing businesses to collect and use their personal information that may not be collected and used without such permission, and it is therefore appropriate to regard the personal-information provisions as part of the contract. This is the approach taken in the case law. It is the position taken by the court in the one published state appellate case on this topic, *Gwinnett Community Bank v. Arlington Capital, LLC*, 757 S.E.2d 239 (Ga. Ct. App. 2014). In that case, the court held that privacy notices may give rise to contractual obligations, by finding that the promises in the privacy policy applied only to consumers and not the plaintiff, who was not a consumer. See also *In re Marriot Int'l, Inc., Customer Data Sec. Breach Litig.*, 440 F. Supp. 3d 447 (D. Md. 2020) (holding that a promise by the business to protect consumers' personal information in exchange for consumers supplying such information, under those circumstances, "is all that the privacy statements themselves require [to] be binding on consumers," and that consumers had "adequately alleged formation of a contract"). The same approach also emerges from a comprehensive survey of lower-court decisions, as detailed below.

b. Identifying data and privacy policies as contracts. The presumptive inclusion of privacy notices in the definition of "consumer contracts" reflects a basic and long-standing principle of contract law—that the rules do not vary with the subject matter of the purported agreement. A qualitative and quantitative analysis of recent cases confirms that this principle is generally applied. A database of all published state decisions and federal decisions applying state law, as well as unpublished decisions reported in Westlaw and LexisNexis through the year 2021, was collected and analyzed. Each decision was categorized on dozens of dimensions, including court and litigant characteristics, as well as causes of action brought, facts, court reasoning—both in holdings and in dicta—and outcomes.

Consumer actions for breach of contract against businesses for violations of privacy notices are relatively recent, and the case law is evolving. An early case, in which a consumer attempted to enforce a protective promise made in a privacy notice, held that the privacy notice on a website was not a contract. See *In re Nw. Airlines Priv. Litig.*, 2004 WL 1278459, at *6 (D. Minn. June 6,

2004) (holding that “[g]eneral statements of policy are not contractual” and “absent an allegation that Plaintiffs actually read the privacy policy, not merely the general allegation that Plaintiffs ‘relied on’ the policy, Plaintiffs have failed to allege an essential element of a contract claim: that the alleged ‘offer’ was accepted by Plaintiffs”). That case, however, was not consistent with a large body of case law that was ready to attribute contractual consequences to general statements of policy posted on websites and, accordingly, it did not influence subsequent jurisprudence. Instead, a great majority of courts have followed two other cases decided one year later, which held that terms in privacy notices give rise to contractual obligations as long as all the necessary elements for contract formation are met. See *In re JetBlue Airways Corp. Priv. Litig.*, 379 F. Supp. 2d 299 (E.D.N.Y. 2005) (indicating that business offered “no persuasive argument why [the privacy policy] does not form the basis of a contract,” but ultimately determining that the plaintiffs failed to meet their pleading requirement with respect to damages, so the breach-of-contract claim should be dismissed) and *In re Am. Airlines, Inc., Priv. Litig.*, 370 F. Supp. 2d 552 (N.D. Tex. 2005) (stating as a matter of fact that the privacy policy on business’s website was part of the contract of carriage). See also *In re Capital One Consumer Data Sec. Breach Litig.*, 488 F. Supp. 3d 374 (E.D. Va. 2020) (holding that, construed in the light most favorable to plaintiffs, the statements made in the business’s privacy notice were enforceable promises and were not, as the business argued, “only broad statements about corporate policy”); *Calhoun v. Google LLC*, 526 F. Supp. 3d 605 (N.D. Cal. 2021) (rejecting business’s claim that statements in its privacy notice merely provided information and, consequently, did not give rise to contractual obligations, and holding instead that the privacy notice was explicitly incorporated by reference into business’s terms of service, which established a binding contract with consumers).

The logic of the latter decisions is compelling. Indeed, the suggestion in *Northwest Airlines* that a consumer must have read the privacy policy in order for it to be adopted as part of a consumer contract is inconsistent with the majority rule of what constitutes contractual assent (see § 2), and therefore it does not squarely address the question whether terms and conditions relating to data and privacy—if presented in a manner consistent with the assent rules—are to be regarded as contracts. Recent decisions also reject the *Northwest Airlines* approach. Cf. *Purvis v. Aveanna Healthcare, LLC*, 2021 WL 5230753 (N.D. Ga. Sept. 27, 2021) (finding “more persuasive” those decisions that have permitted statements in a privacy policy to be deemed contractual obligations). To confirm this Restatement’s position following the holding and rationale of the *JetBlue* and *American Airlines* decisions, all published and readily available unpublished cases involving claims for breach of contract for business violations of privacy policies were examined. The conclusion was that the *JetBlue* approach, which held that privacy notices can create contractual obligations, is the dominant jurisprudence in this area. Almost all cases are district-court cases. Starting with *Northwest Airlines* in 2004 and concluding with *Brown v. Google LLC*, 2021 WL 6064009 (N.D. Cal. Dec. 22, 2021), in 2021, there have been 48 cases in which consumers brought breach-of-contract claims for violations of privacy notices, in which courts analyzed the contractual enforceability of privacy notices applicable to consumers, or in which firms, as

defendants, sought to enforce their own policies, arguing that those policies constituted contracts and that consumers' assent to them operated as a defense against the alleged privacy violations.

In 35 of the 48 cases, the courts explicitly addressed the classification of privacy notices as contracts, *although sometimes only in dicta*—and concluded that privacy notices could give rise to contractual obligations. In nine of those cases, the courts failed to find a valid claim for breach of contract for reasons internal to contract claims, including failure of consideration or lack of mutuality, insufficient notice to adopt the terms, and failure to ascertain damages for breach of contract. In only four cases, including the original *Northwest Airlines* decision, the courts decided otherwise, concluding or implying that privacy notices are not attempts to form contracts. The three additional cases in this category are *Dyer v. Northwest Airlines Corporations*, 334 F. Supp. 2d 1196 (D.N.D. 2004); *Lucky v. Kentucky Bank (In re Lucky)*, Nos. 05-54625, 10-5085 (Bankr. E.D. Ky. Mar. 21, 2011); and *Austin-Spearman v. AARP and AARP Services Inc.*, 119 F. Supp. 3d 1, 13-14 (D.D.C. 2015). The remaining cases offer further evidence of courts' willingness to consider contractual enforcement of statements regarding information privacy. See, e.g., *Silver v. Stripe Inc.*, 2021 WL 3191752 (N.D. Cal. July 28, 2021) (holding that consumers had consented to the seller's privacy policy each time they placed an order, creating contractual consequences); *In re Marriot Int'l, Inc., Customer Data Sec. Breach Litig.*, 440 F. Supp. 3d 447 (D. Md. 2020) (denying business's motion to dismiss contract claims, and stating that plaintiffs plausibly stated claims for breach of contract for alleged violations of business's privacy statements).

The conclusion that privacy notices can give rise to contractual obligations does not preclude the application of specific rules arising from privacy law. It suggests, however, that unless a clear, overriding reason exists, the general rules and principles of this Restatement ought to apply. This coexistence between this Restatement and area-specific rules applies also in other contexts. This Restatement is a complementary source to statutory law operating in the area of consumer contracts (e.g., the UCC, the Magnuson-Moss Warranty Act, 15 U.S.C. §§ 2301-2312, the Federal Trade Commission Act, 5 U.S.C. §§ 41-58, the Dodd-Frank Wall Street Reform and Consumer Protection Act, Pub. L. 111-203, the Federal Arbitration Act, 9 U.S.C. ch. 1, and state unfair-and-deceptive-acts-and-practices statutes). Courts adjudicating contract disputes that invoke those statutes have relied on, and developed, principles of consumer-contract law that extend beyond the statutory framework. Those principles inform the rules restated herein.

Finally, this Restatement's rules may be suitable for, and indeed reflect, rules being applied by courts in transactions other than consumer contracts. The primary criterion that requires specific attention to consumer contracts—the asymmetry of knowledge, sophistication, and drafting prowess—may similarly be present when one of the parties to the contract is not a consumer. For example, it may be present in dealings between a small business and a large corporation, between a franchisee and a franchisor, and between a platform and business user.

§ 2. Adoption of Standard Contract Terms

(a) A standard contract term is adopted as part of a consumer contract if the business demonstrates that the consumer manifested assent to the transaction after receiving:

(1) reasonable notice of the term and of the intent to include the term in the consumer contract, and

(2) reasonable opportunity to review the term.

(b) When a standard contract term is available for review only after the consumer manifests assent to the transaction, the standard contract term is adopted as part of the consumer contract if the business demonstrates that:

(1) before manifesting assent to the transaction, the consumer received reasonable notice regarding the existence of the standard contract term intended to be provided later and to be part of the consumer contract, informing the consumer about the opportunity to review and terminate the contract, and explaining that the failure to terminate would result in the adoption of the standard contract term;

(2) after manifesting assent to the transaction, the consumer received reasonable opportunity to review the standard contract term; and

(3) after the standard contract term was made available for review, the consumer received reasonable opportunity to terminate the transaction without unreasonable cost, loss of value, or personal burden, and did not exercise that power.

(c) If the consumer manifests assent to the transaction, a contract is not rendered unenforceable if some of the standard contract terms are not adopted under subsections (a) and (b). In such a case, the terms of the contract are those adopted under subsections (a) and (b), and, if the consumer elects, any of the unadopted standard terms, along with terms, whether standard or not, to which both parties agreed, and terms supplied or incorporated by law.

Comment:

1. General. This Section describes the procedures for adoption of standard contract terms into consumer contracts. Adoption of standard contract terms is a separate legal consequence from the formation of a binding contract. A contract is formed when the parties manifest assent to a contractual relationship. When the contract is formed, standard contract terms may be adopted as part of the contract if the business can demonstrate that several requirements are met. This process

of adoption of standard contract terms is sometimes also referred to as manifestation of assent to these terms, distinguishing it from the manifestation of assent to a contractual relationship. Accordingly, when a consumer contract is formed, it may or may not involve the adoption (or assent to) the standard contract terms. This Section identifies minimum requirements for contracting procedures that result in the adoption of standard contract terms. It operates in a reality in which consumers, when manifesting assent to the transaction, are typically only aware of some “core” aspects of the transaction but are unlikely to read and exercise meaningful informed consent to the non-core standard contract terms (see § 1, Comment 5). The adoption rules seek to preserve the convenience of streamlined contracting while providing consumers reasonable opportunity to scrutinize the standard contract terms and avoid unwanted transactions.

2. *Totality-of-the-circumstances approach.* The reasonableness of any process of adoption of a standard term is based on the totality of the circumstances and requires a case-by-case, fact-intensive analysis in light of the ordinary behavior and perspective of consumers engaged in the type of transaction at issue, and their interaction with the business. The analysis of whether the consumer, who manifested assent to the transaction, has adopted the standard contract terms includes a review of numerous factors, such as the form and nature of the transaction; the clarity, sequence, flow, and simplicity of the communication of the terms; the design, layout, and content of the interface; the nature of the transaction; the totality of the consumer’s interactions with the business and the reasonable expectations those interactions created; the difficulty of identifying the notices and finding the location of the terms; the prominence of notices regarding important terms and their nature; and the visibility and clarity of the language alerting consumers that specific steps will result in the adoption of the terms as part of the contract with the business, as well as the manner in which the consumer is asked to manifest assent to the transaction and acknowledge the adoption of the standard contract terms. Thus, the form of the presentation of terms or of the invited manifestation of assent (sometimes referred to as “clickwrap” or “browsewrap,” online or in a brick-and-mortar setting) does not in itself determine whether the standard terms have become part of the contract. Rather, the form embodies a bundle of factors for the court to consider when applying the general test. It may, in some circumstances, be more difficult to demonstrate satisfaction of the requirements of adoption in a “browsewrap” presentation, where the alerts provided to consumers about the proposed terms are often less visible, and where the connection between the action taken and the adoption of the terms is sometimes less clear. Similarly, where

the form of the presentation itself does not communicate its contractual nature, for example, a checkout receipt at a retail store, the business may have to take additional steps to give the consumer reasonable notice that a contract is being formed. Recognizing, however, that despite the minimum guaranteed protective procedures required by this Section, consumers often enter into contracts without appreciating the presence or the effect of the standard contract terms, other Sections of this Restatement provide additional layers of protection against surprising and unfair outcomes (see Comment 14).

3. Adoption of standard terms may be separate from manifestation of assent to the transaction. A consumer contract is not formed unless the consumer manifests assent to the transaction. A consumer may manifest assent to the transaction proposed by the business in any manner and by any medium reasonable in the circumstances. (See Restatement of Law Second, Contracts §§ 30, 50.) This Section does not address the formation of the contract or the assent to nonstandard terms. Once the contract is formed, this Section determines which standard contract terms are adopted. While in many instances the manifestation of assent to the transaction and the adoption of standard contract terms happen at the same time, in other instances they may be done separately. Because the review of the entire body of standard contract terms is an uncommon practice for the great majority of consumers, and because convenience in the method of delivery of the terms benefits consumers and businesses alike, the adoption of standard contract terms can be made either together with or separate from the act of manifesting assent to the transaction. Standard contract terms may be presented to the consumer before the consumer manifests assent to the transaction, at the same time that the consumer manifests assent to the transaction but before the product is delivered or the service is rendered, when the product is delivered, or when the service commences. Standard contract terms may also be presented in some combination of the foregoing. Accordingly, a single consumer contract may contain several “packets” of standard contract terms, each adopted in a different manner and at a different time (see Comment 9). Manifesting assent to the transaction as a whole generally involves adoption of at least some standard contract terms—the core deal terms (see § 1, Comment 5; see also Comment 4 to this Section). Other standard contract terms may then be adopted separately from those that are adopted concurrently with the manifestation of assent.

Illustrations:

1. A consumer uses a business's website to purchase a product. To complete the transaction, the consumer must enter payment information and click the "Purchase" button. On the same checkout page appears a statement "This transaction is governed by Terms and Conditions" linking to another webpage that instructs the consumer where and how to view the additional "Terms and Conditions." By clicking "Purchase" the consumer manifests assent to the transaction, and a contract is formed. If the notices regarding the Terms and Conditions and the procedures for their adoption satisfy the requirements of subsection (a) or (b), these additional standard contract terms are adopted as part of the contract. If they do not, the contract formed by clicking "Purchase" does not contain the Terms and Conditions.

2. A consumer rents a car at an airport counter and concludes the transaction by signing a printed sheet titled "Rental Contract." The rental rate and description of the vehicle are prominently displayed on the front of the sheet. The consumer's signature manifests assent to the transaction and constitutes the adoption of the core deal terms (which, in car-rental contracts, typically include the rental rate, the description of the vehicle, and the type of insurance provided). Additional standard contract terms are presented on the back of the sheet, and a notice referring to their inclusion is posted adjacent to the signature line in a prominent fashion. If the notice satisfies the requirements of subsection (a), those terms are adopted concurrently with the manifestation of assent to the transaction via the signature. If, in addition, other standard contract terms are presented to the consumer after the time of signature—for example, in an email sent to the consumer some time later—those terms may be adopted under subsection (b) separately from the manifestation of assent to the transaction (see Comment 6), if the requirements of subsection (b) are met.

4. *Manifesting assent to the transaction and adoption of "core" terms.* A consumer may manifest assent to the transaction proposed by the business in any manner and by any medium reasonable in the circumstances. In inviting the consumer to enter a transaction, the business may establish how the assent may be manifested, as long as the manner and medium are reasonable in the circumstances and it is reasonably communicated to the consumer that assent will be manifested in the specified manner and by the specified medium. (See Restatement of the Law

Second, Contracts §§ 30 and 50.) Most often, assent to the transaction is manifested by signing an agreement, paying, or clicking “Purchase Now” or “I Agree” after the consumer has been put on reasonable notice that such actions would result in the formation of a legal obligation. Absent such effective communication—for example, when the consumer may reasonably think that proceeding with the activity does not create a legally binding obligation—the consumer does not manifest assent to a consumer contract. When manifesting assent, the consumer is usually aware only of the core deal terms. Such core deal terms often include price and payment methods, a shorthand description of the product, key delivery arrangements, and a few successfully communicated legal rights or limitations (for example, the right to receive refund of airline fares or the length of the duration commitment in service contracts). In assenting to the transaction, the consumer adopts the core deal terms—many of which are standard contract terms under the definition in § 1(a)(5), but some may be nonstandard—as part of the contract. Non-core standard contract terms may be adopted simultaneously (under subsection (a)) or upon the expiration of a reasonable review period (under subsection (b)).

Illustration:

3. A product is offered online for a fixed price. The listing of the product contains several core deal terms, including a description of the product, the price, the delivery charge, and a “30-day money-back” statement. Additional “Terms of Purchase” are presented to the consumer in fine print and contain provisions that qualify and limit the manner by which the 30-day money-back right may be exercised. The core deal terms, including the 30-day money-back promise, are adopted as part of the contract when the consumer manifests assent to the transaction, for example, by clicking “I Agree to Purchase.” The additional Terms of Purchase, including those that qualify the money-back term, are non-core terms and may be adopted when the consumer manifests assent under subsection (a) or at a later time under subsection (b), if the provisions of these subsections are satisfied.

5. *Adoption of terms reasonably available for review prior to manifesting assent to the transaction.* When a consumer manifests assent to a transaction, a consumer contract is formed. The consumer contract includes the core deal terms (those which, from the perspective of the consumer, characterize the bargain) as well as other standard (and nonstandard) contract terms

reasonably available for review prior to manifesting assent. Subsection (a) identifies the process for the adoption of standard contract terms that are available for review prior to the manifestation of assent. Some of these standard contract terms may be explicitly presented to the consumer in the course of manifesting assent to the transaction (see Illustration 4). Other standard contract terms may be presented elsewhere, but as long as the business demonstrates that the consumer received reasonable notice of them, including reasonable notice that they are intended to be part of the transaction and that manifesting assent would constitute a legally binding adoption of those terms, and had reasonable opportunity to review them, they are adopted when the consumer manifests assent to the transaction (see Illustrations 6 to 9). The application of the standards for reasonable notice and opportunity to review that apply to terms that are not explicitly acknowledged in the course of affirmatively manifesting assent may be more exacting (see Comments 2 and 10).

Illustrations:

4. A consumer uses a business's website to purchase a product. To complete the transaction, the consumer must click an "I Agree" button. Immediately adjacent to the "I Agree" button is a statement in a clear and reasonably prominent font: "By clicking on this button, you are accepting the Service Agreement in the box below." Below the "I Agree" button is a scroll-down text box labeled "Service Agreement," which contains the standard contract terms. The consumer is able to click "I Agree" even without scrolling all the way down the box. The website's presentation does not allow the consumer to complete the purchase without clicking "I Agree." The consumer manifests assent to the transaction by clicking the button. The standard terms in the Service Agreement contained in the scroll-down box are adopted as part of the contract under subsection (a).

5. Same facts as Illustration 4, except that the statement adjacent to the "I Agree" button does not mention the Service Agreement and instead says: "You understand that by clicking the 'I Agree' button you are providing us written permission to obtain information from your personal credit profile." By clicking "I Agree" the consumer does not adopt the standard contract terms in the Service Agreement. Such notice, however prominently placed, does not inform the consumer that the click, which is said to provide one specific authorization, also constitutes acceptance of the Service Agreement.

6. Same facts as Illustration 4, except that the Service Agreement incorporates by reference a separate list of “Privacy Policy” terms. The following statement appears in clear type in the first paragraph of the Service Agreement: “Additional binding terms related to our Privacy Policy are available here,” linking to another web page with the Privacy Policy terms. The consumer’s manifestation of assent to the transaction (by clicking “I Agree”) encompasses the additional Privacy Policy terms, and those standard terms are adopted as part of the contract under subsection (a). If, instead, the statement referring the consumer to the Privacy Policy appears not within the Service Agreement but in a separate, inconspicuous place on the checkout page, it is not adopted as part of the contract because it does not reasonably inform the consumer that clicking “I Agree” to the Service Agreement also constitutes acceptance of the Privacy Policy.

7. A consumer opens an account with a web retailer and clicks an “I Agree” button immediately below the “Terms of Service” but does not make a purchase. The Terms of Service appear in a text box in the middle of the page and state prominently that they apply to all subsequent purchases made by the consumer using the account. Later, the consumer makes a purchase on this website using the account and pursuant to the earlier-adopted standard terms by clicking “Purchase” without additionally and specifically assenting to any terms other than the description of the product, the price, and the delivery method. The standard contract terms in the Terms of Service are part of the contract formed under subsection (a) at the time of the purchase because the consumer was notified about their intended adoption and they were available for review in a reasonable manner before the consumer manifested assent to the specific purchase transaction (see Comment 10).

8. A consumer uses a website to order a product. During the checkout process, the consumer is presented with the core deal terms—the description of the product, the price, and the shipping arrangement. The consumer manifests assent to the transaction by entering payment information and clicking “Purchase Now.” Located in the immediate vicinity of the “Purchase Now” button is an underlined link, in large font and contrasting color, titled “Additional Terms of Sale Applying to Your Purchase.” If clicked, the link opens a new web page containing additional standard contract terms. When the consumer clicks “Purchase Now,” the linked terms are adopted as part of the contract under subsection (a) because reasonable notice of the terms and the intent to include them in the consumer

contract, as well as reasonable opportunity to read them, have been given. If, instead, the link to the additional terms is placed at the bottom of the checkout page, in muted coloring, in font less conspicuous than other features on that page, without additional notice that the terms are meant to be part of the contract, then the additional terms are not adopted.

9. A consumer enters a dry cleaner's store. At the entrance, a large sign is posted in such a way that any consumer entering the store will see it and be able to read its terms. The sign states that the store is not responsible for damage to items occurring in the ordinary course of the cleaning process. When the consumer manifests assent to the transaction by completing the drop-off process and receiving an acknowledgment of the order, the standard contract term posted on the sign is adopted as part of the contract under subsection (a).

6. *Adoption of terms after manifesting assent to the transaction.* Subsection (b) identifies an alternative process for the adoption of standard contract terms when those terms are made available for review for the first time after the consumer manifests assent to the transaction. The process of replacing the opportunity to read prior to assent with a reasonable post-assent review period and termination right allows the parties to enter transactions with greater ease and without sacrificing any meaningful protection that advance reading of the contract provides. Subsection (b) validates this process, under which terms are adopted if the business demonstrates that the consumer received a reasonable notice before manifesting assent that additional standard contract terms will be presented and are intended to be part of the transaction, a reasonable opportunity to review the terms upon their arrival, and a reasonable opportunity to terminate the entire transaction after the arrival of the terms. The majority of courts do not require all the notices listed in subsection (b)(1), focusing instead on the reasonable opportunity to review and terminate in subsections (b)(2) and (b)(3). To bolster consumers' opportunity to review the standard terms, this Restatement endorses the more restrictive approach, adopted by a minority of courts, requiring that before manifesting assent to the transaction, the consumer must be reasonably notified about the opportunity to review the newly available standard contract terms and to terminate the transaction, and that failure to terminate would result in the adoption of the standard contract terms.

Illustration:

10. A consumer orders a product from a business by signing an agreement that contains the core deal terms and by making a payment. On the form, a clearly visible statement immediately above the signature line informs the consumer that additional standard contract terms will be arriving at a later time and will become part of the contract if the consumer does not return the product. Later, along with the delivered product, the consumer receives the additional standard contract terms that include an express warranty statement and limitations on remedies. The terms appear inside an envelope labeled “Terms and Conditions” affixed to the product. They contain a clear, prominent statement that the consumer has a right to return the product within 30 days if the consumer does not agree with the terms, and that reasonable return shipping costs will be paid by the business. The standard contract terms are adopted as part of the contract under subsection (b). The same result applies if the Terms and Conditions arrive separately from the product, e.g., with a welcome letter delivered by mail, as long as the letter provides reasonable notice that it is related to the purchase of the product and that it contains terms that govern that transaction, as well as reasonable notice of the opportunity to terminate the transaction.

7. Adoption of terms by entry to, or use of, a proprietary environment of the business. Standard contract terms governing the proprietary environment of the business—whether physical or digital—may be adopted as part of a consumer contract upon entry to, or continued use of, that environment, even if no purchase is concluded while in the environment. The deliberate act of entering the business’s proprietary environment and remaining in it long enough to gain access to the content and benefits it confers could constitute a manifestation of assent by the consumer to a transaction if the consumer is reasonably so informed. The transaction consists of the right to use the proprietary environment and receive the benefits it is reasonably expected by an ordinary consumer to confer, under the terms specified by the business, including terms that specify the rights of the business and the obligations of the consumer, as long as the consumer has reason to know that the continued use of the proprietary environment was offered subject to contractual agreement to those terms. The consumer has a reason to know if provided with reasonable notice that use of the proprietary environment (including the use upon recurring entries) is governed by legally binding standard contract terms, which the consumer then has reasonable opportunity to review (see Comment 8). If such notice of the legal effect and opportunity to review is reasonably

provided to the consumer prior to entry, the standard contract terms are adopted upon entry. If, instead, the notice and opportunity to review, along with notice of the contractual effect of continued use, are provided only after entry (for example, when the consumer enters the business's website and is only then able to access a link governing the use of the website, or when, upon entry, an alert appears with said notice), the manifestation of assent to the transaction and the adoption of the terms occur upon the continued use of the proprietary environment and the receipt of its benefits. In such a case, the consumer must receive reasonable notice that continued use will constitute adoption of the terms as a binding contract, reasonable opportunity to review the terms, and reasonable opportunity to exit without being bound to the terms. Cf. Restatement of the Law Second, Contracts § 69(1)(a) (the taking of the benefit of offered services can serve as a manifestation of assent by the recipient). Assent to the transaction and adoption of the standard contract terms are effective only if the consumer has reasonable opportunity to terminate the transaction without being bound (thereby satisfying the "reasonable opportunity to reject" requirement of Restatement of the Law Second, Contracts § 69(1)(a)).

Illustrations:

11. A consumer parks a car in a private parking lot. A prominent sign at the entrance to the lot states that a \$10-per-hour charge will be collected upon exit from the lot and that the business is not responsible for damage to the vehicle while parked in the lot. By entering the lot, the consumer manifests assent to the transaction concerning the use of the parking lot, and the terms posted on the sign are adopted under subsection (a).

12. A consumer visits a department store. A prominent sign posted at the entrance to the store's parking lot states that parking is free while visiting the store and that the store is not responsible for damage to the vehicle while parked in the lot. The consumer parks the car in the lot and browses the store's aisles but does not make a purchase. Upon exit, the consumer discovers that the car was damaged. By entering the lot, the consumer manifests assent to the transaction concerning the use of the parking lot, and the standard contract terms posted on the sign are adopted under subsection (a). If, instead, the same sign is posted in the store itself, its terms are not adopted as part of the contract, because the opportunity to exit and avoid being bound to the terms now involves cost and inconvenience that are unreasonable in the circumstances.

13. A consumer enters an information-service website's home page for the purpose of gaining access to its information content without creating an account or making a purchase, and without checking a box or clicking a link evidencing assent to any agreement. At the top of the home page, a notice is posted in large font, underlined, and in contrasting color: "By continuing past this page, you agree to be bound by the Terms of Use for this site." The phrase "Terms of Use" is underlined and highlighted. If clicked, it directs the consumer to a page that contains the full Terms of Use. By continuing past the home page, the consumer manifests assent to the transaction concerning the use of the website, and the Terms of Use are adopted under subsection (a).

14. A consumer is directed from Website A, a search platform where users can search and access information from numerous sources, to linked content appearing on Website B, a separate information-service website. Initially, when clicking on the link that appears on Website A, only the first paragraph of the content on Website B's page is visible, with a "Read More" button obscuring the remainder of the content. A notice prominently appearing near the "Read More" button states that the use of Website B is governed by standard contract terms. Clicking on the "Read More" button allows the consumer to enter and to access the full content of Website B's page. By clicking "Read More," the consumer manifests assent to the transaction with Website B governing the access to the content posted on the page. If the consumer can view the terms prior to clicking "Read More" (for example, if a link to the terms appears within the notice), the standard contract terms are adopted under subsection (a). If, instead, the consumer can only view the terms after clicking "Read More" (for example, a prominent link to them appears at the bottom of the full-content page), the terms may be adopted under subsection (b), but only if the consumer has reasonable opportunity to reject the application of the terms by exiting the full page of Website B—and does not do so.

8. Reasonable notice and opportunity to review. The consumer must receive reasonable notice of the intent to adopt the standard contract terms and reasonable opportunity to review the terms. An evaluation of the effect of the notice is based on the totality of the circumstances and requires a case-by-case, fact-intensive analysis, in light of the reasonableness standard. See § 1(b) and § 1, Comment 8. In the case of an online transaction, as part of the court's evaluation of the process and presentation of the transaction, a business claiming that the terms were adopted under

subsection (a) of this Section will have to demonstrate that the sequence and content of the screens seen by the consumer at the time the consumer entered into the transaction afforded the consumer reasonable opportunity to review the terms, including a reasonable indication that the terms were intended to be part of a legally binding transaction to which the consumer was manifesting assent. As part of evaluating the totality of the circumstances and the reasonableness of the notice, the characteristics of the contracting parties may also be considered (e.g., when a product or service is offered to a small segment of especially sophisticated consumers). (Cf. UCC § 1-202 (defining “Notice”).) See generally § 1(b) (reasonableness standard) and § 1, Comment 8.

The evaluation whether, under the circumstances, reasonable notice was provided involves questions of fact and of law. If there is a dispute about the relevant facts, for example, whether an agent of the business alerted a consumer to the presence of the standard contract terms before the consumer manifested assent, it will be decided by the trier of fact. If there is no dispute concerning the relevant facts, including, for example, when the digital interface seen by the consumer during an online transaction is recorded and undisputed, or if the factual dispute has been resolved by the trier of fact, a determination whether the adoption process meets the reasonable-notice requirements in § 2 is generally made by the court.

Illustrations:

15. A consumer visits a business’s website to purchase a product. During the checkout process, the consumer enters the consumer’s credit-card information and shipping address and is then required to click “I Agree to Purchase.” The business places a link to “Terms and Conditions” at the bottom of each of its web pages, including at the bottom of the checkout page. The text in the link is in a smaller font than the one used in the rest of the website, and on the checkout page, the link can only be seen and accessed by scrolling down the page, otherwise it is not visible when the consumer clicks “I Agree to Purchase.” The link does not provide reasonable notice, and therefore the linked terms are not adopted as part of the contract. If, instead, there is a prominent, stand-alone notice in a central portion of the checkout page in contrasting, large font, not blended with or obscured by other notices, stating that the transaction is subject to Terms and Conditions that are noticeably linked for the consumer to access, all visible when the consumer clicks “I Agree to Purchase,” then the reasonable-notice requirement is satisfied.

16. A purchase agreement is drafted by a business to be presented to consumers on the business's website but is sometimes presented to consumers as a paper printout at the business's service desk in a department store. On the online version, the consumer is asked to click "I Agree" at the bottom and is informed that clicking will form a contract, and on the paper-printout version, the consumer is asked to affix a signature next to the "I Agree" box. Immediately above the "I Agree" box, there is a phrase stating "Additional Terms." In the online version, the phrase "Additional Terms" appears as a link, in distinct color font, which, if clicked, opens a page with the additional terms. In the paper-printout version, the phrase "Additional Terms" appears in an underlined, pale font, and no other information is provided as to what this phrase implies or how to access the additional terms. The link appearance in the online version provides the consumer reasonable notice and opportunity to review, and the additional terms are adopted once the consumer manifests assent to the transaction, under subsection (a). The pale, underlined phrase in the paper-printout version does not provide the consumer reasonable notice and opportunity to review, and the terms are not adopted, under subsection (a). If, instead, along with the printout version the consumer receives an explicit notice that the additional terms are contractual and apply to the transaction and could be obtained by asking the salesclerk for a readily available copy for the consumer to review, the reasonable-notice requirement is satisfied.

17. A consumer purchases a product at a retail store. During checkout, the consumer signs a form titled "Agreement," which includes the store's "General Terms and Conditions." Later, upon unpacking the product, the consumer finds attached a brochure from the manufacturer that contains the manufacturer's standard contract terms, including an "End User License Agreement" for the software installed on the product. No advance notice was given to the consumer about these "terms in the box" during the purchase process with the retailer or on the box presented to the consumer prior to purchase. Because such notice is lacking, the terms in the brochure are not adopted as part of the consumer contract. If, instead, there was prominent notice, either on the box or presented by the retailer, that further terms were available for review once the consumer opened the box, the notice requirement would be satisfied. In such a case, the terms in the brochure could

be adopted under subsection (b) (subject to notice of the consumer's right to terminate the transaction within a reasonable time after reviewing the terms; see also Comment 11).

18. A consumer visits a business's website to order a service. During the checkout process, the consumer is presented with a scroll window with the heading "Service Agreement" in which the first two lines of the agreement's text are visible. Below the scroll window, a paragraph in bold text explains that by clicking "Accept and Continue" the consumer authorizes the business to obtain the consumer's personal credit profile from a third party. It does not state that by clicking "Accept and Continue" the consumer also adopts the Service Agreement. The consumer manifests assent to the transaction by clicking the "Accept and Continue" button. The terms in the Service Agreement are not adopted as part of the contract because the consumer did not receive reasonable notice that assent applies to the Service Agreement.

19. A consumer purchases a product at a retail store. During checkout, the consumer is presented with a 120-page brochure titled "Operation Manual." The brochure contains instructions from the manufacturer on how to use the product. It also contains, on page 97, an arbitration agreement applying to the contract with the manufacturer. Because the presentation of the brochure as a "Manual" does not include any language indicating that standard contract terms affecting the consumer's rights are included in the Manual, there is no reasonable notice of the existence of the standard contract terms, and they are not adopted as part of the contract under subsection (a). Even if the brochure's cover page indicated that it included standard contract terms, the difficulty in locating the terms—unless mitigated by a convenient table of contents—may prevent the consumer from having reasonable notice of those terms.

20. A consumer receives a written notice of standard contract terms as part of a bundle that includes numerous other notices, including mandated warnings and promotional pamphlets. If the business does not take additional action to draw the consumer's attention to the written notice of the standard contract terms, the requirement of reasonable notice is not satisfied, because the disclosure of the terms is overshadowed by the additional information. For the reasonable-notice requirement to be satisfied, the business must take additional steps to draw the consumer's attention to the term, for example, by segregating the disclosure of the terms from other materials, giving it more

prominence relative to other information, or requiring specific acknowledgment of its review.

21. A consumer signs up for in-flight Wi-Fi service. On the “create account” page, immediately below the boxes in which the consumer is instructed to enter personal information, appears a prominent “NEXT” button that takes the consumer to a web page on which the consumer is instructed to enter credit-card information. Above the “NEXT” button, the following statement appears in small font that is not distinguished by size, color, or typeface from other text on the screen: “By clicking ‘NEXT’ I agree to the *terms of use* and *privacy policy*.” The words “terms of use” and “privacy policy” are hyperlinks and, if clicked, would take the consumer to web pages that include the business’s terms of use and privacy policy, respectively. The consumer clicks “NEXT,” completes the registration process, and proceeds to use the in-flight Wi-Fi service. There is no reasonable notice of the existence of the standard contract terms, and they are not adopted as part of the contract under subsection (a). If instead the statement above the “NEXT” button was made conspicuous through the use of large, differently colored font (or large, bold-faced font), the notice requirement would be satisfied and the terms of use would be adopted under subsection (a).

22. A consumer installs an application on a smartphone and is prompted to enter personal information in a sequence of screens. In the middle of the last screen, where the consumer is asked to provide payment information, appears a conspicuous “Register” button that the consumer must click to complete the installation. Immediately below that button and in large, contrasting, and conspicuous font, against an otherwise uncluttered background, there is a statement notifying the consumer that by clicking the “Register” button, the consumer is agreeing to the “Terms of Service” and “Privacy Policy,” both of which are hyperlinked and underlined in contrasting colors. There is reasonable notice of the Terms of Service and Privacy Policy under subsection (a) because their placement makes them easy to find and the design, placement, and language of the adjacent text make it clear that the standard terms are intended to be part of the transaction when the consumer chooses to register with the website.

9. *The possibility of multiple contracts.* A single manifestation of assent could result in multiple contracts if the requirements of this Section are satisfied for each of those contracts. The

additional contract is formed only if the consumer can reasonably expect that a legally binding relationship with another business may form, so as to avoid imposing on the consumer an unwanted additional contractual relationship. The consumer must be specifically notified that by manifesting assent to the transaction, an additional contract with this or another party will be created.

In particular, in connection with a purchase at a retail store, it is possible for the consumer to enter, by one act of manifesting assent, into two contracts—one contract with the retailer and a second contract with the manufacturer of the purchased product. At times, the terms governing the second contract, offered by the manufacturer of the product, are available for review prior to the manifestation of assent, for example, when they are presented to the consumer as part of the description of the product before checkout and payment to a retailer. In such cases, subsection (a) determines whether the terms are adopted. Other times, the terms provided by the manufacturer are available to review for the first time only after the consumer manifests assent to the transaction. In such cases, subsection (b) determines whether the terms are adopted. Under either case, the terms offered by the manufacturer are adopted if the consumer receives reasonable notice, before manifesting assent to the transaction, that a separate contract with the manufacturer will be formed and that the manifestation of assent to the transaction will apply also to this additional contract. And, under either case, the requirements of either subsection (a) or subsection (b) must also be met in order for the standard contract terms offered by the manufacturer to be adopted. An attempt to impose on the consumer a contractual relationship with a third party without satisfying the requirements of this Section, including a failure to reasonably alert the consumer to the presence of a separate contract, would not result in the creation of a contractual relationship with the third party, and the offered terms would not be adopted. Such an attempt may also be relevant under §§ 5, 6, and 8.

Illustrations:

23. A consumer purchases a product at an online store and, at the checkout screen, manifests assent to a list of standard contract terms governing the transaction with the retailer, which are prominently offered for review prior to the transaction. In addition, a notice on the screen titled “Additional Terms of Sale” appears in a manner reasonably visible to the consumer, instructing that by clicking “Purchase Now” the consumer is accepting terms stipulated by the manufacturer, which are available in a printed booklet inside the box. In the booklet, at the top of the first page, the consumer is informed of the

consumer's right to return the product within 30 days at no cost if the consumer does not agree with the terms. In this scenario, two consumer contracts are formed by manifesting assent to the purchase at the retail outlet. The first contract is with the retailer and contains the core deal terms as well as the standard contract terms that the retailer has specified, in accordance with subsection (a). The second contract is with the manufacturer, assent to which is also manifested at the time of purchase. It contains the standard contract terms specified by the manufacturer, and they are adopted at the end of the 30-day return period, in accordance with subsection (b).

24. A consumer purchases from a dealer a new car, which is delivered with a three-month trial subscription for satellite radio. When the consumer manifests assent to the purchase, no reference is made concerning a separate contract with a satellite-radio service or the intent to adopt terms governing that service. A month after the purchase, the consumer receives a "Service Agreement" by mail from the satellite-radio business notifying the consumer about the standard contract terms governing the service. Since the consumer had no notice prior to the manifestation of assent to the transaction with the dealer that such manifestation of assent would apply also to a separate contract governing the satellite-radio service, and that the standard contract terms governing this service would be mailed, no contract is formed between the consumer and the satellite-radio business. The standard contract terms mailed to the consumer concerning the satellite-radio service are not adopted.

10. Combined use of different adoption processes. A business might use different adoption processes for different sets of terms within a single consumer contract. For instance, the business may present some standard contract terms in advance and ask the consumer to explicitly acknowledge them in the course of manifesting assent to the transaction (e.g., by clicking "I Agree") and may present other standard contract terms in a separate format, which the consumer is not asked to affirmatively acknowledge (e.g., the other terms may be posted on a website or packaged with the product). Thus, it is possible to adopt some standard contract terms under subsection (a) and others under subsection (b). The combined adoption of different sets of terms occurs if the requirements for adoption under either subsection (a) or (b) are fully satisfied for each set of terms.

Illustration:

25. A consumer in State A uses a website to create a service account. The consumer is asked to click “I Agree” at the bottom of a scroll box titled “Terms of Service” in which some standard contract terms are presented. Immediately adjacent to the “I Agree” button appears a clearly labeled, easily identifiable statement: “Additional terms relating to subscribers in State A will be sent to you within 72 hours. They will become part of your contract with us unless you notify us within 14 days of your decision to cancel your account.” By clicking “I Agree,” the consumer manifests assent to the transaction and adopts the terms presented in the scroll box, under subsection (a). The additional terms are adopted under subsection (b) if the consumer does not cancel the account within 14 days of the additional terms’ presentation.

11. Reasonable opportunity to terminate. Under subsection (b), the consumer must be given reasonable opportunity to terminate the transaction and reasonable notice of the right to terminate. To be reasonable, the duration of the review-and-terminate period has to provide sufficient time for the consumer who is interested in reviewing the terms to complete a meaningful review. In addition, the consumer’s opportunity to terminate the transaction after receiving the terms must not place unreasonable cost, loss of value, or personal burden on the consumer. If a reasonable right to terminate is granted, the consumer’s choice not to terminate constitutes the adoption of the standard contract terms. Effective termination by the consumer discharges the contract to which the consumer manifested assent.

Illustrations:

26. A consumer visits a store to purchase a product. At the register, a posted sign states that additional terms apply to the transaction and can be obtained on-site at the customer-service desk. If the service desk is nearby and readily accessible without undue delay or hardship, and if the store allows the consumer to terminate the transaction after receiving the additional terms, and reasonably notifies the consumer of the right to terminate, then the additional terms are adopted under subsection (b). If, however, the additional terms are not readily available upon the consumer’s request, or if the consumer is not allowed to reasonably terminate the transaction after payment, or is allowed to

terminate but not reasonably notified about the right to terminate, the additional terms are not adopted as part of the consumer contract.

27. A consumer purchases a computer online for \$500. Prior to the purchase, a notice that satisfies the requirements of subsection (b)(1) is provided. When the computer is installed, a set of standard contract terms is displayed on-screen. The terms, which are lengthy and complex, allow the consumer five days to return the computer and avoid being bound by the terms. The standard contract terms are not adopted as part of the contract because five days is not a reasonable time to perform the logistics required to return a computer.

28. Same facts as Illustration 27, except that the consumer has 30 days to return the computer. The terms further specify that if the consumer returns the computer, the refund will be only partial, as the business reserves the right to charge a certain restocking fee. Even if the restocking fee is reasonable from the seller's standpoint in light of the handling and depreciation costs, it nevertheless unreasonably restricts the opportunity of the consumer to terminate the contract upon review of the terms. Accordingly, the standard contract terms are not adopted as part of the contract.

29. Same facts as Illustration 27, except that the consumer has 30 days to return the computer, and there is no restocking fee. The terms further specify that if the consumer returns the computer, the consumer will bear the return shipping cost. The shipping cost may be reasonable, but it nevertheless unreasonably restricts the opportunity of the consumer to terminate the contract upon review of the terms. Accordingly, the standard contract terms are not adopted as part of the contract.

30. Same facts as Illustration 27, except that the consumer purchases the computer at the business's local retail store (rather than online), and the terms specify that the consumer may return the computer to the local retail store for a full refund within 60 days. Even though driving back to the retail store imposes some cost or burden on the consumer, this cost or burden is not unreasonable. In such a case, the "opportunity to terminate" requirement of subsection (b)(3) is satisfied. If, however, the store only accepts returns during limited hours, or only when the box is unopened, the opportunity to terminate is unreasonably restrictive, and the standard contract terms are not adopted as part of the contract.

12. Legal consequences of non-adopted terms. Standard terms that fail to conform to the adoption-process requirements of subsections (a) or (b) do not become part of the consumer contract. In such a case, under subsection (c), if the consumer manifested assent to the transaction, there is a contract that contains the terms—standard and nonstandard, including the core terms—that were effectively adopted, supplemented by gap-fillers supplied by law. A consumer, however, may choose not to assert that, in light of the protections provided by subsections (a) and (b), the intended contract terms were not adopted. Because the requirements of this Section are intended to provide consumers reasonable opportunity to review the terms, a consumer may choose to get the benefit of any or all of the standard contract terms. If the consumer so chooses, the business may not assert that those standard contract terms were not adopted. (Compare §§ 8 and 9 for the consumer’s right to enforce as part of the consumer contract an affirmation of fact or promise that does not appear in the standard contract terms.)

Illustration:

31. Same facts as Illustration 27, except that the standard contract terms include a statement by the business that information about the transaction will not be provided to any other third party. The business, in violation of that statement, provides information about the transaction to a third party, to the detriment of the consumer. While the standard contract terms are not adopted as part of the contract, the consumer may assert a claim for breach of a contractual promise as embodied in the non-adopted statement.

13. Mandatory rule. The rules restated in this Section specify mandatory requirements of assent, notice, and opportunity to terminate, and cannot be excluded or derogated from by agreement. A business is free to specify the precise manner or medium that the manifestation of assent, notice, and termination take, as long as they are reasonable in the circumstances. If the business specifies a process for adopting standard terms that does not meet these mandatory requirements, that process is not effective, and the standard terms it purports to adopt are not adopted as part of the contract.

14. Relation to other Sections. The adoption rules in this Section reflect the reality in which the consumer’s consent to the standard contract terms is rarely informed. In classic contract law, the requirement of assent was regarded as a meaningful mechanism that protected the contracting party, under the premise that that party, with full knowledge of the terms and with sufficient

understanding of their impact, would manifest assent only to a contract that promoted that party's interests. The length and complexity of standard-form contracts, and the large number of such contracts consumers enter into, have diluted the effectiveness and plausibility of such front-end self-protection. Accordingly, it is widely recognized that adoption procedures designed to achieve informed consent would yield relatively little value to, and might even impose burdensome transaction costs upon, the consumer. Courts have thus recognized the importance of safeguards in consumer-contract law. Primary among these are the rules that strike down unconscionable terms and other standard contract terms that undermine consumers' benefit of the bargain (§ 6). Adding to the protection afforded by the unconscionability doctrine are the good-faith duties that govern contract modification and open discretionary terms (§§ 3 and 5) and rules that police deception and enforce precontractual affirmations and promises (§§ 7 and 8). See also § 1(f) (outlining the provisions of this Restatement). If, despite reasonably communicated disclosures, consumers are not expected to scrutinize the legal terms up front, courts should scrutinize them ex post. The ex post scrutiny is intended to uproot terms that are so one-sided that they would be unlikely to survive in an environment of meaningful assent or that peel off the value that consumers bargained for.

15. Relation to the Uniform Commercial Code and to the Restatement of the Law Second, Contracts. The common-law rules restated herein are consistent with, and elaborate on, the general principles of contract formation articulated in Restatement of the Law Second, Contracts, Chapter 3. In addition, a majority of courts have interpreted Uniform Commercial Code (UCC) § 2-204 in this context in a consistent manner. With respect to adoption of terms after manifesting assent to the transaction (subsection (b)), some courts have interpreted UCC § 2-207 to bar adoption of those terms as part of the consumer contract. Most courts, however, reject that interpretation of UCC § 2-207 and, as those courts have determined that no other provisions of Article 2 address the question of which post-purchase terms become part of the contract, apply instead UCC § 2-204 and—through the gateway provided by UCC § 1-103(b)—general common-law principles. With respect to the adoption of standard contract terms by entry to or continued use of a proprietary environment, the rule of this Section is consistent with Restatement of the Law Second, Contracts § 69(1)(a), which allows silence to operate as an acceptance when the offeree “takes the benefit of offered services with reasonable opportunity to reject them and reason to know that they were offered with the expectation of compensation.” See Comment 7.

REPORTERS' NOTES

a. Generally. This Section is based on legal precedents that reflect three fundamental observations. First, credible empirical evidence, as well as common sense and experience, suggests that consumers rarely read standard contract terms no matter how those terms are disclosed. See, e.g., Yannis Bakos, Florencia Marotta-Wurgler & David R. Trossen, *Does Anyone Read the Fine Print? Consumer Attention to Standard Form Contracts*, 43 J. LEGAL STUD. 1 (2014); OMRI BEN-SHAHAR & CARL E. SCHNEIDER, *MORE THAN YOU WANTED TO KNOW: THE FAILURE OF MANDATED DISCLOSURE* ch. 2 (2014). Informed consent to the standard contract terms is, by and large, absent in the typical consumer contract. This empirical fact is recognized by the courts in formulating the rules stated in this Section. See, e.g., *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021) (citing a draft of this Restatement).

Second, the use of standardization in the production of contract terms is, like standardization in the production of goods and services, a source of potential benefits to consumers and businesses alike. Standardization supports efficient production and distribution, resulting in lower prices and lower transaction costs, and the introduction of new forms of products and services. As noted by a court, “There is nothing automatically offensive about such agreements, as long as the layout and language of the site give the user reasonable notice that a click will manifest assent to an agreement.” *Sgouros v. Transunion Corp.*, 817 F.3d 1029, 1033-1034 (7th Cir. 2016).

Third, courts routinely enforce standard contract terms, even in the absence of informed consent to those terms, if several minimum requirements are met. In particular, the consumer must manifest assent to the underlying transaction, receive reasonable notice of the standard contract terms that are meant to be adopted as part of the contract, and be provided a meaningful opportunity to review the terms.

State and federal court decisions have converged on these minimum requirements, with almost no exception. State courts routinely cite and approve federal court decisions (applying state law). E.g., *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021). Courts also observe that state laws are often “substantially similar.” *Soliman v. Subway Franchisee Advert. Fund Trust, Ltd.*, 999 F.3d 828 (2d Cir. 2021); *Oberstein v. Live Nation Ent., Inc.*, 60 F.4th 505 (9th Cir. 2023) (deciding not to apply a detailed choice-of-law analysis between California and Massachusetts law because each state’s laws apply substantially similar rules). The courts, expressly applying “ordinary contract formation” rules, have collected and synthesized these tests into an overarching test: “We conclude that this two-prong test, focusing on whether there is reasonable notice of the terms and a reasonable manifestation of assent to those terms, is the proper framework for analyzing issues of online contract formation.” *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021); see, e.g., *Sarchi v. Uber Techs., Inc.*, 268 A.3d 258, 269 (Me. 2022) (following *Kauders* and stating, “[i]n the context of online contracts, the question of assent often comes down to whether the website adequately informs the user that conduct such as clicking on a button constitutes assent to contract terms so as to justify an inference that the user intends to be bound”); *Long v. Provide Com., Inc.*, 245 Cal. App. 4th 855, 863, 867 (2016) (“the validity of [a]

browsewrap agreement turns on whether the Web site puts a reasonably prudent user on inquiry notice of the terms of the contract . . . [and] to establish the enforceability of a browsewrap agreement, a textual notice should be required to advise consumers that continued use of a Web site will constitute the consumer's agreement to be bound by the Web site's terms of use."). *Kauders* cites many of the federal decisions (applying state law) discussed in these Reporters' Notes. When evaluating whether a particular transaction satisfies these requirements, the courts look at a range of factors (see those listed in Comment 2) and engage in a "fact-intensive" evaluation of the "totality of the circumstances." See, e.g., *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021); *Zachman v. Hudson Valley Fed. Credit Union*, 49 F.4th 95 (2d Cir. 2022) (applying New York law, whether terms and conditions were incorporated into a "web-based agreement" includes a review of the "design and content" of the interface to determine if the terms and conditions were "clearly identified" and "accessible" to the consumer); *Archer v. Grubhub, Inc.*, 190 N.E.3d 1024 (Mass. 2022) (applying *Kauders*' "totality of the circumstances" test to determine if consumer has "reasonable notice" of the terms of the agreement); Nancy S. Kim, *Digital Contracts*, 75 BUS. LAW. 1682 (2019-2020) ("[C]ourts . . . assess the reasonableness of notice by evaluating the website experience from the perspective of the offeree and by considering how the drafter chose to present terms."); *Oberstein v. Live Nation Ent., Inc.*, 60 F.4th 505 (9th Cir. 2023) (applying *Kauders* and the "totality of the circumstances" test and noting that "while the fact-intensive inquiry required under the two-part reasonableness test may lead to different results as courts [in different states] encounter novel fact patterns, the general legal framework remains unchanged"); Nancy S. Kim, *Developments in Digital "Wrap" Contracts*, 77 BUS. LAW. 275 (2021-2022) (courts focus "on the nature of the transaction and the totality of the user's interaction with the company" and "take into account the nature of the relationship between the parties and the type of dispute"); David McGowan, *Consumer Contracts and the Restatement Project*, San Diego Legal Studs. Paper No. 19-424 (2019) (manuscript at 6), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3534269 ("The key principles under the Seventh Circuit's Illinois-based approach are simple and entirely consistent with California, New York, and the Ninth and Second Circuits: (i) does the consumer receive reasonable notice that they are agreeing to the terms of a contract; and (ii) does the consumer receive reasonable notice of the terms and conditions of that contract.") (footnote omitted). See, e.g., *Emmanuel v. Handy Techs., Inc.*, 992 F.3d 1 (1st Cir. 2021) (engaging in a fact-intensive evaluation and concluding that the consumers had "reasonable notice of the term in the Agreement"); *Theodore v. Uber Techs., Inc.*, 442 F. Supp. 3d 433 (D. Mass. 2020) (applying a two-part test in which the court had first to establish whether the terms were "reasonably communicated to the [consumers]," followed by an inquiry on whether the "the record shows that those terms were 'accepted and, if so, the manner of acceptance'" (quoting *Cullinane v. Uber Techs., Inc.*, 893 F.3d 53, 62 (1st Cir. 2018)); *Scotti v. Tough Mudder Inc.*, 97 N.Y.S.3d 825, 855 (Sup. Ct. 2019) (concluding that notice of the arbitration provision was not reasonably conspicuous, and therefore the arbitration term was not adopted, and noting that courts ought to look at the "design and content of the relevant interface to determine if the contract terms were presented to the offeree in a way that would put her [or him] on inquiry notice of such

terms”) (quoting *Starke v. SquareTrade, Inc.*, 913 F.3d 279, 289 (2d Cir. 2019)); *Sellers v. JustAnswer LLC*, 289 Cal. Rptr. 3d 1, 29 (Cal. Ct. App. 2021) (conducting fact-specific evaluation of the website and holding that seller provided insufficient notice because, among other things, the placement of the notice of the terms was outside the area where a consumer’s attention would be focused and, although the link to the terms was hyperlinked and underlined, it was not set apart in any other way to draw attention). As discussed below, the form of the transactions (“clickwrap,” “browsewrap,” or something else) is not determinative. The same test applies to each kind of transaction. The outcome in each case will depend on whether the requirements stated in this Section are met, regardless of the characterization of the presentation of terms. See, e.g., *Sarchi v. Uber Techs., Inc.*, 268 A.3d 258, 268-269 (Me. 2022) (“Whether an interface provides reasonable notice of the terms of an online contract does not necessarily turn on the classification of the agreement as a scrollwrap, clickwrap, browsewrap, or sign-in wrap agreement; rather, it is essentially a function of how likely the terms and conditions themselves, or a hyperlink to them, are to come to the attention of the reasonably prudent user.”). See also *B.D. v. Blizzard Ent., Inc.*, 76 Cal. App. 5th 931, 950 (2022) (“We next determine what type of online agreement the 2018 License Agreement constitutes (though we need not dwell on the issue because it is the degree of notice provided, not the label, that is determinative).”).

When the standard terms are provided only after the consumer manifests assent to the transaction (known as “Pay Now, Terms Later” (PNTL) or “shrinkwrap” contracts), courts demand that the consumer have, instead of a reasonable opportunity to review the terms in advance, a reasonable opportunity to review the terms after manifesting assent to the transaction and a reasonable opportunity to avoid or terminate the transaction after the standard contract terms are made available for review. Some courts also require that reasonable notice be provided prior to manifesting assent, alerting the consumer that further terms will be presented later, that the consumer has the opportunity to terminate the transaction after reviewing the terms, and that failure to terminate would lead to the adoption of the terms. See, e.g., *Dye v. Tamko Bldg. Prods., Inc.*, 908 F.3d 675 (11th Cir. 2018) (enforcing the “terms later” agreement because the seller provided reasonable notice and reasonable opportunity to terminate the transaction).

The adoption of standard contract terms after manifesting assent to the transaction, as restated in this Section, has long been recognized as an effective adoption procedure in many areas of standard-form contracting. Most consumer goods, for example, arrive with a warranty statement in the box, binding despite its late arrival after the consumer manifested assent to the transaction. Most services ordered over the phone or directly from sales personnel, such as insurance or telecommunications services, are accompanied by standard contract terms that arrive after the consumer manifested the intent to enter into the transaction and the contract has formed. The insurance context is particularly relevant, because it is exceedingly common for the insurance policy to be mailed to the consumer only after the consumer manifested assent; indeed, it would be entirely useless for the consumer to try to review the complex terms of the insurance policy in advance, and any practice prompting consumers to do so should be discouraged because it would yield little or no value and would merely agitate consumers.

In sales-of-goods cases, some controversy has emerged whether the provisions of Article 2 of the Uniform Commercial Code (UCC) permit such post-assent adoption of terms. A small minority of courts have read UCC § 2-207 to bar the adoption of those terms. Analysis of case law, presented below, suggests that a large majority of courts have declined to use UCC § 2-207 to limit the adoption of terms in a merchant's form that is sent to a consumer after the manifestation of assent. Courts have often found the consumer to be bound by terms on the merchant's form by relying on UCC § 2-204 and common-law rules of offer and acceptance not explicitly overturned by the UCC, reasoning that, as long as proper notices are provided to the consumer in advance and reasonable opportunity to review and terminate the contract is provided after the delivery of the terms, no burden is imposed on the consumer by the post-assent delivery of the terms. Courts have also recognized that adoption of such terms reduces contracting costs and does not significantly reduce contract readership (also, as explained below, consumers must be provided the right to exit the transaction without undue burden after receiving the terms).

Even in the presence of adequate notices concerning the adoption of standard contract terms, and regardless of how timely and prominent the presentation of the terms is, consumers rarely become meaningfully informed about the content and the effect of such terms. Accordingly, the prudent approach—reflected in this Restatement and in case law—is to protect consumers against terms that either overreach or undermine express promises made by the business. Those protections are presented in §§ 5 to 8 of this Restatement. Viewed in tandem, the provisions in this Restatement implement both the spirit and the practice of Karl Llewellyn's vision of “blanket assent” to consumer contracts. Under this view, the “boilerplate” is part of the contract despite the absence of informed consent to it, as long as it does not undermine the “dickered terms” and is not otherwise unfair to the consumer. KARL N. LLEWELLYN, *THE COMMON LAW TRADITION: DECIDING APPEALS* 370 (1960). In explaining assent to unknown terms, Restatement of the Law Second, Contracts § 211, Comment *b* (AM. L. INST. 1981), states that:

A party who makes regular use of a standardized form of agreement does not ordinarily expect his customers to understand or even to read the standard terms. . . .

They trust to the good faith of the party using the form and to the tacit representation that like terms are being accepted regularly by others similarly situated. But they understand that they are assenting to the terms not read or not understood, subject to such limitations as the law may impose.

Restatement of the Law Second, Contracts § 211, Comment *b* (AM. L. INST. 1981). Those limitations are embodied in the scrutiny of terms performed by courts under various doctrines, including those in this Restatement.

b. Terms governing proprietary environments. Standard contract terms governing the proprietary environment of a business may be adopted as part of a consumer contract upon entry to, or continued use of, that environment. In the physical world, the terms are often posted and reviewable before entry into the proprietary environment, e.g., a sign near the entrance to a parking lot that stipulates the per-hour price for parking as well as the allocation of any risk of loss. In those cases, the act of entering the environment is a manifestation of assent to the transaction and

adoption of the terms under subsection (a). In the online world, if the notice of the standard contract terms is provided to the consumer prior to entry into an online site, the terms are adopted if, after entry, the consumer can review the terms and avoid their effect by discontinuing use. A straightforward manner in which pre-entry notice can be provided in the online world is through a pop-up statement alerting the consumer to the presence of standard contract terms. In reality, such pop-up statements pose some disruption and annoyance to the great majority of consumers, and since most consumers who are interested in reviewing the standard contract terms governing the use of the website expect them to be posted on the website and be viewable upon entry, such advance notices are not likely to secure any meaningful informational benefit. Accordingly, the presence of demonstrated market norms that inform consumers' expectations regarding the existence and availability of standard contract terms may substitute for an explicit advance notice. Alternatively, a prominent link on the entry page—to a separate web page containing the standard contract terms—may provide the requisite notice, and the continued use of the website, rather than mere entry to the online environment, is the manifestation of assent to the transaction and adoption of the terms under subsection (a).

When the consumer enters and continues to use a proprietary environment, after receiving reasonable notice of the effects of such actions, the consumer's silence or inaction, along with the continued usage and the taking of the benefits, operates as a manifestation of assent and the terms that apply to the use of the proprietary environment are adopted as part of the consumer contract. This approach serves particularly well the convenience that consumers and businesses value in the course of digital transactions. Users of digital environments often interact with multiple businesses in a short period of time, many of which provide them with useful services or information without charging money and without requiring a cumbersome sign-up ritual. The application of the assent and adoption rules to the context of entry to and continued use of a proprietary environment is likely to promote the interest of the great majority of consumers who use digital environments and prefer to avoid the repeated formalities. Compare Restatement of the Law Second, Contracts § 69(1)(a) (AM. L. INST. 1981), which allows silence or inaction to operate as an acceptance when the offeree "takes the benefit of offered services with reasonable opportunity to reject them and reason to know that they were offered with the expectation of compensation." The use of the proprietary environment is the taking of the "benefit of offered services"; the notice provided by the business gives consumers a reason to know of the business's "expectation of compensation" (namely, that the terms will become part of the contract); and the reasonable opportunity to terminate the transaction under subsection (b)(3) of this Section is a "reasonable opportunity to reject" under Restatement of the Law Second, Contracts § 69(1)(a). This view is also reflected in the case law. See, e.g., *Schnabel v. Trilegiant Corp.*, 697 F.3d 110 (2d Cir. 2012). In affirming silence as a viable mode of acceptance, the court in *Schnabel* cited Restatement of the Law Second, Contracts § 69(1)(a) and noted that "acceptance need not be express, but where it is not, there must be evidence that the offeree knew or should have known of the terms and understood that acceptance of the benefit would be construed by the offeror as an agreement to be bound." *Schnabel*, 697 F.3d at 128. See also *Register.com, Inc. v. Verio, Inc.*, 356 F.3d 393 (2d Cir. 2004).

(endorsing, in dicta, the approach articulated in Restatement of the Law Second, Contracts § 69(1)(a) (AM. L. INST. 1981); *id.* at 403 (“It is standard contract doctrine that when a benefit is offered subject to stated conditions, and the offeree makes a decision to take the benefit with knowledge of the terms of the offer, the taking constitutes an acceptance of the terms, which accordingly become binding on the offeree.”)).

c. Possibility of multiple contracts. Consumer transactions often involve relationships with more than one business. A purchase of hardware may lead to a contractual relationship with software makers governing preinstalled software. A purchase at a retail store may likewise lead to a contractual relationship with the manufacturer of the purchased product. If the requirements of subsection (a) or (b) are satisfied, more than one consumer contract may result from a single act of manifesting assent. For such multiple contracts to be formed by one act of assent, consumers must receive an additional reasonable notice that their assent would form a contract with more than one business.

Illustration 17 is based on *Norcia v. Samsung Telecommunications America, LLC*, 845 F.3d 1279 (9th Cir. 2017). While in that case the court refused to enforce the second contract (with the manufacturer), it laid out the principle that by manifesting assent to the transaction the consumer can enter into two separate contracts—one with the retailer and one with the manufacturer. As explained by the court in *Norcia*:

This prediction of how California courts would rule is not untenable: Where a notice on a package states that the user agrees to certain terms by opening the package, a court could reasonably conclude, consistent with California contract law, that the user has a duty to act in order to negate the conclusion that the consumer had accepted the terms in the notice.

Id. at 1287. Such a duty to “negate” could be discharged by returning the product to the retailer, as (in that case) expressly permitted by the manufacturer’s in-the-box terms. In *Norcia*, a second contract with the manufacturer was not concluded, because the consumer did not receive adequate notice of the second contract. *Id.* at 1289. See also *In re Samsung Galaxy Smartphone Mktg. & Sales Pracs. Litig.*, 298 F. Supp. 3d 1285, 1298 (N.D. Cal. 2018) (enforcing the arbitration clause in the second contract after concluding that consumer purchasers of certain models of Samsung phones were given sufficient notice of the manufacturer’s standard terms when the boxes containing the phones included a clear and conspicuous legend stating, “Device purchase subject to additional Samsung terms and conditions,” and when posting a conspicuous notice of the terms on the user manual where the terms were presented). See also *Velasquez-Reyes v. Samsung Electronics Am., Inc.* 777 F. App’x 241 (9th Cir. 2019) (following *Norcia* and refusing to enforce the shrinkwrapped terms because the box with the printed notice of the terms was opened by the store employee, depriving the consumer of the opportunity to see the notice, as established by the lower court).

Illustration 24 is based on *Knutson v. Sirius XM Radio Inc.*, 771 F.3d 559, 568 (9th Cir. 2014). Here, too, a second contract was not formed because the necessary notice was lacking. But,

as stated by the court explicitly, with appropriate notice, a second contract with the third-party service provider could be formed:

The Toyota purchase agreement could clearly state that Toyota has a relationship with Sirius XM to provide Toyota customers with a trial service, and that therefore the Toyota customer is entering into a contractual relationship with Sirius XM. Toyota could also provide its customers with literature that similarly explains the agreement between Sirius XM and the Toyota customer and ask for assent to such agreement.

Id. The court concluded that without such notice a second contract is not formed: “Because Sirius XM’s offer was not effectively communicated, there was no knowing consent to the Customer Agreement, including the arbitration clause within it.” Id.

The critical elements of the assent doctrine restated in this Section require that in addition to the manifestation of assent by the consumer to the transaction as a whole, the consumer receive adequate notices and a meaningful opportunity to avoid unwanted terms, as explained below.

d. Notice. The rules restated in this Section require reasonable notice, as determined by the totality of the circumstances. The notice must alert the consumers to the existence of the standard contract terms and the intent to include them as part of the transaction formed by the manifestation of assent. If terms are adopted under subsection (b), a pre-assent notice must also alert the consumers to their post-assent arrival and to the consumer’s right to terminate the transaction after their review (and to the consequences of non-termination). See *Schnabel v. Trilegiant Corp.*, 697 F.3d 110, 124 (2d Cir. 2012) (“[T]he touchstone of the [inquiry notice] analysis is whether reasonable people in the position of the parties would have known about the terms and the conduct that would be required to assent to them.”); *In re Zappos Litig.*, 893 F. Supp. 2d 1058, 1064 (D. Nev. 2012) (holding that because the terms of use were inconspicuously “buried in the middle to bottom of every Zappos.com web page among many other links, and the website never directs a user to the terms of use,” there was not sufficient notice for acceptance); *Roller v. TV Guide Online Holdings, LLC*, 2013 Ark. 285 (2013) (determining that business failed to meet its burden to show that an enforceable agreement existed between business and appellants because business could not demonstrate that appellants had constructive or actual knowledge of the terms of the agreement); *Tompkins v. 23andMe, Inc.*, 2014 WL 2903752, at *6 (N.D. Cal. June 25, 2014) (deciding that business provided insufficient notice to customers and website visitors because the “only way for a customer to see the [terms of service] . . . was to scroll to the very bottom of the page and click a link under the heading ‘LEGAL’”); *Berkson v. Gogo LLC*, 97 F. Supp. 3d 359, 401, 404 (E.D.N.Y. 2015) (holding that business failed to provide sufficient notice because “[t]he design and content of the website, including the home page, did not make the ‘terms of use’ readily and obviously available to [the consumer]”); *Salameno v. Gogo Inc.*, 2016 WL 4939345, at *2 (E.D.N.Y. Sept. 13, 2016) (holding that business’s revised disclosure provided reasonable notice because consumers “were notified of the link to terms and conditions each time they signed in to use the service, and they then received an e-mail containing a link to the terms and conditions of the particular purchase”); *Selden v. Airbnb, Inc.*, 2016 WL 6476934, at *1 (D.C. Cir. Nov. 1, 2016)

(finding that business provided sufficient notice of its terms of service when it placed a sign-up box with the text “By signing up, I agree to Airbnb’s Terms of Service,” in the middle of the page, in contrasting, appropriately sized font, “unobscured by other visual elements”); *Meyer v. Uber Techs.*, 868 F.3d 66 (2d Cir. 2017) (concluding that business’s app satisfied the test of providing reasonably conspicuous notice of the Terms of Service as a matter of California law); *Emmanuel v. Handy Techs., Inc.*, 992 F.3d 1, 9 (1st Cir. 2021) (deciding that consumer had reasonable notice of the terms because “the screen displaying the portion of the Agreement that was plainly visible before [consumer] selected ‘Accept’ made clear that additional text further specifying the terms of the Agreement could be viewed by scrolling”); *Immediato v. Postmates, Inc.*, 2021 WL 828381, at *4 (D. Mass. Mar. 4, 2021) (finding the seller provided reasonable notice because consumers were required to click on a link that was prominently displayed beneath a legend that stated, “Before continuing, you’ll need to agree to the following terms,” and because, after opening the link, consumers were required to click an “Agree” button to show assent to terms); *Claussen v. Online Diamonds Int’l Corp.*, 2021 WL 39598 (N.Y. Sup. Ct. Jan. 5, 2021) (finding that terms were reasonably conspicuous because they were presented as hyperlinks in blue font against a contrasting background in an otherwise uncluttered web page); *Starke v. SquareTrade, Inc.*, 913 F.3d 279, 289 (2d Cir. 2019) (finding that the terms and conditions sent via an email after consumer manifested assent to the transaction did not provide reasonable notice because seller’s confirmation email failed to draw any attention to the Terms & Conditions hyperlink, which was inconspicuously placed in small font at the bottom of the email); *Foster v. Walmart, Inc.* 15 F.4th 860, 864 (8th Cir. 2021) (reversing the lower court’s finding of insufficient notice of hyperlinked browsewrap terms and remanding so that the court could “determine whether a reasonably prudent user would have known to inquire further” by examining “the exact location and prominence of the terms-of-use hyperlink, how many clicks it would have taken for the user to discover the arbitration provision, and whether the website changed during the relevant period”); *In re Juul Labs, Inc.*, 555 F. Supp. 3d 932 (N.D. Cal. 2021) (finding that presenting an uncluttered clickbox with a clear notice immediately below it explaining that clicking on the box constituted assent to the terms and conditions and privacy policy, both hyperlinked in contrasting colors and in different font, provided sufficient notice of the terms). Several Illustrations in this Section are based on leading cases that examined the reasonableness of the notice provided to consumers. Illustration 13 is based on *Specht v. Netscape*, 306 F.3d 17 (2d Cir. 2002). Illustration 16 is based on *Holdbrook Pediatric Dental, LLC v. Pro Computer Service, LLC*, 2015 WL 4476017, at *6 (D.N.J. July 21, 2015) (finding that the “existence of the hyperlink in the document [from PCS], without any statement to draw attention to the link, is insufficient to demonstrate that Holdbrook had ‘reasonable notice’ that the ‘Terms and Conditions’ were part of the contract”). It embodies the principle that incorporation by reference of a separate document must include a clear reference to a specific document that can be accessed without undue burden. See also *State ex rel. U-Haul Co. of W. Va. v. Zakaib*, 752 S.E.2d 586, 589 (W. Va. 2013) (holding that “[t]o uphold the validity of terms in a document incorporated by reference, (1) the writing must make a clear reference to the other document so that the parties’ assent to the reference is unmistakable; (2) the writing must

describe the other document in such terms that its identity may be ascertained beyond doubt; and (3) it must be certain that the parties to the agreement had knowledge of and assented to the incorporated document so that the incorporation will not result in surprise or hardship”). When agreements are delivered in electronic form, a separate document may be incorporated through a prominent hyperlink, accompanied by a statement drawing the consumer’s attention to the fact that clicking the button constitutes acceptance of the hyperlinked terms. But when the agreement is delivered in a printed-paper form, the printed appearance of the hyperlink does not afford consumers sufficient notice and opportunity to review. In such case, it is necessary to provide a clear statement as to where the additional terms may be found and place them in a location that is easy for the consumer to access. Similarly, merely referring to “additional terms of sale” does not sufficiently alert the consumer. The reference needs to be specific, so that “the identity of the separate document may be ascertained beyond doubt.” *Walker v. Builddirect.Com Techs. Inc.*, 349 P.3d 549, 554 (Okla. 2015). The business can accomplish successful reference “by drafting the Contract employing words of express incorporation or clearly referencing, identifying and directing the [consumers] to the document to be incorporated.” *Id.* at 554. See also *id.* (refusing to recognize a vague attempt at incorporation by reference under Oklahoma law).

Illustration 18 is based on *Sgouros v. TransUnion Corp.*, 817 F.3d 1029, 1033-1034 (7th Cir. 2016). It embodies the principle that “the layout and language of the site [must] give the user reasonable notice that a click will manifest assent to an agreement.” *Id.* This case emphasizes that an “I Agree” click, in and of itself, is not sufficient to manifest assent. The consumer must have reasonable notice of what the consumer is agreeing to. In particular, an “I Agree” click will not manifest assent to standard terms when the layout and language of the site allow for a reasonable inference that, by clicking “I Agree,” the consumer is consenting to something else (in *Sgouros*, that “something else” was authorization for TransUnion to obtain consumers’ personal information from a third party). See also *TopstepTrader, LLC v. OneUp Trader, LLC*, 2018 WL 1859040 (N.D. Ill. Apr. 18, 2018); *Sullivan v. All Web Leads, Inc.*, 2017 WL 2378079, at *8 (N.D. Ill. June 1, 2017) (finding that, given the notices offered by seller, clicking “I agree” only authorized the sharing of personal information and not agreement to terms); *Barrera v. Guaranteed Rate, Inc.*, 2017 WL 4837597, at *3 (N.D. Ill. Oct. 23, 2017) (finding that the inconspicuous placement of terms and small font made it unlikely for consumers to understand they were agreeing to terms when they clicked on a “Quote” button); *Melo v. Zumper, Inc.* 439 F. Supp. 3d 683, 689 (E.D. Va. 2020) (finding that clicking on a “Create Account” button constituted assent to the standard terms because seller presented prospective users clear and conspicuous notices adjacent to such button stating that, “By creating a Zumper account you indicate your acceptance of our Terms and Conditions and Privacy Policy,” both of which appeared in contrasting color to indicate they were hyperlinks); *Dohrmann v. Intuit, Inc.*, 823 F. App’x 482, 484 (9th Cir. 2020) (finding that clicking on a “sign in” button constituted assent because “the relevant warning language and hyperlink to the Terms of Use were conspicuous—they were the only text on the webpage in italics, were located directly below the sign-in button, and the sign-in page was relatively uncluttered”).

Illustration 19 is based on *Noble v. Samsung Electronics America, Inc.*, 2016 WL 1029790 (D.N.J. Mar. 15, 2016). It provides additional guidance as to what must appear in a notice to put consumers on alert that a document contains standard contract terms, and emphasizes that terms printed in a booklet or instruction manual may, in the circumstance, be insufficient to satisfy the notice-and-opportunity-to-review requirement when reference to them was not given during the manifestation of assent. See also *Jones v. Samsung Elecs. Am., Inc.*, 2018 WL 2298670 (W.D. Pa. May 21, 2018) (refusing to enforce an arbitration agreement tucked in the middle of an extensive “Important Information” booklet under a section titled “Manufacturer’s Warranty,” when the product’s box only included a sticker listing the items included in the box and not making reference to the terms, because it failed the constructive-notice requirement). Similarly, an arbitration clause or other standard term printed on the wrapper of bundles of shingles to be installed by a roofer would not constitute reasonable notice under this Section. *Hobbs v. Tamko Bldg. Prods., Inc.*, 479 S.W.3d 147 (Mo. Ct. App. 2015). But see *Dye v. Tamko Bldg. Prods., Inc.*, 908 F.3d 675 (11th Cir. 2018) (declining to follow *Hobbs*, stating that the packaging on the shingles was akin to shrinkwrap and the design and layout of the printed terms provided reasonable notice). Nor would an arbitration clause included in a sample contract on a checkout web page that can only be accessed after having to click through two optional links placed far away from a “BUY NOW” button. *Savetsky v. Pre-Paid Legal Servs.*, 2015 WL 604767 (N.D. Cal. Feb. 12, 2015). See also *Pang v. Samsung Elecs. Am., Inc.*, 371 F. Supp. 3d 633 (N.D. Cal. 2019) (concluding that notice was insufficient because no reasonable person would expect an arbitration clause to be included in a warranty guide booklet).

Illustration 21 is based on *Berkson v. Gogo LLC*, 97 F. Supp. 3d 359 (E.D.N.Y. 2015). It demonstrates that courts will engage in fact-specific inquiries regarding elements of website design, such as text placement, size, color, and context, as well as the particular language of the notice in determining whether the consumer received reasonable notice. See also *Nguyen v. Barnes & Noble*, 763 F.3d 1171 (9th Cir. 2015) (focusing on the design of the page where the standard terms were placed to determine that notice was insufficient); *Meyer v. Kalanik*, 291 F. Supp. 3d 526 (S.D.N.Y. 2018) (considering nonstatic elements of website design such as the role of a pop-up keypad in possibly obscuring notice); *Cullinane v. Uber Techs., Inc.*, 893 F.3d 53 (1st Cir. 2018) (considering elements of website design, including graphics, in determining the reasonableness of notice); *Bekele v. Lyft, Inc.*, 918 F.3d 181 (1st Cir. 2019) (generalizing the holding in *Cullinane*, and stating that “[t]he reasonable notice standard has governed online contracts across jurisdictions since the early days of the internet, and the inquiry has always been context- and fact-specific”). See, e.g., *Valelly v. Merrill Lynch, Pierce, Fenner & Smith Inc.*, 464 F. Supp. 3d 634, 639 (S.D.N.Y. 2020) (enforcing an online agreement when seller included a conspicuous notice indicating that consumers should “scroll down to read all twelve terms” in addition to a text box in bold-faced type instructing consumers that clicking “I agree” constituted manifestation of assent to all 12 terms in the agreement); *Henricks v. Flywheel Sports, Inc.*, 2020 WL 1285453, at *1 (S.D.N.Y. Mar. 18, 2020) (finding that notice was reasonable when seller required consumers to click a box stating, “I agree with the Flywheel Sports Terms and Conditions

of Service and Privacy Policy,” in a visible and hyperlinked text in contrasting color against an uncluttered background); *Feld v. Postmates, Inc.*, 442 F. Supp. 3d 825 (S.D.N.Y. 2020) (finding that notice of the terms was sufficiently conspicuous because seller presented them in grey and black contrast color against a white background, hyperlinked in a darker, bolder font than the rest of the text). See also *Wilson v. Playtika, Ltd.*, 349 F. Supp. 3d 1028 (W.D. Wash. 2018); *Sollinger v. SmileDirectClub, LLC*, 2020 WL 774135 (S.D.N.Y. Feb. 18, 2020); *Nicholas v. Wayfair Inc.*, 410 F. Supp. 3d 448 (E.D.N.Y. 2019); *Melo v. Zumper, Inc.*, 439 F. Supp. 3d 683 (E.D. Va. 2020); *Zhang v. Gain Cap. Holdings, Inc.*, 2021 WL 2103233 (D.N.J. May 25, 2021); *Foster v. Walmart, Inc.*, 15 F.4th 860 (8th Cir. 2021).

Illustration 22 is based on *Meyer v. Uber Techs.*, 868 F.3d 66 (2d Cir. 2017). It demonstrates that courts will consider the totality of the circumstances, including the context of the placement and language, in determining whether notice is reasonable. See also *Bernardino v. Barnes & Noble Booksellers, Inc.*, 2017 WL 7309893, at *10 (S.D.N.Y. Nov. 20, 2017) (evaluating the language and placement of notices on the entire web page, and holding that notice was reasonable because business’s “arbitration provision met the key aspects of being reasonably conspicuous by virtue of the format and design of the ‘Submit Order’ page and the fact that customers could easily learn of the existence of, and access and read, the TOU before deciding to purchase a DVD”); *Applebaum v. Lyft, Inc.*, 263 F. Supp. 3d 454 (S.D.N.Y. 2017) (concluding notice was not reasonable because, among other factors, the registration process design was not formatted in a way that alerted consumers that clicking a pink box titled “Next” at the bottom of a screen constituted acceptance of the standard terms, and the design discouraged recognition of the existence of the terms); *Wollen v. Gulf Stream Restoration & Cleaning, LLC*, 259 A.3d 867, 878 (N.J. Super. Ct. App. Div. 2021) (evaluating the totality of the circumstances and finding that the presentation of terms did not provide reasonable notice of seller’s terms and conditions because “[a]lthough the terms of the hyperlink, ‘Terms & Conditions’ were displayed in ‘blue font’ against a white background, those terms were not underlined, bolded, or enlarged”); *Dickey v. Ticketmaster LLC*, 2019 WL 9096443 (C.D. Cal. Mar. 12, 2019) (holding that reasonably conspicuous, hyperlinked terms of use were enforceable because they were highly visible and presented in its typical blue color against a contrasting background); *Peter v. Doordash, Inc.*, 445 F. Supp. 3d 580 (N.D. Cal. 2020) (finding that notice was insufficient because, even though the screen page with the terms and conditions was uncluttered and the notice of agreement to terms was visible under the sign-up button, the hyperlinked terms were neither underlined nor capitalized); *Sarchi v. Uber Techs., Inc.*, 268 A.3d 258 (Me. 2022) (applying a “totality of the circumstances” approach, analyzing the conspicuousness, design, placement, coloring, and sequence of notices during the registration process, and concluding that notice was insufficient).

Courts also evaluate the reasonableness of a notice by considering whether the presentation of the standard terms comports with established market norms and the consumer expectations that such norms create. For example, the court in *Cullinane v. Uber Technologies, Inc.*, 893 F.3d 53 (1st Cir. 2018), held that notice was not reasonable because Uber did not employ the typical method of presenting hyperlinks (which are usually in contrasting color and underlined), thus

failing to inform consumers of the existence and location of standard terms. Courts also take into account whether a business's revisions to the format by which the terms are presented provide reasonable notice in light of its own prior format of presentation. See, e.g., *Applebaum v. Lyft, Inc.*, 263 F. Supp. 3d 454 (S.D.N.Y. 2017) (concluding notice was not reasonable because notice and terms were not as conspicuously presented to consumers as in previous registration processes).

In addition, courts evaluate whether the consumer received reasonable notice that the standard contract terms were intended to be adopted as part of the contract for the transaction. For example, within the context of a mobile platform, the court in *Meyer* concluded that “[a] reasonable user would know that by clicking the registration button, he was agreeing to the terms and conditions accessible via the hyperlink, whether he clicked on the hyperlink or not.” *Meyer*, 868 F.3d at 79-80. See also *Sarchi v. Uber Techs., Inc.*, 268 A.3d 258, 271 (Me. 2022) (noting that the hyperlinks of the terms were not underlined or conspicuously placed, and distinguishing the case from *Meyer* by noting that “the differences between the registration interface at issue in *Meyer* and the one at issue here are highly material. The interface in *Meyer* increased the likelihood that the terms would come to the user’s attention—the hyperlink text to the terms in *Meyer* was underlined and in blue, and the hyperlink itself appeared in close proximity to the ‘REGISTER’ button”) (footnote and citation omitted). Similar analyses can be seen in other contexts, in which courts consider the expectations and understanding of similarly situated consumers in determining whether consumers understood the offeror’s intent. In *Applebaum v. Lyft, Inc.*, 263 F. Supp. 3d 454, 466 (S.D.N.Y. 2017), the court refused to enforce a contract after holding that the company’s current mode of giving notice of the terms differed from a previous one that consumers had become accustomed to, and that, partly as a result of this, the newer mode “discouraged recognition of the existence of lengthier contractual terms that should be reviewed.” See also *Wickberg v. Lyft, Inc.*, 356 F. Supp. 3d 179 (D. Mass. 2018) (concluding that terms were communicated with reasonable notice when the business required the user to click on a box stating “agree to Lyft’s terms of services” before the user could continue with the registration process; in that case, the notice appeared toward the bottom of a screen, and it was written in smaller font and without the typical blue-colored hyperlink, but appeared in contrasting color and was distinguishable on the screen).

As part of this evaluation for an online transaction, including transactions over mobile devices, the business must be able to demonstrate the “flow” and process of the screens seen by the consumer at the time the consumer entered into the transaction. See, e.g., *Bacon v. Avis Budget Grp., Inc.*, 959 F.3d 590 (3d Cir. 2020) (holding that screenshots taken 18 months *after* the online transaction not sufficient to prove what customer saw at time of transaction; declaration by party as to assent process not sufficient when assent allegedly occurred on the website of another person); *Sgouros v. Transunion Corp.*, 817 F.3d 1029, 1035 (7th Cir. 2016) (scroll box labeled “Service Agreement” but saying nothing about what the agreement regulated not sufficient to alert consumer to the governing terms); *Snow v. Eventbrite, Inc.*, 2020 WL 6135990, at *5 (N.D. Cal. Oct. 19, 2020) (party asserting enforceability of online agreement must “demonstrate what versions of the sign-in wrap agreements the plaintiffs would have seen during the relevant time period”); *Kemenosh v. Uber Techs., Inc.*, 2020 WL 254634, at *6 (Phila. Ct. Com. Pl. Jan. 3, 2020)

(finding that the hyperlink with Uber’s terms of service and privacy policy “contained no indication that it contained further essential terms other than the implicit agreement of offering transportation in exchange for money,” and that the hyperlink with the terms was not underlined, a characteristic that would be consistent with consumer expectations); *Emmanuel v. Handy Techs., Inc.*, 992 F.3d 1, 9 (1st Cir. 2021) (applying the two-part inquiry articulated in *Kauders* and finding that an agreement in a scroll box gave consumers reasonable notice because “the screen displaying the portion of the Agreement that was plainly visible before [the consumer] selected ‘Accept’ made clear that additional text further specifying the terms of the Agreement could be viewed by scrolling”); *Chong v. Ne. Univ.*, 2021 WL 1857341 (D. Mass. May 10, 2021) (following *Kauders*’ two-prong test to find that seller had not given consumer reasonable notice of the terms). Indeed, it is the burden of the business to show that requirements in this Section have been met. *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021). See also *Sellers v. JustAnswer LLC*, 289 Cal. Rptr. 3d 1, 13 (Cal. Ct. App. 2021) (“[T]o establish mutual assent for the valid formation of an internet contract, a provider must first establish the contractual terms were presented to the consumer in a manner that made it apparent the consumer was assenting to those very terms when checking a box or clicking on a button.”).

e. Reasonable opportunity to terminate. Under subsection (b), terms presented to the consumer after the manifestation of assent are adopted only if the consumer has a reasonable opportunity to terminate the transaction after reviewing the terms. Whether such termination is viewed as nonacceptance of the offer (that is otherwise accepted by nonrejection), revocation of a previous acceptance, or withdrawal from a fully formed contract, it is an alternative template for granting consumers a reasonable opportunity to exercise meaningful assent. Such termination rights protect consumers by permitting them to avoid harmful terms.

A right to terminate the transaction guarantees that consumers are only bound to terms they have a reasonable opportunity to review. In effect, the business’s prerogative to present the terms post assent comes at a cost: the contract is not finalized until the termination period expires, and consumers have the option during that period to undo an undesirable transaction. The right to termination must be practical: consumers must be made aware of the right to terminate and be provided with a reasonable time to exercise this right at a cost that does not render the opportunity to terminate impractical. Most cases addressing the enforceability of delayed terms cite the importance of effectively communicating the right to terminate by returning the goods or cancelling the service. When a reasonable right to terminate is effectively communicated, the standard terms are enforced. See, e.g., *ProCD v. Zeidenberg*, 86 F.3d 1447, 1452-1453 (7th Cir. 1996) (confirming that because “ProCD extended an opportunity to reject if a buyer should find the license terms unsatisfactory,” the contract was enforceable); *Bischoff v. DirectTV, Inc.*, 180 F. Supp. 2d 1097, 1101 (C.D. Cal. 2002) (enforcing a DirecTV agreement that clearly communicated to the customer that if they did not accept the terms, the service would be cancelled upon immediate notification); *Brower v. Gateway 2000, Inc.*, 676 N.Y.S.2d 569, 572 (N.Y. App. Div. 1998) (refusing to find a clause unenforceable as a contract of adhesion, because the consumer could easily reject Gateway’s terms by returning the merchandise and buying competitor’s product);

M.A. Mortenson Co. v. Timberline Software Corp., 998 P.2d 305, 308-313 (Wash. 2000) (finding acceptance of additional terms when consumer was notified of the right to return the product for a refund). And when the right to terminate is not effectively communicated, the standard terms are not enforced. See, e.g., *Defontes v. Dell, Inc.*, 984 A.2d 1061, 1072 (R.I. 2009) (holding that because it could not be said that it was reasonably apparent to plaintiffs that they could reject the terms simply by returning the goods, the terms and conditions were not binding); *Soo v. Lorex Corp.*, 2020 WL 5408117 (N.D. Cal. Sept. 8, 2020) (holding that there was no valid agreement when consumer was not afforded the right to return the product). Of course, notice of a right to terminate is not sufficient in and of itself. The consumer must be afforded a reasonable opportunity to exercise that right. Specifically, the consumer must be granted sufficient time to exercise the right to terminate, and the cost, loss of value, or burden involved in exercising the right must not be so large that it deters the exercise of the right. Cf. *Lima v. Gateway*, 886 F. Supp. 2d 1170, 1186 (C.D. Cal. 2012) (determining that a 15-day window and 15 percent restocking fee made the affirmative duty to reject so oppressive as to contribute to procedural unconscionability).

A right to terminate is a condition for adopting the standard terms as part of the contract only when the terms are adopted under subsection (b). If the terms are reasonably available to the consumer before or at the time of manifesting assent to the transaction, a right to terminate is not required. See subsection (a).

The rules regarding the adoption of terms that satisfy the requirements of notice and opportunity to review under subsections (a) and (b) and a right to terminate the transaction under subsection (b) are the result of relatively recent doctrinal evolution. These requirements were identified using the traditional approach that relies on reasoning articulated by courts, both in dicta and in holdings, in published appellate cases only. The traditional approach was then supplemented by a more comprehensive empirical analysis, as described in the Reporters' Notes to § 1.

This Restatement describes the results of both the traditional analysis and the comprehensive empirical analysis for three different types of relatively recent standard-term adoption procedures: clickwrap, browsewrap, and "Pay Now, Terms Later" (PNTL). To be sure, consumer contracts often take other, more traditional forms, including acceptance by signature, by conduct, or by taking of benefit; and the requirements of notice and opportunity to review apply also to those traditional forms of assent. This Restatement nevertheless addresses the three-way classification below as shorthand for three common procedures for the adoption of standard contract terms. The clickwrap analysis looks at procedures that adopt terms in the course of an affirmative manifestation of assent, such as a click on "I Agree" or on a "Register" button with a legend stating "By registering to this service I agree to the Terms and Conditions"; the browsewrap analysis looks at procedures that adopt terms in the course of entering a proprietary environment without an affirmative and separate manifestation of assent; and the PNTL (or "shrinkwrap") analysis looks at procedures that adopt terms after the manifestation of assent. (It is worth noting that, in electronic commerce, while the archetypal adoption procedures have often been classified as clickwrap, browsewrap, and PNTL, several hybrid forms are often used, and these labels are not dispositive. Of course, all procedures of adoption must conform to the rules of this Section. In

deciding how to classify them, this Restatement looked to the component of the agreement that was the focus of the dispute.)

f. Clickwrap. In electronic and web-based transactions, assent is often manifested by clicking an “I Agree” button. That procedure is the digital equivalent of a signature at the bottom of a printed form. See UNIF. ELECTRONIC TRANSACTIONS ACT § 7 (UNIF. L. COMM’N 1999). The “I Agree” button commonly appears below a scroll-down window that contains the standard terms. See, e.g., *Caspi v. Microsoft Network, LLC*, 732 A.2d 528, 532 (N.J. Super. Ct. App. Div. 1999) (finding no violation of the public policy of New Jersey in enforcing the membership agreement for an online computer service in which prospective subscribers were required to click either “I agree” or “I don’t agree” to terms); *Forrest v. Verizon Commc’ns, Inc.*, 805 A.2d 1007, 1010 (D.C. 2002) (enforcing a forum-selection clause in a contract that subscriber entered by clicking an “Accept” button below the scroll box); *Moore v. Microsoft Corp.*, 741 N.Y.S.2d 91, 92 (N.Y. App. Div. 2002) (ruling that a validly binding contract was formed when user indicated assent to the end-user license agreement by clicking on an icon before proceeding with the download of the software). In some cases, the “I Agree” button appears next to a link that would take the consumer to another page with the standard terms. See, e.g., *Comb v. PayPal, Inc.*, 218 F. Supp. 2d 1165 (N.D. Cal. 2002) (classifying business’s user agreement, in which a link to the text of the terms is at the bottom of the application, as a clickwrap contract); *Swift v. Zynga Game Network, Inc.*, 805 F. Supp. 2d 904 (N.D. Cal. 2011) (granting a motion to compel arbitration when a clickwrap presentation with hyperlinked terms provided the user notice and opportunity to review the terms of service prior to acceptance); *Fteja v. Facebook*, 841 F. Supp. 2d 829 (S.D.N.Y. 2012) (ruling that a user assented to business’s terms of use even though they were only available through a hyperlink). Those “clickwrap,” “sign-in-wrap” (when the active manifestation to the transaction and the terms occur simultaneously, upon the click of a “sign in” or “buy now” button, next to a notice and a link to the terms), or “scrollwrap” (when the terms appear in a box above the “I Agree” button) terms are adopted, as long as the manner in which terms and notice of terms are presented satisfies the notice requirements that focus on language, placement, and other aspects that enhance the conspicuousness of the terms. See, e.g., *Berkson v. Gogo LLC*, 97 F. Supp. 3d 359 (E.D.N.Y. 2015); *Corwin v. NYC Bike Share, LLC*, 238 F. Supp. 3d 475 (S.D.N.Y. 2017) (explaining how various forms of presenting terms online, regardless of the particular details, must meet the constructive-notice requirement); *Barbanell v. One Med. Group, No. CGC-18-566232*, 2019 Cal. Super. LEXIS 1411, at *13 (Cal. Super. Ct. Apr. 3, 2019) (explaining that reasonable notice and a manifestation of assent are necessary for the formation of an agreement regardless of how such agreement is presented, and noting that “simply because an internet agreement is classified as a ‘Clickwrap’ agreement does not mandate that it is valid”). They are adopted under subsection (a) of this Section.

At times, the notice adjacent to the “click” refers to additional terms, available on a different website. These referenced terms are also adopted, as long as they are reasonably accessible by the consumer. See *DeJohn v. TV Corp. Int’l*, 245 F. Supp. 2d 913 (C.D. Ill. 2003) (finding that consumer was bound by the terms of an agreement, part of which were incorporated

by reference). Importantly, the additional terms must be accessible by the consumer before the consumer clicks “I Agree.” See *State ex rel. U-Haul Co. v. Zakaib*, 752 S.E.2d 586 (W. Va. 2013) (holding that business was unsuccessful in its attempts to incorporate an addendum because it was only provided to consumers after a rental agreement was executed). The reasonableness of the notice depends on how likely the terms are to come to the attention of a reasonably prudent user in that particular context. See *Sarchi v. Uber Techs., Inc.*, 268 A.3d 258, 268 (Me. 2022) (stating that “[t]he first step focuses on whether a user had reasonable notice of the online contract terms ‘consider[ing] the perspective of a reasonably prudent . . . user’ of online technology”) (quoting *Meyer v. Uber Techs., Inc.*, 868 F.3d 66, 77 (2d Cir. 2017)). See also, e.g., *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021); *Cullinane v. Uber Techs., Inc.*, 893 F.3d 53, 61 (1st Cir. 2018); *Meyer v. Uber Techs.*, 868 F.3d 66 (2d Cir. 2017).

A traditional analysis focusing exclusively on all the decisions by state supreme and appellate courts through 2022 reveals that courts routinely hold that the clickwrap method is effective in adopting the terms, as long as a clear notice alerts the consumer that such terms are intended to be part of the contract. In all supreme-court or appellate-court decisions on point, clickwraps accompanied by proper notice were deemed to be an effective method of adoption of terms. The supreme courts of five states—Louisiana, Maine, Massachusetts, Washington, and West Virginia—have ruled specifically on the enforceability of clickwraps. Eight additional states have opinions on point written by state appellate courts. In the absence of decisions on point by state supreme or appellate courts, other Restatements have consulted opinions written by federal circuit courts interpreting state law. That approach is followed throughout this Restatement. The 19 high state-court decisions include *Adsit Co., Inc. v. Gustin*, 874 N.E.2d 1018 (Ind. Ct. App. 2007) (Indiana: enforcing a forum-selection clause when consumers were asked to click an “I Accept” button to manifest assent to the terms, the terms were short and clear, and the forum-selection provision was clearly marked in bold and capital letters); *Jallali v. Nat’l Bd. of Osteopathic Med. Exam’rs, Inc.*, 908 N.E.2d 1168 (Ind. Ct. App. 2009) (Indiana: finding the forum-selection clause and confidentiality clauses in a clickwrap agreement enforceable); *Moore v. Microsoft Corp.*, 741 N.Y.S.2d 91, 92 (N.Y. App. Div. 2002) (New York: ruling that a validly binding contract was formed when user indicated assent to the end-user license agreement by clicking on an icon before proceeding with the download of the software); *Hodges v. Condors Swim Club of Clarkstown, Inc.*, 986 N.Y.S.2d 865 (Table), 2014 WL 553288 (N.Y. App. Div. 2014) (New York: holding that online terms that are “electronically signed” when registering for a service are enforceable, and noting the terms at issue were clear); *Durrett v. ACT, Inc.*, 310 P.3d 1047 (Haw. Ct. App. 2011) (Hawaii: concluding that an agreement with an arbitration provision was binding because plaintiff provided explicit assent by electronically checking the box); *Swanson v. U-Haul Int’l, Inc.*, 2014 WL 1673115 (Ill. App. Ct. Apr. 23, 2014) (Illinois: affirming defendants’ motion to compel arbitration, when plaintiffs had clicked to accept the terms and conditions of rental contract with a valid arbitration provision); *Bonck v. White*, 115 So. 3d 651 (La. Ct. App. 2013) (Louisiana: reversing summary judgment because of the existence of genuine issues of material fact, but finding that electronic signatures are acceptable under Louisiana law

on an uninsured-motorist bodily-injury form); *Duhon v. Activelaf, LLC*, 192 So. 3d 762 (La. 2016) (Louisiana: denying enforcement after finding that there was insufficient notice because consumer was asked to check a box on a screen next to a lengthy arbitration clause that was buried among other terms); *Caspi v. Microsoft Networks LLC*, 732 A.2d 528, 532 (N.J. Super. Ct. App. Div. 1999) (New Jersey: finding no violation of the public policy of New Jersey in enforcing the membership agreement for an online computer service in which prospective subscribers were required to click either “I agree” or “I don’t agree” to terms); *Barnett v. Network Sols., Inc.*, 38 S.W.3d 200 (Tex. App. 2001) (Texas: enforcing the forum-selection clause in an agreement in which plaintiff had to electronically scroll through the contract in order to accept its provisions); *HomeAdvisor, Inc. v. Waddell*, 2020 WL 2988565 (Tex. App. June 4, 2020) (Texas: holding that conspicuous placement of the terms and conditions and the clear, unambiguous notice instructing consumer that clicking the “submit” button indicates consent were sufficient to constitute assent); *Minnik v. Clearwire U.S. LLC*, 275 P.3d 1127 (Wash. 2012) (Washington: determining that a fee was an alternative-performance provision and not a liquidated-damages provision in a clickwrap agreement); *Hastings v. Unikrn, Inc.*, 12 Wash. App. 2d 1072 (Wash. Ct. App. 2020) (Washington: finding insufficient notice because the link to the terms and conditions could not alert a reasonably prudent user that clicking the affirmation box would also constitute assent to the terms); *State ex rel. U-Haul Co. v. Zakaib*, 752 S.E.2d 586 (W. Va. 2013) (West Virginia: recognizing the legitimacy of clickwrap and other electronic contracts, but holding that U-Haul was unsuccessful in its attempts to incorporate an addendum because it was only provided to customers after the rental agreement was executed); *Doe v. Massage Envy Franchising, LLC*, 303 Cal. Rptr. 3d 269 (Cal. Ct. App. 2022); *Sellers v. JustAnswer LLC*, 289 Cal. Rptr. 3d 1 (Cal. Ct. App. 2021), reh’g denied (Jan. 18, 2022) (California: concluding that the presentation of terms for automatic renewal of the service did not provide sufficient notice because the layout, presentation, and font of the terms did not call attention to the language); *Sarchi v. Uber Techs., Inc.*, 268 A.3d 258 (Me. 2022) (Maine: applying a “totality of the circumstances” analysis and concluding that Uber had not provided sufficient disclosure of the terms); *Kauders v. Uber Techs., Inc.*, 159 N.E.3d 1033 (Mass. 2021); *Archer v. Grubhub, Inc.*, 190 N.E.3d 1024 (Mass. 2022). In addition, circuit courts have applied state law on clickwrap enforcement in a consistent manner. E.g., *Hancock v. Am. Tel. & Tel. Co.*, 701 F.3d 1248 (10th Cir. 2012) (enforcing a clickwrap agreement under Oklahoma law); *Oberstein v. Live Nation Ent., Inc.*, 60 F.4th 505 (9th Cir. 2023) (noting close similarities between California and New York laws regarding online contract enforcement); *Dohrmann v. Intuit, Inc.*, 823 Fed. App’x 482 (9th Cir. 2020); *Lee v. TicketMaster L.L.C.*, 817 Fed. App’x 393 (9th Cir. 2020); *Forrest v. Verizon Commc’ns, Inc.*, 805 A.2d 1007 (D.C. 2002).

A similar outcome is obtained from a comprehensive empirical study of cases that are available through legal search engines and secondary sources through 2022 (starting with *Caspi* in 1999), from state and federal courts, addressing, explicitly or implicitly, the enforceability of clickwraps in consumer transactions. Out of over 100 cases, courts have enforced clickwraps, sign-in-wraps, and scrollwraps in every case, absent fraud or unconscionability, as long as the notice requirements outlined in this Section were met. Clickwraps have been enforced in 30 states and

across all federal districts. Clickwraps were enforced when the terms were conspicuously and clearly presented above or next to an “I Agree” box; when the terms were available via a conspicuous, contrasting, hyperlink next to a box containing “I Agree” or clear, well-placed language unambiguously indicating assent to terms; and when the terms were visibly incorporated by reference in a clickwrap. There is not a single reported case in which clickwrap—when the consumer was required to click on “I Agree” to conspicuously presented terms that satisfied the requirements of this Section—was deemed a priori an ineffective mode for adoption of terms. In cases in which the active manifestation of assent resulted in assent to the transaction as well as the terms, courts have enforced the terms as long as there was reasonable notice of the terms and a reasonable manifestation of assent to the terms.

g. Browsewrap. Another common procedure in electronic and web-based transactions dispenses with the “I Agree” click. The website includes a link to another page with the standard terms, and consumers, by proceeding with the purchase or simply by continuing to use the website, are deemed to have adopted the standard terms as part of the contract. Browsewraps reduce the costs and hassle of explicit clickwrap contracting, especially in casual web browsing. See, e.g., Alan L. Montgomery et al., *Modeling Online Browsing and Path Analysis Using Clickstream Data*, 23 MKTG. SCI. 579, 585 (2004) (examining online browsing behavior by consumers and finding that reducing the number of clicks from the home page of a product to the purchase icon increases the probability that a purchase will be finalized). Every time consumers visit one of the many websites on which they browse for information without opening an account or making a purchase, the terms governing this use of the website (including data collection, warranty disclaimers, choice of law and forum, and many others) are listed on a separate page accessible through a link on the web host’s main page. For those consumers, it would be a distraction to have to click “I Agree” to the term, and those consumers would likely view the process of “closing the pop-up box” alerting them to the existence of such linked terms as redundant and annoying. Accordingly, courts have allowed businesses to create binding contracts without explicit manifestation of assent, utilizing instead the doctrine of constructive assent.

Courts will enforce browsewraps as long as reasonable notice of the terms is provided in the circumstances, i.e., as long as the hyperlink to the standard terms is sufficiently conspicuous, and a conspicuous statement alerting the consumers to the presence and location of the posted terms is provided. Such notice must also alert the consumers to the intent to include the terms as part of a binding consumer contract. In other words, consumers have to be put on reasonable notice that terms are being adopted, by posting the terms in a prominent location and by including a prominent and clear statement referring the consumers to where they can find the terms. See *Nguyen v. Barnes & Noble Inc.*, 763 F.3d 1171, 1178 (9th Cir. 2014) (holding that “the proximity or conspicuousness of the hyperlink alone is not enough to give rise to constructive notice”). Hyperlinks or references to terms that are not prominently displayed and that require a consumer to actively look for them fail to provide reasonable notice of their existence. Failure to provide this notice will result in nonenforcement. See, e.g., *Specht v. Netscape Commc’ns Corp.*, 306 F.3d 17 (2d Cir. 2002) (denying defendants’ motion to compel arbitration because defendants did not

provide reasonable notice of license agreements that were located on a submerged screen); *Hines v. Overstock*, 668 F. Supp. 2d 362, 366 (E.D.N.Y. 2009) (ruling that plaintiff had no actual notice of the terms and conditions of use, the link to which was not visible without scrolling down to the bottom of the screen); *Hoffman v. Supplements Togo Mgmt., LLC*, 18 A.3d 210 (N.J. Super. Ct. App. Div. 2011) (determining that a forum-selection clause was unreasonably masked from the view of prospective purchasers because of its circuitous mode of presentation, and was therefore unenforceable). But see *Bernardino v. Barnes & Noble Booksellers, Inc.*, 2017 WL 7309893, at *11 (S.D.N.Y. Nov. 20, 2017) (holding that business’s revisions to its checkout page, which included a prominent notice over the purchase button stating that “[b]y making this purchase you are agreeing to our [terms of use],” which were conspicuously hyperlinked, satisfied the constructive-notice requirement); *Maynez v. Walmart, Inc.*, 479 F. Supp. 3d 890 (C.D. Cal. 2020) (holding that “the conspicuousness and placement of the ‘Terms of Use’ hyperlink” on the screen and the requirement to affirmatively acknowledge and agree to such when placing an order provided sufficient notice) (quoting *Nguyen v. Barnes & Noble Inc.*, 763 F.3d 1171, 1177 (9th Cir. 2014)); *Bell v. Royal Seas Cruises, Inc.*, 2020 WL 5639947 (S.D. Fla. Sept. 21, 2020); *MetroPCS Commc’ns, Inc. v. Porter*, 273 So. 3d 1025, 1028 (Fla. Dist. Ct. App. 2018) (holding that the browsewrap was enforceable because “the hyperlink to the terms and conditions [was] conspicuous enough to put a reasonably prudent person on inquiry notice”). Within the notice requirement, courts also include an additional requirement that the terms be easily accessible. See, e.g., *Hubbert v. Dell Corp.*, 835 N.E.2d 113, 122 (Ill. App. Ct. 2005) (“The statement that the sales were subject to the defendant’s ‘Terms and Conditions of Sale,’ combined with making the ‘Terms and Conditions of Sale’ accessible online by blue hyperlinks, was sufficient notice to the plaintiffs that purchasing the computers online would make the ‘Terms and Conditions of Sale’ binding on them.”); *Van Tessell v. United Mktg. Grp.*, 795 F. Supp. 2d 770, 793 (N.D. Ill. 2011) (“[T]he absence of any reference to the Conditions of Use coupled with the multi-step process to locate the Conditions of Use means that, like the plaintiffs in *Specht*, users of the ChefsCatalog.com website could complete their purchases without ever having notice that their purchases are subject to the website’s Conditions of Use.”); *Wilson v. Huuuge, Inc.*, 944 F.3d 1212, 1221 (9th Cir. 2019) (finding insufficient notice after explaining that “[t]o find a reference, a user would need to click on an ambiguous button to see the app’s full profile page and scroll through multiple screen-lengths of similar-looking paragraphs. Once the user unearths the paragraph referencing the Terms, the page does not even inform the user that he will be bound by those terms”); *Hennessey v. Kohl’s Corp.*, 571 F. Supp. 3d 1060 (E.D. Mo. 2021) (finding notice was insufficient because accessing the terms required clicking on various hyperlinks to finally gain access to all legal notices, which were inconspicuously placed). Courts evaluating the enforceability of browsewraps engage in a fact-specific, “totality of the circumstances” inquiry that focuses on the placement of the hyperlink and notices, as well as the general layout of the webpage. See *Wilson*, 944 F.3d at 1220 (holding that constructive notice depends on “the conspicuousness and placement of the terms and conditions, as well as the content and overall design of the app”). This notice-and-opportunity-to-review doctrine is restated in subsection (a).

Berkson v. Gogo LLC, 97 F. Supp. 3d 359 (E.D.N.Y. 2015), might be read to state that the classification of an agreement as a browsewrap agreement means that the agreement will not be enforced against an individual. The judge who decided *Berkson* later distinguished it and enforced the browsewrap agreement in the case of a “sophisticated business person.” *Salameno v. Gogo*, 2016 WL 4005783 (E.D.N.Y. 2016). In *Soliman v. Subway Franchisee Advertising Fund Trust, Ltd.*, the court stated that the “[c]lassification of web-based contracts alone . . . does not resolve the notice inquiry.” 999 F.3d 828, 835 (2d Cir. 2021) (quoting *Meyer v. Uber Techs., Inc.*, 868 F.3d 66, 76 (2d Cir. 2017)). Instead, the court stated, the analysis looks at the “totality of the circumstances.” *Id.* at 831. See, e.g., *Nevarez v. Forty Niners Football Co.*, 2017 WL 3492110, at *8 (N.D. Cal. Aug. 15, 2017) (evaluating the disclosure of terms in the totality of the circumstances, and holding that, “[i]n any event, regardless of whether the Ticketmaster Website’s [terms of use (TOU)] are most appropriately labeled as a ‘browsewrap’ or a ‘clickwrap’ agreement, the Court finds that Plaintiffs assented to the Ticketmaster Website’s TOU in purchasing their tickets and parking passes on the Ticketmaster Website”). Similarly, in *Wollen v. Gulf Stream Restoration & Cleaning, LLC*, 259 A.3d 867, 875 (N.J. Super. Ct. App. Div. July 9, 2021), the court, noting *Berkson*’s characterization of various types of online agreements, stated, “Regardless of a web-based agreement’s characterization, however, the pertinent inquiry is whether the user was provided with reasonable notice of the applicable terms, based on the design and layout of the website.” See Nancy S. Kim et al., *Notice and Assent Through Technological Change: The Enduring Relevance of the Work of the ABA Joint Working Group on Electronic Contracting Practices*, 75 BUS. LAW. 1725, 1744-1745 (2020) (“[T]he four-part test in the Browse-Wrap Article can be used in any online contract formation presentation—independent of how the presentation is categorized—to analyze the validity of assent. The test applies equally well to browse-wrap, scroll-wrap, sign-in-wrap, and other presentations on smartphones and other devices, not just the browse-wrap presentations seen by the Working Group in 2003.”).

Focusing on the state supreme-court and appellate-court decisions through 2022 further supports the notice-and-opportunity-to-review doctrine. Those cases include a decision by the Supreme Court of Arkansas (*Roller v. TV Guide Online Holdings, LLC*, 2013 Ark. 285 (Ark. 2013)) and the appellate courts of California (*Long v. Provide Commerce, Inc.* 200 Cal. Rptr. 3d 117 (Cal. Ct. App. 2016)); Florida (*Vitacost.com, Inc. v. McCants*, 210 So. 3d 761 (Fla. Dist. Ct. App. 2017), and *MetroPCS Commc’ns, Inc. v. Porter*, 273 So. 3d 1025 (Fla. Dist. Ct. App. 2018)); Georgia (*Thornton v. Uber*, 858 S.E.2d 255 (Ga. Ct. App. 2021), reconsideration denied (June 16, 2021), cert. denied (Oct. 5, 2021)); Missouri (*Major v. McCallister*, 302 S.W.3d 227 (Mo. Ct. App. 2009)); and New Jersey (*Hoffman v. Supplements Togo Mgmt., LLC*, 18 A.3d 210 (N.J. Super. Ct. App. Div. 2011)). The circuit-court opinions evaluating the enforceability of browsewraps include one by the U.S. Court of Appeals for the First Circuit applying Massachusetts law; three by the U.S. Court of Appeals for the Second Circuit, applying Washington, New York, and California law, respectively; one by the U.S. Court of Appeals for the Third Circuit applying New Jersey law; one by the U.S. Courts of Appeals for the Fifth Circuit applying Illinois law; one by

the U.S. Court of Appeals for the Eighth Circuit applying Arkansas law; and four by the U.S. Court of Appeals for the Ninth Circuit applying California law.

In the three cases in which notice of the terms was given and the hyperlinks to the terms were conspicuous in ways that put a reasonably prudent user on inquiry notice of the terms, the browsewrap was enforced. *MetroPCS Commc'ns, Inc. v. Porter*, 273 So. 3d 1025 (Fla. Dist. Ct. App. 2018); *Hubbert v. Dell Corp.*, 835 N.E.2d 113 (Ill. App. Ct. 2005); *Major v. McCalister*, 302 S.W.3d 227 (Mo. Ct. App. 2009).

In three cases, the court remanded to the lower court to inquire whether the notice requirements had been met. *Nicosia v. Amazon.com, Inc.*, 834 F.3d 220 (2d Cir. 2016); *Foster v. Walmart, Inc.*, 15 F.4th 860 (8th Cir. 2021); *Thornton v. Uber Techs., Inc.*, 858 S.E.2d 255 (Ga. Ct. App. 2021). The browsewrap terms were not enforced in the remaining cases because the court concluded that the notice and/or the placement and visibility of the hyperlinked terms were not sufficient to inform consumers about the terms. *Campbell v. Gen. Dynamics Gov't Sys. Corp.*, 407 F.3d 546 (1st Cir. 2005); *Soliman v. Subway Franchisee Advert. Fund Tr., Ltd.* 999 F.3d 828 (2d Cir. 2021); *Nicosia v. Amazon.com, Inc.*, 834 F.3d 220 (2d Cir. 2016); *Specht v. Netscape Commc'ns Corp.*, 306 F.3d 17 (2d Cir. 2002); *James v. Glob. TelLink Corp.*, 852 F.3d 262 (3d Cir. 2017); *Benson v. Double Down Interactive, LLC*, 798 F. App'x 117 (9th Cir. 2020); *Wilson v. Huuuge, Inc.*, 944 F.3d 1212 (9th Cir. 2019); *Nguyen v. Barnes & Noble Inc.*, 763 F.3d 1171 (9th Cir. 2014); *Roller v. TV Guide Online Holdings, LLC*, 2013 Ark. 285, 2013 WL 3322348 (Ark. June 27, 2013); *Long v. Provide Com., Inc.*, 200 Cal. Rptr. 3d 117 (Cal. Ct. App. 2016); *Vitacost.com, Inc. v. McCants*, 210 So. 3d 761 (Fla. Dist. Ct. App. 2017); *Hoffman v. Supplements Togo Mgmt., LLC*, 18 A.3d 210 (N.J. Super. Ct. App. Div. 2011).

Similar results are obtained from a comprehensive analysis of all state and federal cases available on Westlaw, Lexis, and secondary sources addressing the enforceability of browsewraps in consumer transactions, starting with *Specht* in 2002, and ending with *Berman v. Freedom Financial Network, LLC*, 30 F.4th 849 (9th Cir. 2022). This resulted in analyzing 19 additional cases from state trial courts and federal district courts, both published and unpublished.

The examination reveals that browsewraps were enforced in eight additional cases in which the website included both a prominent statement of notice and conspicuous hyperlinks to the terms. Conversely, in the cases in which the website lacked either a prominent statement of notice or conspicuous hyperlinks to the terms, courts refused to enforce the browsewraps on the basis of failure to provide sufficient notice.

Of the two cases of casual browsing, when the consumer was visiting the website without entering into a transaction, one court held that either notice of the terms or a conspicuously placed hyperlink with the terms, properly labeled, constitutes sufficient notice, and thus continued use of the website constitutes acceptance of the browsewrap's terms. The other court held that both notice of the terms and a conspicuously placed hyperlink are required. When the consumer enters into a transaction with the seller, only three out of 18 cases required both factors, holding that merely including prominent hyperlinks without a statement explicitly referring to them did not constitute reasonable notice. (Cases in which the consumer downloads software free of charge are counted

in this Restatement as cases in which the consumer entered into a transaction with the seller. Under the “casual browsing” category, the only cases included are ones in which the consumer was just visiting a web page, without any other interaction with the seller (i.e., without purchasing or downloading anything.)

h. Pay Now, Terms Later (PNTL). Many consumer transactions begin with an agreement between the business and the consumer on the core terms of the transaction (e.g., the description of the purchased model or service, price, method of payment, or time of delivery). This agreement may be reached in a telephone conversation or through an in-person exchange in a brick-and-mortar store. The standard terms arrive later, when the purchased item is delivered and opened. Even when a product is purchased online from a retailer with whom the consumer had a clickwrap agreement, the standard contract terms with the manufacturer may be first viewed only after delivery and installation.

Initially, courts failed to reach a uniform resolution of the question whether the “terms in the box” become part of the consumer contract. In general, courts followed one of two approaches. The first approach enforces such terms as long as consumers received them after the purchase (with notice in advance of the purchase that the terms are forthcoming) and had opportunity to review the terms and terminate the transaction once the terms arrived, if the consumers found the terms undesirable. See, e.g., *ProCD v. Zeidenberg*, 86 F.3d 1447 (7th Cir. 1996). (Note that *ProCD*, while cited in many subsequent consumer-contracts cases, was not itself a consumer-contract case.) See also *Hill v. Gateway 2000, Inc.*, 105 F.3d 1147 (7th Cir. 1997). The second approach does not enforce such late-arriving terms, regarding them as offers for additional terms that need to be accepted affirmatively (the continued use of the product does not qualify as such affirmative acceptance under this approach). See, e.g., *Bowdoin v. Showell Growers*, 817 F.2d 1543 (11th Cir. 1987) (deciding that unless a disclaimer of implied warranties is conspicuously given prior to the purchase, it is ineffective); *Sanco, Inc. v. Ford Motor Co.*, 771 F.2d 1081, 1086 (7th Cir. 1985) (enforcing a warranty disclaimer delivered to a customer after a sale had been consummated only because the parties understood beforehand that the warranty, and any disclaimers or limitations, were part of their deal); *Klocek v. Gateway, Inc.*, 104 F. Supp. 2d 1332, 1341 (D. Kan. 2000) (finding that “the act of keeping the computer past five days was not sufficient to demonstrate that plaintiff expressly agreed to the Standard Terms”). In sales-of-goods cases, the first approach, enforcing PNTL contracts, has relied on Uniform Commercial Code (UCC) § 2-204; the second approach, refusing to enforce PNTL contracts, has relied on UCC § 2-207 (and has been applied only in sales-of-goods cases). Academic scholarship on that question has, by and large, endorsed the second approach.

Consistent with the courts’ overall tendencies in enforcing clickwraps and browsewraps in which the requirements of constructive notice have been satisfied, state high courts have leaned toward enforcement. A traditional analysis focusing on the most recent supreme- and appellate-court cases from each state indicates that the first approach, which enforces late-arriving terms, is the dominant jurisprudence in consumer-contract law. As long as reasonable notice and meaningful opportunity to review and reject are offered, assent mechanisms such as those

embodied in PNTLs facilitate commerce without undue burden, such as additional clicking or multistep signing, that are unlikely to further inform consumers. The policing of “unseen” terms is achieved by courts through other doctrines.

As of 2022, the higher courts of 11 states, including six supreme courts, have addressed the enforceability of PNTL contracts. Six additional states have decisions by circuit courts applying the law of their respective states, resulting in a total of 17 states with rulings on the enforceability of PNTLs. With the exception of *Klocek*, the most recent decisions by those courts reveal that PNTL contracts have been enforced in all cases in which the requirements of reasonable notice and a meaningful opportunity to review and reject were given, absent any other issue. For example, the court in *Brower v. Gateway 2000*, 676 N.Y.S.2d 569 (N.Y. App. Div. 1998), ruled that PNTL contracts are enforceable in principle but refused to enforce the arbitration clause at issue because it held it was unconscionable. See *id.* at 572 (“We agree with their rationale that, in such transactions, there is no agreement or contract upon the placement of the order or even upon the receipt of the goods. By the terms of the Agreement at issue, it is only after the consumer has affirmatively retained the merchandise for more than 30 days—within which the consumer has presumably examined and even used the product(s) and read the agreement—that the contract has been effectuated.”) This Restatement considers all cases in which courts embrace the PNTL logic either in dicta or in their holdings to be in support of such a form of contracting.

For cases in which courts accepted the proposition that PNTL contracts are enforceable when the conditions of notice and termination are met (in addition to *ProCD*), see *Tiger Motor Co. v. McMurtry*, 224 So. 2d 638 (Ala. 1969) (finding that a disclaimer provision in vehicle’s owner’s manual could not defeat the express oral warranty made by respondent dealer to complainant, and that the consumer’s revocation of acceptance occurred within a reasonable time); *Marion Power Shovel Co. v. Huntsman*, 437 S.W.2d 784 (Ark. 1969) (holding that a written warranty was defective and so the award of damages was erroneous); *Schnabel v. Trilegiant Corp.*, 697 F.3d 110 (2d Cir. 2012) (agreeing that in shrinkwrap cases, licenses become enforceable contracts upon the customer’s purchase and receipt of the package and the failure to return the product, but distinguishing the current case because of a lack of notice); *James v. McDonald’s Corp.*, 417 F.3d 672 (7th Cir. 2005) (finding that arbitration was required because customer, by participating in the game, agreed to follow its rules); *Rico v. Cappaert Manufactured Hous., Inc.*, 903 So. 2d 1284 (La. Ct. App. 2005) (recognizing the legitimacy of PNTL contracts, but distinguishing the current case because the homeowner’s manual was not an “accept or return” offer, but contemplated signed acceptance of terms); *Brower v. Gateway 2000*, 676 N.Y.S.2d 569 (N.Y. App. Div. 1998) (ruling that consumer assented to an arbitration clause shipped inside the box with computer and software by retaining items beyond a date specified by license terms); *Defontes v. Dell, Inc.*, 984 A.2d 1061, 1072 (R.I. 2009) (agreeing with the *ProCD* line of shrinkwrap agreements it thought constituted the “better reasoned” and “majority view”); *1-A Equipment Co. v. ICode, Inc.*, 2003 Mass. App. Div. 30 (2003) (adopting the rationale that a “cash now, terms later” contract was formed not when the order was placed, but only with the retention of the merchandise beyond the time limit); *Hobbs v. Tamko Bldg. Prods.*, 479 S.W.3d 147 (Mo.

Ct. App. 2015) (refusing to enforce the terms at issue by noting that, unlike the consumers in *Hill*, consumer in this case had neither notice of the terms nor opportunity to reject by returning the goods); *M.A. Mortenson Co. v. Timberline Software Corp.*, 998 P.2d 305, 308 (Wash. 2000) (concluding that Washington allows the formation of “layered contracts” similar to those envisioned by *ProCD*, *Hill*, and *Brower*); *Noble v. Samsung Elecs. Am., Inc.*, 682 F. App’x 113 (3d Cir. 2017) (finding that, unlike in *Hill* and *ProCD*, consumers in this case were not given reasonable notice that additional terms were included in the box); *Hill v. Gateway 2000, Inc.*, 105 F.3d 1147 (7th Cir. 1997) (overturning a refusal to compel arbitration because consumers were bound by the arbitration clause contained in the materials shipped to and accepted by consumers); *Feeney v. Dell Inc.*, 87 Mass. App. Ct. 1137, 2015 WL 4460182 (Mass. App. Ct. July 27, 2015) (concluding that the terms and conditions included in the box shipped with computer post purchase were part of the original agreement because consumer was given a reasonable notice and a meaningful opportunity to reject); *Norcia v. Samsung Telecomms. Am., LLC*, 845 F.3d 1279 (9th Cir. 2017) (refusing to enforce the terms in the box because notice was insufficient); *Velasquez-Reyes v. Samsung Elecs. Am., Inc.* 777 F. App’x 241 (9th Cir. 2019) (finding that consumer did not have reasonable notice of terms printed on the box, because store employee opened the package with the product, so consumer could not see the terms); *Starke v. SquareTrade, Inc.*, 913 F.3d 279 (2d Cir. 2019) (finding that notice of the terms was not conspicuous enough to provide a reasonable notice of the later arriving terms); *Dye v. Tamko Bldg. Prods., Inc.*, 2021 WL 5578736 (D.N.J. Nov. 29, 2021) (finding that consumer was bound to the warranty terms written on product’s packaging because it was conspicuously disclosed).

For cases in which courts refused to enforce late-arriving terms, see *Deering, Milliken & Co. v. Drexler*, 216 F.2d 116 (5th Cir. 1954) (ruling that invoice accompanying shipment did not operate to modify original contract by including arbitration provision); *A.B.C. Home & Real Estate Inspection, Inc. v. Plummer*, 500 N.E.2d 1257 (Ind. Ct. App. 1986) (determining that inspector’s exculpatory clause in inspection report delivered to buyers after the inspection was ineffective to modify inspector’s warranty); *Bowdoin v. Showell Growers*, 817 F.2d 1543 (11th Cir. 1987); *Sanco, Inc. v. Ford Motor Co.*, 771 F.2d 1081, 1086 (7th Cir. 1985); *Klocek v. Gateway, Inc.*, 104 F. Supp. 2d 1332, 1341 (D. Kan. 2000); *Whitaker v. Farmhand, Inc.*, 567 P.2d 916 (Mont. 1977) (finding that disclaimer, which was received by farm owners subsequent to sale, did not limit plaintiff’s recovery for the warranties); *Rogers v. Dell Comput. Corp.*, 138 P.3d 826 (Okla. 2005) (deciding that, in a case in which seller sought to enforce an arbitration provision allegedly sent with an invoice with the purchased computer, the record was insufficient to allow the state supreme court to determine whether the arbitration provision was part of the contract and enforceable).

Considering time trends further bolsters the conclusion that enforcement of PNTLs is the dominant approach. Prior to *Hill*, only one case, *Sanco*, enforced the PNTL contract. Subsequent to *Hill*, however, *all but one case*, *Klocek*, embraced the approach set forth in this Section (with varying degrees over time) with respect to “*terms later*” contracts. This becomes even clearer when considering all available published and unpublished PNTL cases involving consumer contracts in

federal and state courts. In almost all cases, courts have endorsed the PNTL framework and enforced such contracts as long as the requirements of notice, and opportunity to review and reject, were met, and as long as there were no other problems with the transaction (e.g., unconscionability or fraud).

A number of cases brought between 2015 and 2022 presented courts with the opportunity to address the enforceability of novel forms of online contracting that blurred the lines between what are typically regarded as clickwraps, browsewraps, and shrinkwraps. Those included contracting for services through mobile-platform applications, in which the process of securing assent typically involves guiding the consumer through a series of screens, see, e.g., *Meyer v. Uber Techs.*, 868 F.3d 66 (2d Cir. 2017)), or requiring consumers to signify assent by unambiguously clicking on a “buy now” button, while also presenting the standard contract terms alongside such buttons, see, e.g., *Berkson v. Gogo LLC*, 97 F. Supp. 3d 359, 401, 404 (E.D.N.Y. 2015); *Cullinane v. Uber Techs., Inc.*, 893 F.3d 53 (1st Cir. 2018)); *Bekele v. Lyft, Inc.*, 918 F.3d 181 (1st Cir. 2019) (requiring consumers to agree to business’s terms during a registration process interacting with three different screens on a mobile platform). Some of those forms are exemplified in Illustrations 22 and 23.

In those cases, courts rejected the need to fit the various modes of presentation into rigid categories, noting that, as the *Meyer* court aptly summarized: “there are infinite ways to design a website or smartphone application, and not all interfaces fit neatly into the clickwrap or browsewrap categories.” *Meyer*, 868 F.3d at 75. Instead, courts have focused on the manner in which standard terms were presented and the way in which the consumer was invited to manifest assent. In doing so, courts have been examining whether consumers are provided reasonable notice of the standard terms; of the seller’s intent to make the standard terms part of the contract; and whether consumers are afforded a reasonable opportunity to review them, and a reasonable opportunity to reject them. The focus on reasonable notice and opportunity to review and reject is not new; it traces back to the foundational inquiry laid out in early cases involving online transactions, such as *Specht*, in which the court stressed that “[c]larity and conspicuousness of . . . terms are important in securing informed assent.” *Specht*, 306 F.3d at 30.

This Section captures that approach and the entire arc of the case law by distilling the set of conditions that must be met, regardless of the contracting medium and the format of manifestation of assent, for standard contract terms to be adopted. Cases in which courts refused to enforce the allegedly adopted standard contract terms are ones in which the conditions stipulated in this Section were not met.

§ 3. Adoption of a Modification of Standard Contract Terms

(a) A business's proposed modification of a standard contract term in a consumer contract governing an ongoing relationship is adopted if the business demonstrates that:

(1) the consumer received reasonable notice of the proposed modified term and a reasonable opportunity to review it;

(2) the consumer received a reasonable opportunity, including reasonable notice of the opportunity, to reject the proposed modified term and continue the contractual relationship under the existing term;

(3) the consumer received reasonable notice that continuing the contractual relationship without rejecting the proposed modified term will result in the modification being adopted; and

(4) the consumer either:

(A) manifested assent to the modified term, or

(B) did not reject the proposed modified term and continued to take the benefit of the contractual relationship after the expiration of the rejection period provided in the proposal, or, if such period is not provided, after the expiration of reasonable time to review and reject.

(b) A consumer contract governing an ongoing relationship may provide for a reasonable procedure for adoption of modified terms under which the business may propose a modification of the standard contract terms but may not, to the detriment of the consumer, exclude the application of subsection (a), except that the established procedure may replace the reasonable opportunity to reject the proposed modified term with a reasonable opportunity to terminate the transaction without unreasonable cost, loss of value, or personal burden.

(c) A modification by the business of a standard contract term in a consumer contract is adopted only if the modification is proposed in good faith, if it is fair and equitable in view of circumstances not anticipated by the parties when the contract was made, and if it does not have the effect of undermining an affirmation or promise made by the business that was made part of the basis of the original bargain between the business and the consumer.

(d) Standard contract terms may not be modified in a consumer contract that has been substantially performed by at least one party.

Comment:

1. General. Standard contract terms in consumer contracts governing ongoing relationships, like other species of contracts, are often modified. This Section focuses on the minimum requirements for the process of adoption by a consumer of modifications to the standard contract terms, whereby the consumer is determined to have agreed to a modification of a standard contract term. Similar principles may apply to the modification of nonstandard terms. Many modifications may be justified by changes in the economic or legal environment, by revisions in the service itself, or by the realization of other unexpected contingencies. There is a concern, however, that businesses will initiate self-serving, opportunistic modifications in standard contract terms once consumers are already locked into the service. Accordingly, for a modification to be adopted, it is not enough that consumers have manifested assent to the modified standard terms after the terms have been presented to the consumers. Consumers may manifest such assent reluctantly if termination of the contract would squander some acquired value, would unreasonably undermine the consumers' reliance investments, or would be practically infeasible. Thus, this Section provides three necessary safeguards, both procedural and substantive. First, procedurally, under subsection (a), the process of adoption of a modification must satisfy requirements of assent analogous to those in § 2 (including the requirement, analogous to that in § 2(b), that the consumer receive a reasonable opportunity to reject the modification and continue the contract on the original terms). Subsection (b) allows the parties, usually at the instance of the business, to establish in the initial contract a reasonable modification procedure that implements these assent requirements, although it may replace the opportunity to reject with a reasonable opportunity to terminate the transaction entirely (see Comment 6). Second, under subsection (c), the modification may not undermine the benefit of the bargain secured in the pre-modification contract. It must be proposed in good faith and be fair and equitable, which means that the business must have an objectively demonstrable legitimate reason for the modification (see Comment 7). Third, under subsection (d), a contract that has been substantially performed may not be modified (see Comment 8).

This provision does not replace Restatement of the Law Second, Contracts § 89, nor does it address other issues that may apply in the context of agreement over a modification, such as the requirement of consideration, formalities, and other requirements, including those referred to in Restatement of the Law Second, Contracts § 89, and Uniform Commercial Code (UCC) § 2-209. Nor does this Section address modifications proposed by the consumer.

2. *Modification versus independent contract.* New terms proposed by a business are, depending on the circumstances, either an attempt to modify the terms of an existing contract within an ongoing relationship (governed by this Section) or an attempt to form a new, independent contract alongside or in succession to the original contract (governed by § 2).

Illustrations:

1. A consumer opens a checking account with a bank and signs a user agreement. The bank seeks to change the terms of the agreement occasionally and sends notices to the consumer in advance of each such change. Each change of terms is a modification proposed under this Section, not a new contract. This is so even if the original agreement allows the bank to terminate the contract at any time, as long as the bank did not effectively terminate the original contract.

2. A consumer signs up for an ongoing web-based service, creating an account and manifesting assent to the transaction by agreeing to pay the monthly service fee and providing credit-card information. The website displays links to “Terms of Use,” which are referred to during the sign-up process and are adopted as part of the consumer contract upon the initial formation of the contract under § 2(a). The consumer can review the terms by clicking on the links. The business changes the Terms of Use from time to time and sends the consumer notices upon each such change. Each change is a proposed modification governed by this Section.

3. A consumer signs up for a one-year service period with a business. If the contract requires fresh assent to renew the service at the end of the year, new terms sent upon renewal are not a modification; their adoption is governed by § 2. If, instead, the contract provides for autorenewal for a second year, unless the consumer explicitly terminates the service, the original contract continues to govern during the second year, and any different or additional terms sent upon the renewal or during the second year are a proposed modification of the original contract and are governed by this Section.

4. A consumer uses a website without creating an account or making a purchase. The website has a link to “Terms of Use” in large, contrasting font on the lower portion of the site, which the consumer can see immediately upon opening the page and without scrolling down the page. The consumer can review the terms by clicking on the link, and there is a clear notice that the terms are intended to become part of the contract governing

the current use of the website. The consumer visits the website regularly. The business changes the Terms of Use from time to time. The current standard terms may be adopted as a new contract each time the consumer visits the website if the requirements of § 2 are satisfied each time and do not constitute a modification of a prior contract.

3. Reasonable notice and opportunity to review. As with the adoption of original terms under § 2, modified standard contract terms may be adopted only if the consumer receives reasonable notice of the new terms and a reasonable opportunity to review them. A general notice of the possibility of future modifications is not sufficient. In addition, the consumer must receive reasonable notice of the opportunity to reject the modified terms (which is discussed in Comment 4), along with reasonable notice that continuing the contractual relationship without rejecting the modified terms will result in the modifications becoming legally binding. The factors listed in § 2, Comment 2, including appearance, placement, layout, and timing of the notice; the clarity, sequence, and simplicity of the communication of the terms; the difficulty of identifying and finding the location of the terms; the prominence of notice regarding important terms and their nature; the visibility and clarity of the language alerting consumers that specific steps will result in a modification of the terms; and the nature of the proposed modified standard contract terms determine whether, considering the totality of the circumstances, the notice and opportunity to review and reject are reasonable. The evaluation whether, under the circumstances, reasonable notice, opportunity to review, and opportunity to reject were provided involves questions of fact and of law. If there is a dispute about the relevant facts, for example, how or when the proposed change of terms was presented to the consumer, it will be decided by the trier of fact. If there is no dispute concerning the relevant facts, for example, if the digital interface seen by the consumer during the proposed modification is recorded and undisputed, a determination whether the proven adoption process meets the legal requirements in § 3 is generally made by the court. See generally § 1(b) (reasonableness standard) and Comment 8.

Illustrations:

5. A consumer entered into a two-year service contract online. At the time of the original contract formation, standard contract terms were adopted by satisfying all the requirements of § 2(a), including reasonable notice of the “Terms and Conditions.” The business later posts a modified version of the Terms and Conditions on its website, revising

the heading in the page on which the terms are posted and entitling it “Revised Terms and Conditions.” If the business does not provide the consumer with a distinct or separate notice of the modification, describing specific changes to the agreement and the effective date of those changes, the new terms are not adopted as a binding modification. It is not reasonable to expect consumers to revisit and check the Terms and Conditions web page regularly, and, in the absence of an affirmative, reasonable alert, the consumer does not have a reasonable opportunity to review the proposed modification as required by subsection (a)(1).

6. A consumer opens a checking account with a bank and signs a 20-page user agreement. The bank seeks to change the terms of the agreement occasionally and sends notices to the consumer in advance of each change. Each such notice arrives with a monthly statement sent to the consumer on a separate sheet titled “Change of Terms” that describes specific changes to the agreement and the effective date of those changes. The presentation of the proposed modification in this manner satisfies the reasonable-notice requirement of subsection (a)(1).

7. Same facts as Illustration 6, except that the bank seeks to change the terms by attaching to the monthly statement the revised version of the 20-page user agreement titled “Revised Agreement,” which includes most of the terms in the original agreement as well as some additional or different ones. There is no explanation or indication as to which terms are being changed or added. The presentation of the proposed modification in this manner does not satisfy the reasonable-notice requirement of subsection (a)(1), because consumers cannot readily compare and analyze two such lengthy and technical documents, and thus cannot effectively review the proposed modification. See § 2, Comment 8.

4. Opportunity to reject the modification. A modification is binding only if the consumer has a meaningful opportunity to reject it. Subsection (a)(2) requires that the modified terms not be adopted unless the business gives the consumer a reasonable opportunity (with reasonable notice) to reject the modification and continue the relationship without the new terms. There is a close conceptual relationship between adoption of standard terms after the consumer manifests assent to the transaction under § 2(b) and adoption of a modification of standard terms under this Section—in both settings, the standard contract terms are presented to the consumer after a decision to enter into the transaction was already made. Accordingly, the adoption of the standard contract terms in

both settings has to satisfy a similar requirement: the existence of a reasonable opportunity to reject. Such opportunity requires affording the consumer a reasonable time period in which to exercise such rejection, as well as a reasonable rejection process.

Illustrations:

8. A consumer attempts to log in to an online web service that the consumer joined as a member at an earlier time. The consumer is unable to log in without first clicking “I Accept” to a list of new terms that are presented as a modification of the original contract. Since the consumer is not given opportunity to reject the modification, the terms are not adopted.

9. A consumer receives a clearly labeled notice by mail regarding a change of the data-privacy terms governing an ongoing service. The notice informs the consumer that continued use of the service and acceptance of its benefits will constitute acceptance of the terms and a modification of the contract. The notice also explains that the change of terms will not apply, and the original terms will remain in place, if the consumer requests an opt-out within 30 days by signing and submitting a preaddressed opt-out form provided in the notice. The specified procedure for rejection of the modification is reasonable, and the requirement of subsection (a)(2) is satisfied.

10. A business providing digital services conducts all its communications with a consumer electronically. The consumer receives from the business an electronic notice regarding a change of terms governing the service. The notice informs the consumer that in order to reject the proposed modification, the consumer must print out a rejection form and mail it to the business’s physical address. In light of the mismatch between the ordinary form of communications and the required rejection procedure, the specified procedure for rejection of the modification is not reasonable, and the requirement of subsection (a)(2) is not satisfied.

5. Adoption of the modified standard contract terms. With the receipt of reasonable notice of a proposed modification, reasonable notice that continuing the contractual relationship without rejecting the modified term will result in the modification becoming legally binding, and a reasonable opportunity to reject the modification, the modification is effective if the consumer either affirmatively manifests assent to it or continues to take the benefit of the relationship

(without rejecting the modification). Subsection (a)(3) thus recognizes that the consumer can adopt the modified term by conduct that can fairly be treated as constituting acceptance. It maintains the dual-adoption framework of § 2, under which terms may be adopted either by an affirmative act of acceptance or by continuing the relationship and continuing to accept its benefits after the terms are presented. In some cases, the conduct that adopts the modification is the consumer's continued participation in the contractual relationship, e.g., in a credit-card contract when the consumer makes new purchases using the credit card. In such cases, the modification is adopted through acceptance by performance. Cf. Restatement of the Law Second, Contracts §§ 30, 62.

Illustration:

11. A consumer enters a pay-as-you-go agreement with a fitness club. Months later, the business sends the consumer a notice by mail titled "Change of Terms of Service" describing particular changes to the agreement and giving the consumer 30 days to opt out of the modified terms (and retain the original terms). If the consumer does not exercise the opt-out option, the new terms are adopted as a modification as soon as the 30-day opt-out period elapses.

6. *Agreed procedures for modification.* Businesses often include in consumer contracts "modification clauses" that specify procedures for subsequent modifications. Such clauses may give concrete effect to the requirements of subsection (a) but cannot derogate from them, except that the agreed procedure for modification may replace the opportunity to reject in subsection (a)(2) with a reasonable opportunity to terminate the transaction entirely. The opportunity to terminate is reasonable if it does not impose unreasonable cost, loss of value, or personal burden on the consumer. If termination of the contractual relationship by the consumer is not feasible or practicable—for example, because such termination would impose a significant loss of value acquired by the consumer prior to the proposed modification; would force the consumer to incur a significant financial or other burden to enter a substitute contract; would squander a substantial investment in the relationship; or would undermine the consumer's reasonable, forward-looking expectation from the relationship—then the consumer does not have a reasonable opportunity to terminate. In such a case, the modified standard terms are usually not adopted even if the consumer manifested assent to the modification. In evaluating whether the costs imposed on the consumer by the modification are reasonable, courts may take into account the circumstances that prompted

the business to propose the modification, including an increase in the business's costs; changes in market, technology, or regulatory environments; and improvements to the service provided by the business. If the modified terms confer substantial benefits, as in the example of new terms that are needed to accommodate an upgrade to the business's computer systems, the evaluation of the reasonableness of the opportunity to terminate must consider those benefits in relation to any cost, loss of value, or personal burden that a termination would impose on those consumers who prefer the original terms.

Modification clauses that grant a business power to modify standard terms without meeting the mandatory requirements of this Section are ineffective, and any modification attempted under such clauses is unenforceable by the business. See § 10.

Illustrations:

12. A consumer attempts to log in to an online web service that the consumer joined as a member at an earlier time. The original contract includes a modification procedure. The consumer is unable to log in without first clicking “I Accept” to a list of new terms that are presented as a modification of the original contract. Since the consumer is not given opportunity to reject the modification when seeking to log in, the terms are not adopted unless the consumer is provided a meaningful opportunity to cancel the membership (for example, by clicking on a reasonably identified separate hyperlink that takes the consumer to a “Service Cancellation” page) and unless such termination can be done without the consumer incurring unreasonable cost, loss of value, or personal burden.

13. Same facts as Illustration 12, except that the cancellation options—although clearly posted and processed without delay—trigger an early-termination fee (adopted as part of the original contract). Because of the imposition of a termination fee, the consumer is not offered a reasonable opportunity to terminate the transaction, and so the new terms are not adopted.

14. A consumer purchases a camera system for home surveillance. At the same time, the consumer enters a one-year service agreement that allows the consumer to stream the images recorded by the camera to a handheld device through an integrated streaming service separately provided by the business. The agreements include a modification procedure. A few months later, the business sends the consumer a notice explaining that the “Terms of Service” for the service agreement will be modified in 30 days, that

continuing the service will constitute acceptance of the new terms, and that the terms may be rejected by cancelling the service before the end of the 30 days. Despite the reasonable notice and cancellation method, the opportunity to terminate the contractual relationship is not reasonable under subsection (b) because termination of the service agreement would impose a significant loss of value of the camera equipment.

15. A consumer enters a six-month service agreement with a snow-removal company to plow the consumer's driveway after each snowfall for a fixed price of \$100. The agreement includes a modification procedure. Two months into the contract, the consumer receives a letter stating, "Due to the high demand for plowing services, we are modifying the contract with you by raising the price for plowing your driveway after each snowfall to \$150. If you do not want to pay us \$150, you may terminate our relationship by sending us an email to that effect within 14 days." Because termination of the transaction would entail a loss of value, the opportunity to terminate is not reasonable under subsection (b), and thus the consumer's failure to terminate the transaction within 14 days does not create an enforceable modification. In addition, the modification is separately unenforceable under subsection (c) because modification would have the effect of undermining the promise to plow for \$100, which is part of the basis of the original bargain. Agreements incorporating a flexible price formula may be enforceable. See § 10.

16. Same facts as Illustration 15, except that the agreement does not include a modification procedure. The modification would be unenforceable under subsection (a) because the consumer is not provided with a reasonable opportunity to reject the modification. In addition, the modification is separately unenforceable under subsection (c) because modification would have the effect of undermining the promise to plow for \$100, which is part of the basis of the original bargain.

17. A consumer subscribes to a web-based service that provides a no-charge, ad-free platform for uploading and sharing photos. The original agreement includes a clause stating that the ad-free feature of the service may be revised in the future. It also includes a modification clause that permits the business to change the terms of service any time in the future, subject to providing the consumers opportunity to terminate the subscription upon such change. Later, in order to ensure its commercial viability, the business decides to switch to a personalized-advertisement model that uses subscribers' personal data. It

proposes a modification explaining the change and the type of data that will be collected. The offer to modify gives the consumer an option to accept the new terms or terminate the contract by deleting the account. The opportunity to terminate is reasonable despite imposing some inconvenience on consumers who choose to delete the account.

7. *Fair and equitable, and good faith.* Modifications must be made in good faith, and must be fair and equitable in view of circumstances not anticipated by the parties when the contract was made. See Restatement of the Law Second, Contracts § 89 (adopting the “fair and equitable” test); UCC § 2-209 (adopting the “good faith” test). A modification affects the performance of the contract, and it is thus governed by the general obligation to perform contracts in good faith. See Restatement of the Law Second, Contracts § 205; see also UCC § 1-304. It is restated in subsection (c) because of the heightened role that it plays in policing modifications of consumer contracts. The fair and equitable provision in subsection (c) is intended to ensure that the modification does not unduly disadvantage the consumer or add a surprising element to the contract even if the requirements of subsections (a) and (b) have been met. In particular, subsection (c) seeks to prevent opportunistic modifications that take advantage of locked-in consumers who have already invested in the contractual relationship. Thus, a modification of a standard contract term is not enforceable if it undermines the benefit of the bargain guaranteed by the original contract, as when it contradicts an affirmation of fact or promise by the business that has been made part of the basis of the original bargain between the business and the consumer. Such contradiction may occur, for example, when the business has promised in the original agreement or in a precontractual representation (see Comment 9) that the standard contract term will not change for a fixed period of time. See also Illustrations 17 and 18. Even if the consumer is afforded the opportunity to terminate the relationship without unreasonable cost, loss of value, or personal burden (in line with an agreed-upon modification procedure under subsection (b)), the modification is not enforceable if the termination undermines the benefit of the bargain guaranteed by the original contract. In general, a modification is more likely to satisfy subsection (c) if the modified standard terms are simultaneously being offered, as original terms, to new customers. Then, there is less concern that the modification intends to take advantage of consumers who are locked in by the cost of changing the deal. Nevertheless, because the same term may affect entrenched consumers differently than new ones, it may be enforceable as part of the contract with new consumers, but not as a modification. Thus, an important implication of subsection (c) is that some standard terms that

may be acceptable if presented as part of the original contract may not be enforceable if presented as part of a proposed modification.

Illustrations:

18. A consumer opens a checking account with a bank and signs a standard-form checking-account agreement. The agreement specifies a fixed fee to be charged whenever a consumer draws a check from an account with insufficient funds. Later, the bank proposes a modification that would raise this fee prospectively. The consumer manifested assent to the modified term, or the agreement provided an appropriate procedure for the proposal of modifications, such that the requirements of subsection (a)(4)(A) or of subsection (b) are satisfied. The amount by which the bank may propose to increase the processing fee is limited by subsection (c).

19. A consumer purchases and downloads hundreds of song tracks from an online music store along with software that is necessary to play the tracks. The initial contract adopted as part of the purchase of the tracks states that the consumer may load the tracks to seven different devices. Later, together with a mandatory software update, the business proposes a modification that allows the consumer to load the tracks only to five devices. If the new, five-device clause applies only to prospective track purchases by the consumer, it does not violate subsection (c). If, instead, the new clause applies also to tracks already paid for, it violates subsection (c) because it retroactively reduces the consumer's benefit from the bargain and partially squanders the consumer's investment in previously purchased tracks.

8. *Substantial performance by one party.* Subsection (d) provides that standard contract terms may not be modified in a consumer contract that has been substantially performed by either party. This limitation addresses the concern that a modification may be initiated by the business once consumers are already locked into the transaction or relying on it, at which time the loss of acquired value from the modification, or from terminating the relationship, would be significant. What constitutes substantial performance varies with the subject matter and context of the contract. For example, in the case of a one-shot sale of a single good, substantial performance would consist of delivery of the good. In the case of a sale of goods to be delivered over time, substantial performance by the parties would consist of delivery of a portion of the goods such that the buyer

received a substantial benefit from the contract. For contracts with unlimited duration, the modification may not apply to the portion already substantially performed, but the modification may apply to future obligations so long as it does not impose unreasonable cost, loss of value, or personal burden with respect to the portion already performed. The limitation in subsection (d) does not apply when the modification unambiguously adds value to the consumer.

Illustrations:

20. A consumer receives from a bank a loan that is to be paid back in full within one year in 12 monthly payments. After the consumer receives the funds, the bank increases the charge for late monthly payments and adds a free prepayment option. The modification of the charge for late payments is unenforceable because the contract has been substantially performed by the bank. The addition of a free prepayment option is enforceable.

21. A consumer opens a savings account at a bank and adopts the standard contract terms. A year later, the bank modifies the data-privacy terms in the contract. Because the contract has unlimited duration and can be terminated by either party at any time, it has not been substantially performed, and the modification may be enforceable. If, however, the consumer can only avoid the new terms by closing the account, the availability of other saving options would determine whether the modification has the effect of undermining an affirmation or promise made by the bank that was made part of the basis of the original bargain, and thus whether it complies with subsection (c).

9. Modification adopted using a more passive process. It is not uncommon for the standard terms to be adopted, initially, through one adoption process, such as requiring the consumer to click “I Agree” to the terms, and then modified through a different process that does not require a similar affirmative action by the consumer. Terms modified in such a way can be adopted as part of the contract as long as the requirements of subsection (a) are met. There is concern, however, that when the initial terms are adopted through a specific, active process, the consumer would expect the same or a similar process for modifications of the standard terms. Similarly, if the business employed a particular process for prior modifications, the consumer would expect the same or a similar process for future modifications. A shift to a more passive process triggers a heightened notice requirement.

10. Legal consequences of non-adopted terms. A consumer has no obligation to assert that terms offered by the business as modifications were not adopted, and may instead choose to get the benefit of the modified terms. If the consumer so chooses, the business may not assert that its modified contract terms were not adopted. (Cf. § 2, Comment 12.)

Illustration:

22. A business posts a “New Privacy Policy” on its website without giving consumers a notice that the standard contract terms in this new policy purport to modify the existing contract. The New Privacy Policy is not adopted as a modification. As part of the New Privacy Policy, the business states that none of the consumers’ personal information collected by the business will be shared with the government. A consumer may enforce the business’s statement as a binding contractual promise despite the fact that the New Privacy Policy is not adopted as an enforceable modification of the original contract.

11. Relation to the Uniform Commercial Code and to the Restatement of the Law Second, Contracts. The rule of subsection (c), that modifications of standard terms are enforceable only if they are made in good faith, are fair and equitable, and do not undermine an affirmation or promise made by the business that has been made part of the basis of the bargain, is consistent with Restatement of the Law Second, Contracts § 89, and UCC § 2-209 (see also Comment 7). UCC § 2-309 provides that a contract of indefinite duration is valid for a reasonable time and can be terminated on reasonable notice. The rule of subsection (d), that a contract substantially performed by one party may not be modified retroactively, is consistent with Restatement of the Law Second, Contracts § 89, which provides that a binding modification may be agreed upon “under a contract not fully performed on either side.”

REPORTERS’ NOTES

a. Generally. The standard contract terms are invisible to most consumers at both the formation and the modification phases. There is a concern, however, that the process of modification can be even more passive, from the consumer side, than the initial formation of the contract. Despite this concern, modified standard terms are adopted prospectively to govern the contractual relationship, as long as the consumer is provided with reasonable notice and opportunity to review, and a reasonable opportunity to reject the modification (or, when applicable, to terminate the transaction); and as long as the consumer manifests assent to the modified terms or does not reject the modified terms and continues the contractual relationship after the expiration

of the rejection or termination period. The modification must also satisfy the general good-faith requirement and must not deprive the consumer of the benefit from the original bargain.

b. Agreed-upon procedures for modification. Businesses often specify, in their original standard contract terms, a procedure for contract modification. Moreover, the specified modification procedures are often passive, requiring no affirmative acceptance by the consumer. Such procedures, however, cannot derogate from the requirements of this Section, although they can give concrete effects to these requirements. The business may specify a modification procedure that replaces the opportunity to reject the modified terms (and continue the relationship under the original terms) with opportunity to terminate the transaction entirely without unreasonable cost, loss of value, or personal burden. This exception, restated in subsection (b), is supported by cases, cited below, in which only a termination option was offered and yet the courts enforced the modifications (as long as the other requirements of this Section were met).

c. Notice and opportunity to reject. The requirements of notice and opportunity to reject imply that continued use of the product or service, without more, is insufficient for the adoption of the modified terms as part of the contract. Courts review the adequacy of the notice and the meaningfulness of the opportunity to reject on a case-by-case basis, and tend to focus on those factors that ensure that the proposed modification and opportunity to reject is reasonably communicated to consumers and that the opportunity to reject is reasonable under the circumstances.

When evaluating the reasonableness of the notice of modification, courts have focused on a number of factors related to placement, language, and salience of the notice, among other things, on a case-by-case-basis. Illustration 5 is based on *Rodman v. Safeway, Inc.*, 2015 WL 604985 (N.D. Cal. Feb. 12, 2015), in which the court held that posting the modified standard terms alone, without any distinct or separate notice, fails to meet the notice requirement. To be effective, notice must reasonably inform consumers of the proposed modification. See also *Sacchi v. Verizon Online LLC*, 2015 WL 765940, at *3 (S.D.N.Y. Feb. 23, 2015) (holding that notice of modified terms sent in an email specifically regarding the modification, providing a clear link to the new terms, and explaining that “[b]y using the Services after the date of this notice, you accept and agree to abide by the revised terms,” in addition to including a “Need-to-Know Information” section with a “Notice of Revised Services” in the billing statement containing a similar notice as that contained in the emails, were sufficient to inform a reasonable consumer of the terms); In re *Facebook Biometric Info. Priv. Litig.*, 185 F. Supp. 3d 1155, 1164 (N.D. Cal. 2016) (holding that notice of the modified terms sent to consumers in individualized emails, titled “We’re updating our terms and policies and introducing Privacy Basics,” that included hyperlinks to the modified terms, in addition to providing salient notices of the changed terms at the top of each consumer’s personal account, were sufficient to satisfy the notice requirement).

Illustration 6 is based on *Badie v. Bank of America*, 79 Cal. Rptr. 2d 273 (Cal. Ct. App. 1998), and exemplifies the principle that notices, when present, need to be reasonably communicated to be effective. Illustration 7 is based on *Ozormoor v. T-Mobile USA, Inc.*, 2008 WL 2518549 (E.D. Mich. June 19, 2008), and reflects courts’ attention to both the appearance and

the location of the notice in determining its reasonableness. See also *Plazza v. Airbnb, Inc.*, 289 F. Supp. 3d 537 (S.D.N.Y. 2018) (holding that consumers had received sufficient notice of the modified terms when seller presented the modified terms in a clickwrap format with a clear legend explaining that, to continue to use the services, consumers had to assent to the modified terms, in addition to sending subsequent communications with notices regarding the changed agreement). See also *Murray v. Grocery Delivery E-Services USA Inc.*, 460 F. Supp. 3d 93, 98-99 (D. Mass. 2020) (concluding that emails communicating notice of the modified terms provided insufficient notice because “the new terms were hyperlinked at the bottom of a page full of loud, colorful text regarding sales. They were hidden in small print in a paragraph of other text and there was nothing to draw attention to them or to suggest a change. The terms were in black text while the rest of the email’s promotions were spattered in bright green and yellow. These updated terms were not conspicuously communicated to [consumer]”) (citations omitted); *Decker v. Star Fin. Grp., Inc.*, 204 N.E.3d 918, 925 (Ind. 2023) (Goff, J., concurring) (citing a draft of this Restatement, and concluding that placing the modified terms as an addendum at the end of an ordinary email was insufficient to provide reasonable notice because, as explained by the lower court, 187 N.E.3d 937, “[p]lacing the Addendum, which contained the arbitration provision and time-sensitive opt out provision, at the end of the routine monthly statement with no notice to the [consumer] that something was unusual about the monthly statement was not reasonably calculated to provide the Deckers with notice”).

Courts have also articulated a number of factors in determining the reasonableness of the opportunity to reject or terminate. See, e.g., *Torres v. S.G.E. Mgmt., L.L.C.*, 397 F. App’x 63 (5th Cir. 2010) (according to the initial contract, business may modify the arbitration contract without providing consumer with a meaningful opportunity to terminate; the original arbitration contract is illusory and thus unenforceable); *Ackerberg v. Citicorp USA, Inc.*, 898 F. Supp. 2d 1172, 1176 (N.D. Cal. 2012) (consumer had a meaningful opportunity to terminate; the modified arbitration clause is enforceable); *In re Zappos.com, Inc., Customer Data Sec. Breach Litig.*, 893 F. Supp. 2d 1058 (D. Nev. 2012) (according to the initial contract, business may modify the arbitration contract without providing consumer with reasonable notice or a meaningful opportunity to terminate; the original arbitration contract is illusory and thus unenforceable); *Grosvenor v. Quest Corp.*, 854 F. Supp. 2d 1021 (D. Colo. 2012) (same). In particular, the opportunity to reject or terminate must be meaningful and not deprive consumers of value acquired prior to the modification. See, e.g., *Ackerberg v. Citicorp USA, Inc.*, 898 F. Supp. 2d 1172, 1176 (N.D. Cal. 2012) (compelling arbitration because cardholder was provided with a realistic opportunity to exit the account when the new terms were added); *Cayanan v. Citi Holdings, Inc.*, 928 F. Supp. 2d 1182, 1199-1200 (S.D. Cal. 2013) (confirming that plaintiff’s failure to opt out after receiving change-of-terms notices constitutes acceptance of an arbitration clause); *Rodriguez v. Instagram, LLC*, 2014 WL 895438 (Cal. Super. Ct. Feb. 28, 2014) (sustaining demurrer when plaintiff did not have to agree to new terms, but continued use of website constituted acceptance); *Bischoff v. DirectTV, Inc.*, 180 F. Supp. 2d 1097 (C.D. Cal. 2002) (concluding that a valid and enforceable arbitration agreement existed between the parties because consumer had accepted the terms of the agreement, including

the arbitration clause, when consumer accepted the services); *Lowman v. Citibank (S.D.), N.A.*, 2006 WL 6108680 (C.D. Cal. Mar. 24, 2006); *Hart v. Charter Commc'ns, Inc.*, 2017 WL 6942425 (C.D. Cal. Nov. 8, 2017) (noting that consumer could reject the modified term because business clearly communicated an option to opt out of it).

d. Adoption processes. In many cases, a business may use one adoption process for the initial standard terms—a clickwrap, say—and another, more passive adoption process for the modified terms. Courts have generally allowed for this disparity in adoption processes. As long as the requirements established in § 2 and in this Section—reasonable notice (and opportunity to review) and a right to reject or terminate—are met, the modifications have been enforced. Switching to a different adoption process, however, raises a concern that consumers accustomed to the original process might fail to notice the modification. Accordingly, a heightened notice requirement may be imposed in such cases. When sufficient notice is absent, the modified terms will not be enforced. See, e.g., *Douglas v. United States Dist. Ct. for Cent. Dist. of Cal.*, 495 F.3d 1062 (9th Cir. 2007) (refusing to find a customer bound by contract modifications, because, although the provider posted the revised contract on its website, it never notified the customer that the contract had changed); *Martin v. Comcast*, 146 P.3d 380, 389 (Or. Ct. App. 2006) (determining that despite the “bill stuffers” business reportedly sent, consumers could easily have continued using business’s service without ever being aware of the arbitration clause, and so were not provided sufficient notice). Businesses commonly post modifications on their websites. Courts have generally found that such posting, without more, does not satisfy the notice requirement. See *In re Zappos.com, Inc., Customer Data Sec. Breach Litig.*, 893 F. Supp. 2d 1058, 1066 (D. Nev. 2012) (deciding that a highly inconspicuous hyperlink buried among a sea of links does not provide proper notice); *Grosvenor v. Qwest Corp.*, 854 F. Supp. 2d 1021 (D. Colo. 2012) (dismissing as insufficient the fact that business posted changes it made to its agreement to a remote web page).

e. Good faith. The rule of subsection (a) provides some procedural protection against opportunistic modifications. The rule of subsection (c) provides stronger protection by targeting the substance of the modified terms, rather than the modification process. In *Badie*, the court found that good faith limited the business to making only modifications that were within the reasonable contemplation of the parties at the time of the initial contract. *Badie*, 79 Cal. Rptr. 2d at 284. *Badie* is one of the leading cases in this area, having been highly influential in the Ninth Circuit and California courts and favorably cited in 92 subsequent cases by out-of-state courts (only one other case addressing non-employment-related consumer modifications, *Kristian v. Comcast Corp.*, 446 F.3d 25 (1st Cir. 2006), has more out-of-state citations). *Badie* has been cited in numerous cases for its articulation of the good-faith doctrine in the context of consumer-contract modifications. The good-faith requirement in subsection (c) is further bolstered by the requirement that the modification (or termination under subsection (a)(2)) not undermine the benefit of the bargain guaranteed by the original contract, as when it contradicts an affirmation or promise made by the business that has been made part of the basis of the original bargain between the business and the consumer.

The unconscionability doctrine, which is restated in § 6, can also be used to police modifications of standard terms. A modification procedure that presents the new terms in a non-salient manner, as exemplified by Illustrations 5 and 7, would satisfy the standard for procedural unconscionability with relative ease, so that it would not be a factor, and the reasonableness of the modified terms would be adjudicated primarily under the substantive-unconscionability standard. See, e.g., *Powertel, Inc. v. Bexley*, 743 So. 2d 570 (Fla. Dist. Ct. App. 1999) (holding that revised telephone-service contract, sent as an insert with a bill, was procedurally and substantively unconscionable and therefore unenforceable); *Perdue v. Crocker Nat'l Bank*, 702 P.2d 503 (Cal. 1985) (reversing denial of a motion to amend so as to allow parties opportunity to present evidence regarding whether an “NSF charge” (a handling charge for checks drawn on accounts without sufficient funds) was an unconscionable element of the contract). The discretionary-obligation doctrine, restated in § 5, provides additional protection against modification clauses that give the business explicit, unfettered discretion to modify the standard contract terms.

f. Consistent approach across state laws. The restated rules pertaining to the modification of standard contract terms are supported by an empirical study of available cases in state and federal courts through 2023 with *Decker v. Star Fin. Grp., Inc.*, 204 N.E.3d 918, 925 (Ind. 2023), addressing the enforceability of modifications in consumer transactions or consumer contracts, both in holdings and in dicta (excluding employment cases), starting with *Panorama Residential Protective Association v. Panorama Corporation*, 627 P.2d 121 (Wash. Ct. App. 1981).

Courts have developed a fairly consistent approach to determining the enforceability of modifications. In particular, the requirements of notice and opportunity to reject or terminate figure prominently in courts’ reasoning. In almost all cases in which modifications were enforced and that involve the questions of notice as well as opportunity to reject or terminate, courts made explicit determinations that both the requirements of sufficient notice and opportunity to reject or terminate were satisfied. In the remaining case, the court made an explicit determination that sufficient notice was provided. In those cases in which modifications were not enforced, courts found that either notice or opportunity to reject or terminate was absent. In other cases, the courts refused to enforce the modifications because they were unconscionable, because they violated the duty of good faith, or for some other reason.

Those findings from all courts also hold for state supreme courts and state appellate courts (hereinafter “high state courts”). In cases in which both notice and the opportunity to reject or terminate were at issue, high state courts enforced modifications when both the requirements of sufficient notice and opportunity to reject or terminate were satisfied, except in one case in which the modification was held to be unconscionable. Among the cases in which enforcement was denied, in all but one the high state courts explained their refusal to enforce the modification by the absence of either notice or opportunity to reject or terminate (or both), or by finding that the modification was unconscionable.

The good-faith requirement of subsection (c) also figures prominently in the case law. In 23 cases, courts have explicitly discussed the requirement of good faith. Courts enforced the

modification in 15 of 16 cases in which the requirement was found to be satisfied, and denied the modification in all seven cases in which it was found to be violated.

There is also support for the proposition that courts are comfortable accepting modifications presented by means different than the original terms, as long as the notice requirement is met. The manner in which the contract is originally presented as well as the mode of presentation of the modification are described in a large majority of opinions. In a majority of those cases, the business presented the modification in a manner different from the original. For example, courts have enforced modifications when the original contract was presented to the consumer in paper format and the modification was presented as a bill stuffer, a browsewrap, or an email, as long as the notice requirement was satisfied. Courts have focused on whether the particular modifications satisfied all necessary requirements. See, e.g., *Herrington v. Union Planters Bank, N.A.*, 113 F. Supp. 2d 1026 (S.D. Miss. 2000) (finding that a cover letter accompanying the revised agreement was enough to sufficiently notify plaintiffs that the terms and conditions of their accounts would change).

§ 4. Interpretation and Construction of Consumer Contracts

(a) A consumer contract imposes upon each party a non-disclaimable duty of good faith and fair dealing in its performance and its enforcement.

(b) In choosing among the reasonable meanings of a standard contract term, the meaning that operates against the business supplying the term is preferred.

(c) Uncertainty in the meaning of the notices that are part of the process by which standard contract terms are adopted is resolved against the business using the process.

(d) Standard contract terms are interpreted in a manner that effectuates the reasonable expectations of the consumer.

Comment:

1. General. Interpretation of consumer contracts is the determination of the meaning the parties gave to the language of the contract. Interpretation is not a determination of the legal enforceability of the terms. See Restatement of the Law Second, Contracts § 200, Comment *c*. This Section restates several rules of interpretation and construction that have heightened relevance to consumer contracts. The Section does not purport to cover all aspects of contract interpretation and construction. The Restatement of the Law Second, Contracts, continues to provide guidance on the interpretation and construction of consumer contracts, and its rules are not displaced by this Section. See § 1, Comment 9.

2. Good faith and fair dealing. The implied and non-disclaimable duty of good faith and fair dealing plays an important role in the construction of consumer contracts, helping to fill contractual gaps and weed out various forms of opportunistic behavior—including unfair and inequitable advantage-taking, hold-up, manipulation, and dishonesty—that undermine the reasonable expectations of consumers, reduce the value of contracting, and require costly precautions. Good-faith performance or enforcement of a consumer contract emphasizes faithfulness to the agreed or reasonably understood purpose and consistency with the justified expectations of the consumer. It excludes conduct that violates community standards of decency, fairness, or reasonableness. See § 1, Comment 7; Restatement of the Law Second, Contracts § 205, Comment *a*; Uniform Commercial Code § 1-201(20).

3. Interpretation of terms against the business. Because the business drafts the standard contract terms, the business has the opportunity to protect its own interests, to identify and evaluate any uncertainty in the meaning of the words employed, and to redraft the terms in a manner that

reduces doubt. Thus, if the meaning of a term is reasonably susceptible to more than one interpretation; the meaning of a term is uncertain, ambiguous, or otherwise lacks clarity; and other factors relevant to the construction of the meaning of a term are not decisive, there is substantial reason for preferring a reasonable meaning attached by the party with less reason to know or understand the other side's meaning—typically the consumer. See Restatement of the Law Second, Contracts §§ 201 and 206.

Illustration:

1. A life-insurance contract contains an exclusion for a person “engaged in aviation.” In a claim by a consumer who was a passenger on a commercial flight that crashed, the court concludes that the term “engaged in aviation” is susceptible to two possible interpretations—riding an airplane or operating it—and it is therefore ambiguous. The narrower interpretation of the exclusion, which favors the consumer, is preferred.

4. *Interpretation of process statements, adoption directions, and notices against the business.* In scrutinizing the reasonableness of the process by which standard contract terms are adopted, the statements, adoption directions, and notices provided by the business to inform consumers about the consequences of their actions are evaluated. See §§ 2 and 3. Like the interpretation of the substance of the standard contract terms, if such statements, directions, and notices are susceptible to more than one reasonable understanding, an interpretation that favors the consumer is preferred.

Illustration:

2. A checkout page on a business's website contains a scroll box titled “Service Agreement” showing only the first few lines of the standard contract terms. Below the box appears a sentence stating, “You understand that by clicking ‘I Accept’ you are also providing authorization to the business to obtain your credit report.” Below that sentence appears a click button labeled “I Accept.” This notice is susceptible to two interpretations regarding the effect of clicking “I Accept”—that it only authorizes a credit report, or that it also operates as acceptance of the terms of the Service Agreement in the scroll box—and it is therefore ambiguous. An interpretation that favors the consumer is preferred.

5. *Reasonable expectations.* Protection of consumers' reasonable expectations has a central role in consumer-contract law, both in the interpretation and construction of the terms of the contract (this Section) and, once the meaning is ascertained, in determining their effect and enforceability (§§ 6 to 9).

When the meaning of a standard contract term has to be ascertained, the meaning that is consistent with the reasonable expectations of the consumers should be preferred, and consumers are not bound by any meaning that conflicts with such expectations. Consumers' reasonable expectations are determined in context, based on the totality of the circumstances, and in consideration of the ordinary behavior and perspective of consumers engaged in the type of transaction at issue and their interaction with the business, including the representations made to them, the typical purpose of such transactions, and the preservation of value of the nonstandard or core terms of the deal.

The protection of consumers' reasonable expectations is also central to the determination of the legal effect of standard contract terms, even when the meaning of those standard contract terms is not uncertain or has otherwise been ascertained. It has particularly strong justification when consumers' reasonable expectations were cultivated by the business's precontractual promises or affirmations of fact, and, in such circumstances, a construction or interpretation of the contract in a manner that gives effect to consumers' reasonable expectations is preferred. See § 6, Comment 6(b); § 7(b)(1); § 8, Comment 2; § 9. This rule protects consumers' expectations that the business has reason to anticipate would arise from the circumstances surrounding the business's interaction with consumers, and that are central to consumers' decision to enter the transaction. See generally Restatement of the Law Second, Contracts § 211(3) and Comment *f* (providing that standard contract terms that "eviscerate[]" the terms explicitly represented to consumers, or that "eliminate[]" the dominant purpose of the transaction," are not enforceable).

REPORTERS' NOTES

a. Generally. Many of the asymmetries inherent in consumer contracting create opportunities for businesses to overreach. This Section highlights several rules of contract interpretation and construction that have their origin in long-standing common-law practice—and are restated in the Restatement of the Law Second, Contracts—and that have played a central role in combatting the risk of overreaching.

b. Good faith. Every contract includes a non-disclaimable duty of good faith and fair dealing in its performance and enforcement. This Restatement follows the current definition of

“good faith” stated in Uniform Commercial Code § 1-201(b)(20). See also Restatement of the Law Second, Contracts § 205, Comment *a* (AM. L. INST. 1981). In consumer contracts, good-faith performance and enforcement have been interpreted by courts as the promotion of a faithfully agreed common purpose that is consistent with the justified and reasonable expectations of the consumer. As drafters, businesses sometimes seek to include discretionary terms that allow them to determine the specifics of their performance obligations, change the price, and modify or adjust other obligations under the contract. See § 5, Comment 3. Courts have enforced terms that establish discretionary obligations but have relied on the duty of good faith and fair dealing to limit any actions inconsistent with consumers’ justified and reasonable expectations and the common purpose of the contract. See, e.g., *Fagerstrom v. Amazon.com, Inc.*, 141 F. Supp. 3d 1051 (S.D. Cal. 2015) (citing Restatement of the Law Second, Contracts § 205, Comments *a* and *d* (AM. L. INST. 1981), and holding that a contract-modification clause was not illusory because the business was bound by the duty of good faith, and that, consequently, the seller “must exercise this discretion in a manner consistent with ‘the spirit of the bargain’ and [consumers’] justified expectations under the contract”) (quoting *Scribner v. Worldcom, Inc.*, 249 F.3d 902, 910 (9th Cir. 2001)); *McKee v. Audible, Inc.*, 2017 WL 4685039, at *13 (C.D. Cal. July 17, 2017) (holding that the existence of a unilateral modification clause in the business’s terms did not render the terms substantively unconscionable because, *inter alia*, “the implied duty of good faith and fair dealing requires [the business] to exercise its discretion in a manner consistent with the justified expectations of the parties”); *Sevier Cnty. Schs. Fed. Credit Union v. Branch Banking & Tr. Co.*, 990 F.3d 470, 478 (6th Cir. 2021) (stating that in Tennessee, when a party makes a unilateral contract change of great magnitude, and especially when that party has “vastly greater bargaining power,” a court must consider whether the proposed change is, *inter alia*, “not in violation of the implied covenant of good faith and fair dealing”). The duty of good faith also excludes conduct that violates community standards of decency, fairness, or reasonableness.

c. Interpretation against the drafter. As drafters of consumer contracts, businesses are responsible for any uncertainty, ambiguity, or lack of clear meaning in the contract. Courts have therefore relied on the long-standing principle, restated in Restatement of the Law Second, Contracts § 206 (AM. L. INST. 1981), that constructs ambiguous contract language against the drafter. See, e.g., *Hungate v. Law Off. of David B. Rosen*, 391 P.3d 1, 11 (Haw. 2017) (concluding that any ambiguous term should be construed against the drafter, “or in other words, ‘against the party who supplie[s] the words’”) (quoting Restatement of the Law Second, Contracts § 206 (AM. L. INST. 1981)); *State Sav. & Loan Ass’n v. Kauaian Dev. Co.*, 613 P.2d 1315, 1322 (Haw. 1980) (stating that “any ambiguity in a mortgage instrument should be construed against the party drawing the documents”); *Corso v. Creighton Univ.*, 731 F.2d 529, 533 (8th Cir. 1984) (explaining that when “the contract is on a printed form prepared by one party, and adhered to by another who has little or no bargaining power, ambiguities must be construed against the drafting party”); *Mastrobuono v. Shearson Lehman Hutton, Inc.*, 514 U.S. 52, 62 (1995) (citing Restatement of the Law Second, Contracts § 206 (AM. L. INST. 1981), in support of the proposition that “the common-law rule of contract interpretation [is] that a court should construe ambiguous language against the

interest of the party that drafted it”); *Gray v. Am. Exp. Co.*, 743 F.2d 10, 18 (D.C. Cir. 1984) (noting that “in choosing among interpretations, meaning which operates against drafters is preferred”); *Lechmere Tire & Sales Co. v. Burwick*, 277 N.E.2d 503, 506 (Mass. 1972) (holding that the credit-card agreement at issue should be construed against the drafter and “that all doubts as to its interpretation and as to the meaning of the card itself are to be resolved in favor of the applicant for the card”). Illustration 1 is based on *Masonic Acc. Ins. Co. v. Jackson*, 164 N.E. 628 (Ind. 1929).

The same logic applies to the effect given to language used by the business in structuring the process of contract formation and adoption of terms. Through this language, the business instructs consumers how to form the contract and adopt the terms, and provides notices regarding the legal consequences of specific acts. When this guidance is susceptible to more than one reasonable understanding, that which operates against the business-drafter is preferred. For example, a business may instruct the consumer that clicking on an “I Agree” button would result in the formation of a contract and adoption of some standard contract terms, but the language and design of this process may result in uncertainty about which sets of standard contract terms are adopted. Accordingly, when evaluating whether adoption processes, notices, disclosures, and proposed modifications are reasonably communicated to consumers, courts require that the language alerting consumers to the specific steps that will result in the adoption or modification of standard contract terms be stated in a clear manner and that ambiguous language be interpreted against the drafter. See § 2, Comment 8; § 3, Comment 3; *Sgouros v. Transunion Corp.*, 817 F.3d 1029 (7th Cir. 2016) (courts “need . . . to look more closely at both the law and the facts to see if a reasonable person in Sgouros’s shoes would have realized that he was assenting to the Service Agreement”); *Lee v. Intelius Inc.* 737 F.3d 1254 (9th Cir. 2013) (when the statement by the business about the consequences of the consumer clicking a particular button does not clearly state that additional terms are adopted, the court constructed it as insufficient to result in the adoption of the terms). And, when the meaning of the notice stating which packets of standard contract terms are adopted by a particular act is not clear, a meaning that operates against the business is preferred. Illustration 2 is based on *Sgouros v. Transunion Corp.*, 817 F.3d 1029 (7th Cir. 2016).

d. Reasonable expectations. When a standard contract term is susceptible to more than one reasonable meaning, courts have adopted the meaning that is consistent with the reasonable expectations of consumers, and have declined to bind consumers to any meaning that conflicts with such expectations. See *Dorchester Mut. Ins. Co. v. Krusell*, 150 N.E.3d 731, 738 (Mass. 2020) (after concluding that the relevant term in the insurance policy is ambiguous, the court proceeds to consider “what an objectively reasonable insured, reading the relevant policy language, would expect to be covered”); *James B. Nutter & Co. v. Est. of Murphy*, 88 N.E.3d 1133, 1139 (Mass. 2018) (stating that when interpreting ambiguous language in adhesion contracts, the court seeks to effectuate “the meaning an objectively reasonable person in the nondrafting party’s position would give to the language in the contract”; and quoting Restatement of the Law Second, Contracts § 211, Comment e: “courts in construing and applying a standardized contract seek to effectuate the reasonable expectations of the average member of the public who accepts it.”); *Golchin v. Liberty*

Mut. Ins. Co., 993 N.E.2d 684, 689 (Mass. 2013) (standard insurance policies must be interpreted in light of “what an objectively reasonable insured . . . would expect to be covered”) (quoting *Golchin v. Liberty Mut. Ins. Co. (Golchin I)*, 950 N.E.2d 853, 857 (Mass. 2011)); *Katze v. Randolph & Scott Mut. Fire Ins. Co.*, 341 N.W.2d 689, 692 (Wis. 1984) (resolving the ambiguity of a term by adopting the meaning that “a reasonable person in the position of an insured would have understood the words to mean”).

Even when the meaning of a term is not uncertain or has otherwise been ascertained, courts may refuse to enforce it when it conflicts with the reasonable expectations of consumers. See Restatement of the Law Second, Contracts § 211(3) (AM. L. INST. 1981). See, e.g., *Berkson v. Gogo LLC*, 97 F. Supp. 3d 359, 391 (E.D.N.Y. 2015) (noting that the formation process must be consistent with the reasonable expectations of the consumer, stating that “[i]t is recognized that where the offering party has reason to believe ‘that the party manifesting assent’ to a contract ‘would not do so’ if she ‘knew that the writing contained a particular term, the term is not part of the agreement’”) (quoting Restatement of the Law Second, Contracts § 211(3) (AM. L. INST. 1981)); *Sellers v. JustAnswer LLC*, 289 Cal. Rptr. 3d 1, 14 (Cal. Ct. App. 2021) (stating that “[c]ourts have characterized [shrinkwrap] licenses as contracts of adhesion . . . but have generally found them to be enforceable if consistent with the reasonable expectations of the consumer”); *Woodruff v. Bretz, Inc.*, 218 P.3d 486 (Mont. 2009) (holding that an arbitration provision in a standard-form purchase contract for a motor home was not enforceable against the purchaser because it was not within the purchaser’s reasonable expectations); *Lauvetz v. Alaska Sales & Serv.*, 828 P.2d 162 (Alaska 1991) (the reasonable-expectations doctrine applied to set aside exclusions to a collision-damage waiver (CDW)); *C & J Fertilizer, Inc. v. Allied Mut. Ins. Co.*, 227 N.W.2d 169 (Iowa 1975) (the reasonable-expectations doctrine applied to override explicit coverage-limiting language in an insurance policy); *Rodman v. State Farm Mut. Ins. Co.*, 208 N.W.2d 903, 906 (Iowa 1973) (approvingly quoting ROBERT E. KEETON, BASIC TEXT ON INSURANCE LAW § 6.3(a), at 751 (1971), noting that “[t]he objectively reasonable expectations of applicants and intended beneficiaries regarding the terms of insurance contracts will be honored even though painstaking study of the policy provisions would have negated those expectations”).

§ 5. Discretionary Obligations

(a) A contract or any term that grants a business discretion to determine the business's rights and obligations must be interpreted, when reasonably susceptible to such interpretation, to provide that such discretion will be exercised reasonably and in good faith.

(b) A contract term that purports to grant a business discretion to determine the business's contractual rights and obligations unconstrained by the good-faith obligation or by other implied limitations is unenforceable by the business.

Comment:

1. Discretionary terms. A consumer contract may include provisions that grant a business discretion to specify or adjust its contractual obligations. There are two types of discretion-granting terms: (1) terms that grant the business discretion to resolve an issue that was left open in the initial contract, e.g., when the initial contract states that any dispute will be settled by arbitration, does not specify the arbitration forum, and grants the business discretion to choose the arbitration forum; and (2) terms that grant the business discretion to adjust or change obligations that were specified in the initial contract, e.g., when the initial contract states that any dispute will be settled by arbitration in Arbitration Forum A and grants the business discretion to replace Arbitration Forum A with another arbitration forum. This Section applies to both types of discretion-granting terms. Discretion-granting terms of type (2) are modification clauses and thus governed also by § 3 (see Comment 4).

2. Discretionary terms restricted by good faith. When a consumer contract includes a provision that grants a business discretion to specify or adjust its contractual obligations in a manner that overrides the implied duty to exercise the discretion reasonably and in good faith, the contract lacks consideration because it fails the basic requirement of mutuality—that each party make a commitment to the other (Restatement of the Law Second, Contracts § 77). But, following a long tradition in contract law, subsection (a) establishes that such open-ended language does not ordinarily lead to nonenforcement if it can reasonably be read not to exclude the implied limitation that the business is required to exercise its discretion reasonably and in good faith. Such implied limitation is consistent with the approach taken by the Uniform Commercial Code (UCC) (for example, in UCC §§ 2-305 and 2-306) and by the Restatement of the Law Second, Contracts (§ 77, Comment *d*)—to supplement discretionary terms by an obligation to exercise the discretion in good faith. The implied duty of good faith applies more broadly in shaping the performance

obligation of both parties (see Restatement of the Law Second, Contracts § 205; UCC § 1-304). It is emphasized here because of the central role that it plays in policing otherwise facially unlimited discretionary terms in consumer contracts and rendering contracts that contain them enforceable. The implied duty of good faith cannot be waived. See generally UCC § 1-302(b).

Illustrations:

1. A contract contains a clause requiring disputes between a business and a consumer to be resolved in a particular forum. It grants the business the power to set a forum and procedures at the business's own discretion and does not contain any express limitation on such discretion. The term is enforceable, but the business must exercise its discretion in good faith, choosing a forum and procedures that conform to commercial standards of fair dealing in the circumstances.

2. A contract contains a clause applying to the entire agreement, stating that the business "reserves the right at any time to modify, revoke, suspend, terminate, or change any or all terms of the contract, in whole or in part." The clause is enforceable, but the business must exercise its powers under this clause in good faith. Any subsequent modifications of the contract attempted under this clause would be enforceable if consistent with § 3.

3. *Discretionary terms in violation of the good-faith restriction.* When a term in the contract purports to grant a business discretion to specify contractual obligations in a way that cannot be reconciled with or that explicitly conflicts with the duty to exercise such discretion reasonably and in good faith, the business's promises as expressed in those terms are often labeled by courts as "illusory" because by failing to constrain its discretion, the business made no meaningful commitment to the consumer with respect to the matters subject to the discretionary rights. Such a term, or—if it is not severable (see § 10(a))—the entire contract, is an illusory promise and is not enforceable by the business (but may be enforceable by the consumer; see Comment 8). The term or contract may also be substantively unconscionable under § 6.

Illustrations:

3. A consumer enters into an agreement for a cruise service with a business that operates cruise ships, pays a nonrefundable deposit to reserve a cabin on a specific cruise,

and agrees to pay the remainder of the price by a specified date. The standard contract terms allow the business to cancel the reservation at any time and for any reason, without prior notice, and without providing any explanation or compensation. The contract is unenforceable by the business because the business's promise is illusory. This conclusion does not change even if the business must return the deposit upon such termination.

4. A consumer purchases a hot tub along with a two-year service agreement. The service component is priced separately but marketed as an important complement to the sale and as part of a single, unified transaction. The standard contract terms allow the business to cancel the service component at any time and for any reason by mailing back the remaining balance of the prepaid service price. The entire contract is unenforceable by the business, including the hot-tub sale, because a significant source of value can be eliminated by the business without any limitation.

4. Unilateral modification clauses. Businesses sometimes include, in their standard terms, a clause that purports to grant the business unrestricted discretion to modify the terms of service. When reasonably susceptible of such an interpretation, such clauses should be interpreted to allow only good-faith modification, in accordance with this Section and §§ 3 and 4. When the explicit language of the modification clause precludes such an interpretation, the clause is not consistent with subsection (a) and is thus unenforceable by the business under subsection (b). The clause may also be substantively unconscionable under § 6. The effects of such an attempt to derogate from the good-faith restriction are described in § 10.

Illustration:

5. A contract between an airline and a consumer allows the airline to modify the frequent-flyer program at its discretion. The provision is enforceable, and any subsequent modification is enforceable, if it is adopted in accordance with the requirements of § 3, as long as it is done in good faith. A modification that unreasonably reduces the value of previously acquired perks is inconsistent with the good-faith requirement of this Section, and it may also violate the requirement of § 3(a) if the airline does not afford the consumer a meaningful opportunity to reject it. But a modification that reduces the value of prospectively acquired miles does not conflict with the good-faith requirement.

5. *Discretionary terms and course of performance.* A contract or a term that grants a business wide discretion is unenforceable by the business if the business has exhibited a pattern of conduct under which the discretion is exercised in the absence of good faith. Similarly, a modification clause that grants a business wide discretion to modify the terms of the contract is unenforceable by the business if the business attempts to modify the contract with retroactive effect or otherwise in the absence of good faith. Those results apply even if, in the absence of such course of performance, the discretion or modification terms would be enforceable under subsection (a) because it is subject to the implied obligation of good faith. In effect, the ability to invoke the implied obligation of good faith to save the term is negated when there is a course of performance that is inconsistent with a good-faith exercise of the business's discretion, and in the absence of such an implied restriction, the discretionary term is unenforceable by the business.

Illustration:

6. A contract contains an arbitration clause that allows the business to select the arbitration body and procedure at its discretion. Under subsection (a), the clause is enforceable, because the discretion is subject to an obligation to exercise it in good faith. Invoking this power, the business refers consumers' disputes to an arbitration body that is inaccessible to most consumers, despite the existence of more readily accessible and more reasonable alternatives. Such exercise of discretion by the business violates the good-faith duty and is not enforceable. Depending on the circumstances, it may render the entire arbitration clause unenforceable by the business. (See also § 10.)

6. *No requirement of symmetry.* Discretionary terms, by their nature, allocate contractual rights in an asymmetric manner. Such allocations are a regular feature of contracting and require no special justification. Thus, asymmetry alone does not make a contract unenforceable. As long as the discretionary power is bounded by the requirement of good faith (and by other, more specific contractual restrictions described in other Sections of this Restatement), it does not pose a problem of mutuality.

Illustration:

7. A consumer contract contains a choice-of-forum clause that requires all consumer complaints to be resolved in a specified forum but gives the business discretion

to pursue its own complaints in a different forum. The asymmetry alone does not render the clause unenforceable by the business under this Section.

7. *Guarantees of satisfaction and right to withdraw.* Consumer contracts may provide discretion to consumers, most commonly when consumers are accorded power to terminate or withdraw. Consumer contracts may allocate such discretion by including terms like “satisfaction guaranteed” or “money-back guarantee.” When those guarantees are part of the terms of the contract (as opposed to try-before-you-buy solicitations), they may constitute conditions of satisfaction that consumers must exercise in good faith. See Restatement of the Law Second, Contracts § 228. They may also constitute promises by the business to grant consumers a right to withdraw from the contract and receive a full refund. The exercise of the withdrawal rights by consumers must also be in accordance with the duty of good faith.

Illustrations:

8. A consumer contract for the sale of a television screen contains a standard term stating: “We guarantee your satisfaction with the product. We will refund the price in full any time you are not satisfied.” A consumer purchases the screen, and, while satisfied with the picture quality and the technical performance, honestly claims not to be satisfied with the overall decorative appearance of the screen when it is turned off. The satisfaction condition may be exercised by the consumer.

9. Same facts as Illustration 8, except that the consumer’s claim not to be satisfied is due to discovering that the same product is sold by another retailer for a lower price. Because the consumer is satisfied with the product, the consumer may not invoke the nonoccurrence of the condition, and is not entitled to a refund. If, however, the satisfaction condition includes language like “low-price guarantee,” the consumer would be entitled to exercise the satisfaction condition and receive a full refund.

8. *Legal consequences of unenforceable discretionary terms.* Consumer-contract terms that provide for the exercise of discretion by a business without good faith are inconsistent with subsection (a) and are unenforceable by the business under subsection (b). If such terms can be severed from the rest of the agreement, they are replaced with gap-fillers, as described in § 10. If severance or restriction of the terms cannot be accomplished by reformation or augmentation of

the contract without undue burden (for example, when the unenforceable term is the price or the quantity), the entire contract is unenforceable by the business. Discretionary terms in explicit violation of the good-faith restriction may also render the contract substantively unconscionable under § 6. Discretionary terms intended to provide value to the consumer may be enforced by the consumer, replacing the business's discretion with gap-fillers, as described in § 10.

Illustration:

10. A contract for installation of a home-alarm system provides for one-year, on-site service at no additional charge in the event that the system malfunctions. The service term in the contract grants the business unlimited discretion to schedule any requested service at the business's own convenience. It specifies that delayed scheduling of the repair would not give rise to any claim against the business. Such unlimited discretion is not consistent with this Section. The consumer may enforce the on-site service promise stripped of the business's unlimited scheduling discretion. The consumer's contractual right under the severed agreement is to receive on-site service within a reasonable time.

9. Relation to the Uniform Commercial Code and the Restatement of the Law Second, Contracts. The rule of this Section is consistent with Restatement of the Law Second, Contracts § 77, which treats discretionary terms as illusory when the discretion is not limited (by the doctrine of good faith or otherwise). It is also consistent with the approach of UCC §§ 2-305, 2-306, 2-309, and 2-311(1), which impose good-faith limitations on discretionary terms. UCC § 1-302(b) specifies that the duty of good faith may not be disclaimed by agreement but that the parties may agree on "the standards by which the performance of [the good-faith obligation] is to be measured if those standards are not manifestly unreasonable."

REPORTERS' NOTES

a. Generally. Many consumer contracts include terms that give the business powers to modify, add, or negate its contractual obligations, and to set the precise details and scope of various obligations. Often those powers are stated explicitly in modification clauses or discretionary terms. But they may also arise out of vague drafting of the business's obligations. If the business can derogate, without any limitation, from rights and obligations that were stated when the original assent was manifested, or if the business awards itself unfettered discretion to specify its obligations under the original contract, such that the promise the business made to consumers is lacking sufficient meaningful commitment, the business's promise is illusory and the contract fails

for lack of consideration. In such cases, all the provisions in the agreement that contained the unlimited discretion may be unenforceable against the consumer, as they were never part of a contract with a bargained-for return promise. Cf. Restatement of the Law Second, Contracts § 77 (AM. L. INST. 1981).

This non-enforceability outcome is obtained only when the contractual language clearly grants the business unfettered discretion. In other cases, when a term in the contract grants the business wide discretion but does not state explicitly the boundaries of that discretion, contract law requires that the business exercise its discretion in good faith. For example, a business might include a clause giving it the right to modify any term of the contract for any reason, including an existing arbitration clause. Ordinarily, modifications done under such powers are enforced by courts. The approach of this Section supports this result by restricting discretionary clauses to allow only modifications made in good faith. This approach thus dispenses with the need to include explicit “savings clauses” that limit the modification power.

b. Retroactive application. One of the primary concerns with unlimited discretionary terms is their retroactive application. Discretionary terms are often silent on the issue of retroactive application, and some courts have held that silence on this issue means that the discretion can be exercised with retroactive application, which renders the agreement unenforceable. Those courts have held that, to be valid, the discretionary terms must expressly state that they only apply prospectively. See, e.g., *Morrison v. Amway Corp.*, 517 F.3d 248 (5th Cir. 2008) (determining that because there is nothing to suggest that once published the amendment would be inapplicable to disputes arising *before* such publication, it was unenforceable); *Torres v. S.G.E. Mgmt., LLC*, 397 F. App'x 63, 68 (5th Cir. 2010) (ruling that because no savings clause precluded application of amendments to disputes arising before amendment, the arbitration clause was illusory and unenforceable); *Harris v. Blockbuster, Inc.*, 622 F. Supp. 2d 396 (N.D. Tex. 2009) (denying provider's motion to compel individual arbitration because there was nothing to suggest that once published the amendment would be inapplicable to disputes arising out of events occurring before the publication); *Phox v. Atriums Mgmt. Co., Inc.*, 230 F. Supp. 2d 1279 (D. Kan. 2002) (finding employee handbook to be an illusory contract because in the discretionary clauses, defendant reserved the right to modify or cancel provisions at any time). Along this line, courts examine whether the prospective application limit is expressly stated, and if it is, the discretionary term is enforceable. See, e.g., *In re Halliburton Co.*, 80 S.W.3d 566 (Tex. 2002) (holding that language in the agreement effectively prevented business from avoiding its promise to arbitrate by amending the provision or terminating it altogether).

c. Implied duty of good faith. The approach of this Section, which includes an implied limitation of good faith in the exercise of unlimited-discretion clauses, instead follows the position adopted by provisions of Article 2 of the Uniform Commercial Code (UCC), §§ 2-305, 2-306, and 2-309, which impose good-faith limitations on discretionary terms. It also follows courts that have imposed limitations originating from the duties of good faith and fair dealing and from the reasonable expectations of the parties to save otherwise unenforceable contracts—an approach that has been applied in both consumer and nonconsumer contracts. See, e.g., *Padberg v. DISH*

Network LLC, 2012 WL 2120765 (W.D. Mo. June 11, 2012) (recognizing that although the contract granted business the discretion to change consumer's programming, business's programming decisions were subject to an implied duty of good faith and fair dealing, and business had to exercise its discretion reasonably); *Lebowitz v. Dow Jones & Co.*, 508 F. App'x 83, 84 (2d Cir. 2013) (noting that, because of the implied duty of good faith, under New York law, a contract is not illusory merely because its terms give discretion to one party to the contract); *24 Hour Fitness, Inc. v. Superior Court*, 78 Cal. Rptr. 2d 533 (Cal. Ct. App. 1998) (determining that, because a petitioner employer's power to modify the agreement included a duty of good faith, it was not illusory); *Cobb v. Ironwood Country Club*, 183 Cal. Rptr. 3d 282 (Cal. Ct. App. 2015) (constraining business's right to amend the agreement governing the parties' relationship by the covenant of good faith and fair dealing, which precludes amendments that operate retroactively); *Serpa v. Cal. Sur. Investigations, Inc.*, 155 Cal. Rptr. 3d 506 (Cal. Ct. App. 2013) (finding that the obligation to arbitrate was not rendered illusory by employer's retention of a right to modify the agreement, because it had to be exercised in accordance with the implied covenant of good faith and fair dealing); *Peleg v. Neiman Marcus Grp., Inc.*, 140 Cal. Rptr. 3d 38 (Cal. Ct. App. 2012) (finding an agreement illusory because it was not restricted by express language or by terms implied under the covenant of good faith and fair dealing); *Martindell v. Lake Shore Nat'l Bank*, 154 N.E.2d 683, 691 (Ill. 1958) (holding that the duty of good faith and fair dealing implied an interpretation that required the option period be left open for six months); *Russ Berrie & Co. v. Gantt*, 998 S.W.2d 713 (Tex. App. 1999) (deciding that the employment contract was not illusory under New Jersey law, because New Jersey law implied a duty of good faith and fair dealing in all contracts); *Carrico v. Delp*, 490 N.E.2d 972, 976 (Ill. App. Ct. 1986) (concluding that, in accordance with the implied duty of good faith, the agreement gave bank reasonable, not absolute, discretion); *Casas v. Carmax Auto Superstores Cal., LLC*, 169 Cal. Rptr. 3d 96 (Cal. Ct. App. 2014) (ruling that, under California law, even a modification clause not providing for advance notice does not render an agreement illusory, because the agreement also contains an implied covenant of good faith and fair dealing). For example, the court in *Cobb* explained how a contract-modification clause that was silent on whether contract changes apply to existing claims was implicitly restricted by the duty of good faith:

When one party to a contract retains the unilateral right to amend the agreement governing the parties' relationship, its exercise of that right is constrained by the covenant of good faith and fair dealing which precludes amendments that operate retroactively to impair accrued rights.

Cobb, 183 Cal. Rptr. 3d at 284.

But, if the term as written is explicitly unrestricted, it cannot be varied by the implied covenant of good faith and fair dealing. That term, or the entire contract, becomes unenforceable. The legal consequences are then determined by § 10. Returning to the example of a discretionary arbitration agreement, if it expressly applies a contract change to preexisting claims, the implied covenant of good faith cannot vary the plain language, and the agreement is unenforceable. Cf. Restatement of the Law, Employment Law § 2.06 (AM. L. INST. 2015) (allowing only prospective

modifications of binding employer policy statements); *Cheek v. United Healthcare of Mid-Atlantic, Inc.*, 835 A.2d 656 (Md. 2003); *Salazar v. Citadel Commc'ns Corp.*, 90 P.3d 466 (N.M. 2004) (finding language that grants a firm (in the employment context) the right to modify terms of the contract at its “absolute discretion” or “for any reason” sufficient to render the agreement illusory).

d. No requirement of symmetry. The rule that unlimited-discretion promises are not enforceable, as restated in this Section, does not require any symmetry of obligation. Consumer contracts do not fail for lack of consideration if, for example, the arbitration clause applies only to actions brought by consumers and not to actions brought by the business. Most of the rights and obligations in consumer contracts are asymmetric—the business has to perform some actions and the consumer other actions—and consideration exists as long as these asymmetric obligations are mutually exchanged. See *Obliv v. Winiecki*, 374 F.3d 488 (7th Cir. 2004) (finding that arbitration clause was enforceable because it was supported by consideration, employee’s salary—one of the things it paid employee to do was agree to nonjudicial dispute resolution). See also *Harris v. Green Tree Fin. Corp.*, 183 F.3d 173 (3d Cir. 1999) (enforcing agreement that bound only plaintiffs to submit to arbitration because mutuality is not a requirement of a valid arbitration clause when consideration is present); *Lackey v. Green Tree Fin. Corp.*, 498 S.E.2d 898, 904 (S.C. Ct. App. 1998) (holding that there is no requirement that the consideration for one party’s obligation to arbitrate all issues under a contract be the other party’s obligation to arbitrate all issues under that contract); *Randolph v. Green Tree Fin. Corp.*, 991 F. Supp. 1410, 1421-1422 (M.D. Ala. 1997) (denying individual’s motion for reconsideration of the court’s decision to grant the corporation’s motion to compel arbitration). Problems of asymmetric obligation have been dealt with by courts under the label of “illusory promise” or “mutuality” but have addressed a different issue altogether—unconscionability.

§ 6. Unconscionability

(a) An unconscionable contract or term is unenforceable.

(b) The following factors are examined in determining whether a contract or a term is unconscionable at the time the contract is made:

(1) substantive unconscionability, namely, a fundamentally unfair or unreasonably one-sided contract or term; and

(2) procedural unconscionability, namely, a contract or term that results in unfair surprise or results from the absence of meaningful choice on the part of the consumer.

In determining that a contract or a term is unconscionable, a greater degree of one of the factors in this subsection means that a lesser degree of the other factor is sufficient to establish unconscionability. In appropriate circumstances, a sufficiently high degree of one of the factors is sufficient to establish unconscionability.

(c) Without limiting the scope of subsection (b)(1), a contract term is substantively unconscionable if its effect is to:

(1) unreasonably exclude or limit the business's liability or the consumer's remedies that would otherwise be applicable for:

(A) death or personal injury for which, in the absence of a contractual provision in the consumer contract, the business would be liable, or

(B) any loss to the consumer caused by an intentional or negligent act or omission of the business;

(2) unreasonably expand the consumer's liability, the business's remedies, or the business's enforcement powers that would otherwise be applicable in the event of breach of contract by the consumer; or

(3) unreasonably limit the consumer's ability to pursue or express a complaint or seek reasonable redress for a violation of a legal right.

(d) Without limiting the scope of subsection (b)(2), a contract term is procedurally unconscionable if a reasonable consumer in the circumstances is not aware of the term or does not understand or appreciate the implications of the term, and as a result does not meaningfully account for the term in making the contracting decision. Factors relevant to making such a determination include:

- (1) the legal and financial sophistication of a consumer who enters into such transactions;**
- (2) the complexity of the term or of the agreement as a whole;**
- (3) pressure tactics and manipulation employed by the business in soliciting the consumer's assent; and**
- (4) the process by which the term was introduced.**

Comment:

1. The two prongs of unconscionability. The doctrine of unconscionability has the primary goal of protecting contracting parties against fundamentally unfair and unreasonably one-sided terms. It thus represents one of the primary safeguards necessary in an environment in which complex terms are adopted without a realistic opportunity for meaningful scrutiny by consumers. Because consumers rarely read or review the non-core standard contract terms, and because such faintly reviewed terms may nevertheless be adopted under the principles developed in the case law and reflected in §§ 2 and 3 of this Restatement, the doctrine of unconscionability is a primary tool against the inclusion of intolerable terms in a consumer contract. Accordingly, the adoption of a term under § 2 or § 3 does not prevent a finding of procedural or substantive unconscionability under this Section. See Comment 6(a).

While the principal element of the unconscionability doctrine is the substantive prong that identifies such intolerable terms, the doctrine recognizes that sometimes consumers may choose to accept one-sided standard contract terms in exchange for another benefit (such as low price). The doctrine asks whether consumers in fact meaningfully chose to accept a harsh term by also requiring, in most cases, a showing of some quantum of procedural unconscionability. In determining whether a contract or a term is unconscionable, a court has to examine its expected effects as they appeared at the time that the contract was made (cf. Restatement of the Law Second, Contracts § 208 and Uniform Commercial Code (UCC) § 2-302). Restatement of the Law Second, Contracts § 208, Comments *c* and *d*, left to development by the courts whether a finding of unconscionability required a finding of both prongs or could be based on a finding of one prong alone. The majority of courts applying the Restatement of the Law Second, Contracts, consider the two prongs together and have adopted a requirement of finding both prongs. A significant minority of courts view the presence of either substantive *or* procedural unconscionability as a defense to enforcement, in particular as applied to standard contract terms. This Restatement, by

adopting a factors test, retains the flexibility, reflected in the case law, in the relation between substantive unconscionability, procedural unconscionability, and a finding of unenforceability.

2. *Sliding scale.* When both the substantive and the procedural prongs are necessary for a finding of unconscionability, they need not be present in the same degree. Under subsection (b), the two prongs are viewed in tandem, and a sliding-scale approach is applied: a large quantum of one prong means that a smaller quantum of the other is sufficient to establish unconscionability. Taken to its logical extreme, the sliding-scale approach can accommodate the view of a significant minority of courts that the presence of either substantive *or* procedural unconscionability suffices as a defense to enforcement. Because the ultimate goal of the unconscionability doctrine is to deny enforcement to contract terms that are fundamentally unfair, a high degree of substantive unconscionability could be sufficient to find that a standard contract term, ordinarily not one of the core deal terms of which most consumers are aware, is unconscionable. Conversely, a high degree of procedural unconscionability could be sufficient to find that a one-sided standard contract term with a lesser degree of fundamental unfairness is unconscionable.

3. *Substantive unconscionability.* The substantive-unconscionability test in subsection (b)(1) addresses the unfairness and one-sidedness of a contract term that potentially undermines the consumer's benefit from the bargain, and for which the business cannot show a reasonable justification. There are various ways to characterize the required severity of the substantive unconscionability—e.g., “shock the conscience,” “oppressive,” “unreasonably harsh,” or “fundamentally unfair.” Those tests, as articulated by courts and in the UCC, are all intended to capture a limiting criterion: that the doctrine is to be used only when the one-sidedness of a term in the contract is extreme.

In general, it is impossible to evaluate the one-sidedness of a particular term at the time the contract is made without looking at the contract as a whole, including the price and the reasonable expectations of the consumer. What might appear as unfair might be merely a bargain-basement deal in which the pro-business term is matched by a pro-consumer price or other consumer advantage. And what might otherwise appear fair may undermine a specific benefit of the bargain the consumer was led to expect. Thus, for example, a contract that provides few rights to a consumer may not be problematic if a low price reflects those minimal rights, but might be problematic without the corresponding benefit of a low price. Likewise, an extreme pro-business term may not be unfair if, in the context surrounding the contract, it reflects or offsets a large risk

taken by the business. Conversely, an ordinary limitation on use may in the context be unfair if it undermines a central benefit the consumer reasonably expects from the transaction, and on that basis it may be substantively unconscionable. While the presence of a competitive market environment may suggest that, in ordinary commerce, pro-business terms would lead to more favorable prices or other terms for consumers, it does not preclude a legal finding that a term is substantively unconscionable.

4. *Contract terms that are substantively unconscionable.* Subsection (c) provides a nonexhaustive list of categories of standard contract terms that are substantively unconscionable, if their effect is to impose:

(a). *Unreasonable limit on the business's liability or the consumer's remedies.*

Subsection (c)(1) establishes that it is unconscionable to unreasonably exclude or limit the business's liability or the consumer's remedies that would otherwise be applicable for (A) death or personal injury for which, in the absence of a contractual provision in the consumer contract, the business would be liable, or (B) any loss to the consumer caused by an intentional or negligent act or omission of the business. Subsection (c)(1) applies both to limits on the consumer's remedies and to limits on the business's liability, including disclaimers of implied warranties. Standard contract terms stating that the liability or remedy limitations are specifically agreed upon, or that conduct that would otherwise be regarded by law as negligent is contractually agreed upon to be nonnegligent, do not necessarily render the limit on liability reasonable. A limit on liability for personal injury may be reasonable, for example, in situations in which the consumer is well positioned to prevent the loss or in which the activity is broadly known to involve significant physical risks. But even then, the waiver may not apply if the business failed to take cost-effective measures to reduce the risk.

Illustrations:

1. A consumer purchases fitness equipment for household use. The contract contains standard terms that release the seller from liability for all risk of personal injury arising from the use of the equipment, including injuries arising from defects in the equipment that would otherwise constitute breach of warranty. This limitation of consequential damages is substantively unconscionable. See also UCC § 2-719(3), which states that this limitation is *prima facie* substantively unconscionable.

2. A consumer enters an agreement with a fitness club that uses the same equipment as in Illustration 1. The agreement contains standard contract terms releasing the club from liability for all risks of personal injury, including injuries arising from defective or poorly maintained equipment. While this service contract does not come under UCC § 2-719(3), the same principle of unconscionability applies under this Restatement. The release from liability is substantively unconscionable if, in the absence of such standard contract terms, the business would be liable.

3. A consumer purchases a lift ticket at a ski resort and, in the circumstances, adopts the terms stated on the ticket. The ticket recites standard contract terms that disclaim the resort's liability for personal injuries to the consumer while the consumer is using the skiing facilities. The disclaimer is not substantively unconscionable because skiing is an activity broadly known to involve significant risk of death or personal injury, and the disclaimer is thus not unreasonable. Nevertheless, the application of the disclaimer to risks caused not by an inherent risk of skiing but directly by the resort's negligence—such as negligently allowing fallen logs to remain on the ski runs or failing to prevent malfunctions of the ski lifts—is substantively unconscionable under subsection (c)(1)(B).

(b). Unreasonable expansion of the consumer's liability, the business's remedies, or the business's enforcement powers. Subsection (c)(2) establishes that consumers' liability for breach may not unreasonably exceed the liability that would otherwise apply, and that consumers may not be subject to enforcement measures that unreasonably expand the enforcement measures that would otherwise apply. What is reasonable depends on the lost profit incurred by the business, the difficulty of obtaining redress, and the value of the unpaid-for benefits the consumer enjoyed before breach. Under long-standing case law and statutes in many jurisdictions, excessive liquidated damages and early-termination fees are not enforceable, even if they do not rise to the level of substantive unconscionability. (See Restatement of the Law Second, Contracts § 356; UCC § 2-718(1).) Other instances in which expansion of a business's remedies and enforcement tactics may be substantively unconscionable include, but are not limited to, cross-collateral clauses, waiver-of-defense clauses, and debt-collection clauses. They are unconscionable under consumer-contract law even if, at the same time, they may also be unenforceable under other legal rules. A finding of substantive unconscionability can be avoided by showing that the remedial

provision is reasonable, for example, when the consumer received some front-end value in exchange for the expanded remedies.

Illustrations:

4. A cellphone-service provider enters into a two-year contract with a consumer. The consumer does *not* receive any meaningful, up-front benefit, like a subsidized device or a lower-than-market rate for the service. The contract stipulates that a consumer who exits the relationship before the end of the two-year commitment period must pay a fee of \$250, regardless of the timing of exit. The termination fee is substantively unconscionable. It may also be an unenforceable penalty for breach (see Restatement of the Law Second, Contracts § 356). If, however, the consumer receives meaningful, up-front benefits for agreeing to the two-year commitment, the termination fee may not be unreasonable and therefore not substantively unconscionable.

5. A car dealership enters into a three-year lease contract with a consumer. The contract contains an early termination clause that stipulates a liquidated-damages formula. The consumer terminates the lease prior to the lease's scheduled end. Under the termination clause, the consumer is charged a sum that is greater than the remaining payments under the lease contract plus the excess wear and depreciation relative to the level permitted under the contract. As applied to this scenario, the liquidated-damages formula is substantively unconscionable. See also UCC §§ 2A-504 and 2A-528(1).

6. An online news source enters into a three-year subscription with a consumer. The contract stipulates that a consumer who terminates the subscription prematurely must pay damages that exceed the sum of remaining payments under the subscription. The liquidated-damages clause is substantively unconscionable because it expands above the business's lost profit the consumer's liability that would otherwise apply.

(c). *Unreasonable limit on consumer's ability to enforce a legal right.* Subsection (c)(3) establishes that it is substantively unconscionable to specify an excessively burdensome redress mechanism and, by doing so, to unreasonably limit consumers' ability to enforce their legal rights. Such limitations are unconscionable because they undermine the substantive rights consumers acquired under the contract. They are substantively unconscionable for the same reason that limitations on remedies are—that it is the essence of a contract that at least minimum adequate

recovery for breach be available (UCC § 2-719, Official Comment 1). A business may try to limit consumers' reasonable redress through unreasonable choice-of-forum clauses, choice-of-law clauses, or arbitration arrangements that in each case impose unreasonably high costs on consumers or provide some other unfair advantage to the business; waivers of aggregate-litigation processes in situations in which individual suits are impractical; unreasonably short limitations periods; unjustified denial of statutory damages and attorneys' fees; and more. While consumers may agree to limit consumers' process rights, the agreed-upon arrangements must enable some reasonably effective pursuit of legally available redress for breach of contract or for violation of legal rights that govern the contractual relationship. A limit on the consumer's ability to enforce a legal right may not be substantively unconscionable if it is not too severe, if it serves to screen meritless claims, or if the consumer received some value in return for it.

Subsection (c)(3) states a principle of consumer-contract law and does not express a preference for a particular mode of dispute resolution, such as litigation, arbitration, or mediation. The requirement that a consumer's right to seek redress not be unreasonably hindered may be further strengthened or weakened by other laws and regulations governing the choice of law and forum. For example, it may be bolstered by the doctrine of "effective vindication" in arbitration law or by laws that prohibit pre-dispute arbitration agreements in specific sectors. And, conversely, the requirement in subsection (c)(3) may be weakened by federal law's preference for some forms of dispute resolution, even if those erode the right to seek redress. In stating a principle of consumer-contract law, subsection (c)(3) does not address the possible interaction of such a contract-law principle with federal law, and, specifically, it does not address its possible preemption under the Federal Arbitration Act.

Illustrations:

7. A business's standard contract terms include a dispute-resolution term specifying a forum in a distant location, such that the consumer would have to bear travel and accommodation expenses exceeding the value of the remedy sought. The dispute-resolution forum requires a nonrefundable filing fee exceeding the value of the remedy sought. Either one of these two features unreasonably limits the consumer's ability to enforce legal rights and renders the dispute-resolution clause substantively unconscionable. That result applies to any type of dispute-resolution forum that imposes such an unreasonable cost or personal burden, be it a public court or a private arbitration tribunal.

8. A business's standard contract terms include a class-action waiver and do not specify a choice of forum, thus allowing consumers to resolve disputes in court. A common grievance for consumers entering this contract involves low damages—no more than a few dollars each. A court may determine that the class-action waiver is substantively unconscionable because it unreasonably limits consumers' ability to obtain a remedy for breach.

9. Same facts as Illustration 8, except that the contract also contains a choice-of-forum clause requiring consumers to resolve disputes through arbitration. If the costs of pursuing individual arbitration make it impractical for consumers to seek redress for breach of the contract, a court may determine that the provision in the contract barring class actions is substantively unconscionable. In such a case, the arbitration clause is enforceable if the arbitration forum permits class arbitration, but substantively unconscionable otherwise.

10. Same facts as Illustration 9, except that the contract further specifies that consumers may pursue the individual arbitration proceedings online without incurring any filing cost, and, if their claim prevails, the consumers will be entitled, in addition to the remedies in law, to a bonus of a significant sum of money, more than enough to compensate most consumers for the time and effort necessary to engage in the arbitration proceeding. The class-action waiver is not substantively unconscionable.

11. A business's standard contract terms require that all claims against the business be made within three months after the conclusion of the transaction. The clause is substantively unconscionable to the extent that it covers claims that are not readily apparent within that time period.

(d). Limits on consumers' ability to pursue or express a complaint. In the same spirit, it is substantively unconscionable for the business to unreasonably limit the consumer's ability to express or pursue a complaint, or to restrict the ability of the consumer to engage in review, assessment, or analysis of the business's performance. (Cf. Consumer Review Fairness Act of 2016, 15 U.S.C. § 45b.)

Illustration:

12. A business includes in its standard-form contract a clause that charges a high monetary penalty every time a consumer posts a negative review of the business online or

obligates the consumer to indemnify the business for any loss caused by the negative review. This anti-disparagement clause is substantively unconscionable because it unreasonably limits the consumer's ability to pursue or express a complaint about the product.

5. *Substantive unconscionability versus statutory standards.* The substantive-unconscionability standard may capture contract terms that are also considered “unfair acts or practices” under the Federal Trade Commission (FTC) Act and state unfair-and-deceptive-acts-and-practices (UDAP) statutes. The extensive jurisprudence identifying such unfair acts and practices ought to continue to inform courts in evaluating unfair standard contract terms under the unconscionability doctrine. In addition, the Dodd-Frank Wall Street Reform and Consumer Protection Act prohibits “abusive acts or practices” (12 U.S.C. §§ 5531, 5536(a)). Practices defined by regulatory and enforcement agencies as unfair or abusive may also be substantively unconscionable when authorized in the standard contract terms. However, a finding of substantive unconscionability may require a degree of fundamental unfairness (or abusiveness) that is different than the level of unfairness (or abusiveness) that supports some claims under those consumer-protection statutes. Compliance with statutory standards would be relevant in considering whether a term is substantively unconscionable but, in proper circumstances, would not bar a finding of substantive unconscionability.

Illustrations:

13. A retail installment-sales contract includes a grant of a nonpossessory security interest in household goods of the consumer other than those acquired in the transaction (a cross-collateral clause). The term is unfair under the FTC Credit Practices Rule, 16 C.F.R. § 444.2. It is also substantively unconscionable.

14. A sales contract contains a waiver-of-defenses clause, under which the consumer promises not to assert against any assignee of the contract any defense the consumer might have against the seller. The term is unfair under § 5 of the FTC Act and under the FTC Preservation of Consumers' Claims and Defenses Rule, 16 C.F.R. § 433. It is also substantively unconscionable. (Cf. UCC § 9-403(d).)

15. A dance studio solicits a client to commit to a large number of dance classes—more than the client can use—at a price that does not reflect a significant bulk discount.

The arrangement is unfair under state UDAP case law. It is also substantively unconscionable.

6. Procedural unconscionability.

(a). *Non-core standard contract terms.* The procedural prong of the unconscionability doctrine refers to some defects in the bargaining *process*. Compliance with the adoption process described in § 2 does not eliminate the possibility of unfair surprise and lack of meaningful choice, and therefore it does not eliminate the potential for procedural unconscionability, because consumers are not likely to review the non-core standard contract terms and appreciate their effect (see § 1, Comment 5). Indeed, as explained in Comment 6(d), non-core standard contract terms are viewed by many courts as presumptively procedurally unconscionable. And yet, a finding of procedural unconscionability based solely on the fact that a term was not a core deal term and was presented in standard, nonnegotiable form, without more, constitutes the lowest quantum of procedural unconscionability and would have to be matched with a high degree of substantive unconscionability to render the contract or term unenforceable.

(b). *Unfair surprise.* The element of “unfair surprise” is central to a finding of procedural unconscionability. It refers to terms that, in the context of the bargain as presented to consumers, are not reasonably expected by consumers. The conflict with the consumer’s reasonable expectations can be demonstrated by the effect of the term in undermining a dominant purpose of the transaction or its value. It can also be demonstrated by the manner in which the effect of the term was hidden or otherwise suppressed, causing consumers to reasonably assume that the contract does not have that effect. (See also § 7(b).)

(c). *Consumer awareness; market context.* The procedural-unconscionability test may look to consumer awareness of the term in a market context. The question would be whether ordinary consumers would be aware of the term or would expect its inclusion—understanding and appreciating its implications—and thus would be more likely to meaningfully account for it when making contracting decisions. When consumers expect or are aware of a term and understand and appreciate its implications, the term can (though it may not always) affect their contracting decisions. In those situations, the reasons for intervention in the substance of the deal are diminished. One question, then, in applying the procedural-unconscionability test is whether a term is likely to affect the contracting decisions of a large enough number of consumers. (If the

market is segmented, the question is whether a term is likely to affect the contracting decisions of a large enough number of consumers in the relevant segment.)

A term that is demonstrated to affect the contracting decisions of a substantial number of consumers is more likely to be subject to forces of market competition, even if it is not negotiated and even if it appears in the contracts of all businesses in the relevant market. Such a term may be policed by market forces, and so policing by courts—through the unconscionability doctrine—may be less necessary and may lead to undesirable results, including a reduction in consumer choice. On the other hand, when drafting terms that do not affect consumers’ contracting decisions, the business is not subject to market discipline, and so the unconscionability doctrine is all the more necessary to police such terms.

The prevalence, in the relevant market, of similar pro-business terms does not negate a finding of procedural unconscionability. Indeed, if a term does not affect consumers’ contracting decisions, all businesses might be tempted to draft a similar term in a one-sided, pro-business fashion.

(d). Terms that affect the contracting decisions. Ordinarily, non-core standard contract terms do not affect the contracting decisions of a substantial number of consumers. This observation applies most forcefully when the standard contract term is part of a long list of fine-print terms. Non-core standard contract terms do not affect the contracting decisions of consumers even if they are presented in larger font or positioned in a prominent place in the form contract, because it is exceedingly uncommon for consumers to be aware even of such bolstered disclosure or to appreciate the effect of these terms. Accordingly, non-core standard terms are presumptively procedurally unconscionable. In contrast, when the standard contract term is part of the core deal terms, e.g., a bottom-line price or delivery fee, it ordinarily affects the contracting decisions of consumers. Moreover, some non-core standard contract terms may affect the contracting decisions.

In determining whether a standard contract term affects the contracting decisions of a substantial number of consumers, courts ought to look at factors like consumers’ limited sophistication, the business’s use of incomprehensible language in the standard contract terms, the business’s use of high-pressure sales tactics, the business’s use of manipulative techniques in prioritizing or hiding information, and the existence of external circumstances (not created by the business) that compelled consumers to execute the contract. In addition, in situations of extreme inequality in bargaining power between the business and the consumer, when consumers are

compelled to transact with the business regardless of the standard contract term, the term is unlikely to affect the contracting decisions of many consumers. Of course, a business may demonstrate that a term does affect consumers' contracting decisions with appropriate evidentiary support, for example, by survey evidence (as commonly used in litigation involving aspects of unfair competition) or by any other indicia suggesting that the term was effectively communicated in the course of the precontractual representations.

(e). Manipulation. A term in a consumer contract may at times be presented in a manner intended to reduce and having the effect of reducing consumers' awareness of the term's inclusion or of the term's implications, thus making it unnecessarily difficult or, as a practical matter, impossible for consumers to make a choice regarding the inclusion of the term. Tactics that unreasonably reduce consumers' deliberative capacity, that make it unnecessarily harder for consumers to learn information about the product, or that unreasonably burden the ability of consumers to decline unwanted elements of the transaction deny consumers a meaningful choice. Such manipulative tactics constitute a high quantum of procedural unconscionability, and even a lesser degree of substantive unconscionability would render the term unenforceable. Those tactics may also be policed under § 7 (Deception).

Illustrations:

16. A fitness center advertises two membership plans: Plan 1 charges a lower membership fee but requires a two-year commitment and imposes an early-termination fee; Plan 2, titled "No Contract," charges a higher membership fee but allows consumers to terminate with no penalty anytime. The zero-termination-fee feature is made explicit in the marketing of the "No Contract" plan. By virtue of the explicit advertising, the possibility and cost of early termination become known to consumers. Consumers can reasonably weigh the value of the choice. Accordingly, the termination penalty in Plan 1 is not procedurally unconscionable.

17. A sales contract includes a nonpossessory security-interest clause, like the substantively unconscionable one presented in Illustration 13. The clause is part of a long "boilerplate" form presented to the consumer during the closing of the transaction, which the consumer must sign to complete the transaction. In circumstances in which consumers have limited financial sophistication, the clause is procedurally unconscionable.

18. A payday lender offers short-term loans with two repayment options. The first, a “renewal” path, automatically occurs unless the consumer affirmatively selects and communicates the second, “decline to renew” option. The automatic renewal comes with additional finance charges of more than 30 percent of the loan. Information about the automatic renewal, the associated renewal costs, and how to carry out the process of switching to nonrenewal appears amidst densely packed text, without any additional notice, and in a manner less prominent than the core terms of the loan. This text also instructs consumers that in order to choose the “decline to renew” option, a consumer has to request that a link be sent by email and then has to navigate through an online portal and make several choices, none of which is clearly labeled as relating to nonrenewal, including the option to click “change the scheduled payment.” Such an interface makes a consumer’s choice of nonrenewal unnecessarily difficult to execute and is procedurally unconscionable.

19. A weight-loss service allows consumers to enter a seven-day “trial” of its online services for \$10, which the service prominently advertises on its website. To start the trial period, the consumer is invited to answer personal questions and is required to provide payment information. At the bottom of the page appears a large button that reads “Start My Trial Now.” Above the button, a conspicuous legend states, “You will only be charged \$10 for your seven-day trial.” Below that button, in small, unhyperlinked, inconspicuous print appears a sentence stating that by failing to cancel the services before the end of the seven-day trial period, the consumer will be automatically enrolled in a \$350 yearly subscription. The website does not provide instructions on how to avoid the automatic renewal. Such an interface makes it unnecessarily difficult for consumers who are lured by the “trial” offer, but prefer to avoid the costly annual subscription, to make their preferred choice, and thus is procedurally unconscionable.

20. The booking site of a vacation resort leads the consumer through a series of web pages on which the consumer can select the room type, the number of occupants, and the check-in and check-out dates. Prior to completing the reservation, the website takes the consumer to a new web page, where add-on valet-parking services are presented and automatically added to the transaction, via a pre-clicked button, for an extra fee of \$500. To remove the add-on, the consumer must find and click on the option “No, Thanks,” which

appears in small font at an inconspicuous place on the web page, and then navigate a series of additional pages to complete the rejection of the add-on service. The design of the website significantly hinders the consumer's ability to decline the valet-parking service; it is manipulative, and the contract term that adds the service is procedurally unconscionable.

7. Procedural unconscionability—related concepts.

(a). *Subjective knowledge.* Subjective knowledge of an individual consumer does not preclude a finding of procedural unconscionability if the finding of procedural unconscionability is based on the objective test of consumer awareness. Subjective knowledge does not cure the market failure caused when a term does not affect the contracting decisions of a substantial number of consumers.

(b). *Disclosure.* The procedural-unconscionability inquiry should be distinguished from the standards of mandated disclosure. It is not enough that the harsh terms were disclosed in larger typeface or other conspicuous manner, that notices were furnished to alert consumers to the presence of the terms, or that a ritual of a separate affirmation of assent to the harsh terms was mechanically followed. While such enhanced presentation may satisfy other rules mandating disclosure (e.g., Magnuson-Moss Warranty Act, 15 U.S.C. §§ 2301-2312), may satisfy the requirements of adoption under § 2 of this Restatement, and may be one of the factors in determining whether there was a “surprising and unexpected term,” it does not establish a safe harbor against a finding of procedural unconscionability. Because of the length, complexity, and accumulation of standard-contract terms, within each contract and across the many transactions consumers regularly enter, an enhanced-format disclosure of terms does not guarantee that consumers will notice them, understand their effect, and update their contractual expectations. Accordingly, enhanced disclosure does not create a presumption that consumers ought to have noticed the terms and does not guarantee the absence of unfair surprise or the presence of meaningful choice. The harsh effect of the standard terms can continue to be hidden even in full daylight, given that consumers rarely read those terms and, even if they do, often may not understand or appreciate their effect at the time of contracting. In particular, the display of standard contract terms in ALL CAPS or other enhanced typeface does not, in and of itself, avoid procedural unconscionability. The Uniform Commercial Code (UCC) provides guidance in this area. While a disclaimer may be conspicuous under UCC § 2-316(2) by virtue of, among other factors, the typeface used to display it (UCC § 1-201(b)(10)), it may still be ineffective and procedurally

unconscionable, because reasonable consumers against whom it is to operate would not have noticed it. While the UCC stipulates that a conspicuous disclaimer of warranties is effective, it also explains that the underlying purpose is to “protect the buyer from surprise,” namely, to deny enforcement to “unexpected and unbargained language” (UCC § 2-316(2); *id.*, Official Comment 1). If the disclosure is not effective in protecting the consumer from surprise, and the disclosed term is not likely to affect the contracting decisions of a substantial number of consumers entering such a transaction, it does not preclude a finding of procedural unconscionability.

Illustration:

21. Goods purchased by a consumer are found to be totally worthless. The standard terms, which were presented at the time of the purchase and adopted under § 2, include a disclaimer of the implied warranty of merchantability that satisfies the requirements of UCC § 2-316 and of the Magnuson-Moss Warranty Act, 15 U.S.C. §§ 2301-2312. If a court finds that the disclaimer is substantively unconscionable, the court may also find that the disclaimer was procedurally unconscionable on grounds that it was “surprising and unexpected” and refuse to enforce it, even if the disclaimer was printed in conspicuous font.

8. *Unconscionable price.* The substantive unconscionability test can be applied to scrutinize the contract price, but this should be done with extra care. An excessively high price—substantially in excess of the price at which similar products are obtainable in similar consumer transactions by like consumers, or bearing no reasonable relationship to the cost of providing the good or service—may be found to be substantively unconscionable. The procedural-unconscionability test may be more difficult to satisfy because the price is usually the most prominent element of a transaction and a critical factor in the consumer’s contracting decision (see Comment 6). Still, an egregiously high price may be held unconscionable by courts if it occurs in connection with unfair surprise or the absence of meaningful choice. A price term itself may surprise consumers, for example, when a product is sold via a complex pricing scheme. A consumer may be unfairly surprised when the price is multidimensional and certain price dimensions do not affect the contracting decisions. A consumer may also be unfairly surprised when the price is contingent or deferred and the consumer underestimates the likelihood of triggering the relevant price or the importance of certain deferred price dimensions (e.g., a long-term interest rate that replaces a low teaser rate after the introductory period; or the long-term,

overall price of a repeatedly rolled-over, short-term loan), and thus underestimates the true cost of the contract. An egregiously high price may also result from absence of meaningful choice when there are market imperfections that make it less likely that the price was set by a freely competitive market to reflect the cost or the fair value of the product. And it may arise in situations in which the consumer's levels of literacy and numeracy, or urgency of needs impede the exercise of the sophisticated, prudent judgment needed to evaluate the price. In those circumstances, a court might find that the price term is procedurally unconscionable. When the price, or some element of the price, is hidden from consumers, it may also be policed under § 7 (Deception).

Illustrations:

22. A consumer contracts for a two-year home-security plan, when a one-year plan with much lower monthly payments is available to the consumer from the same business. The business does not advise the consumer of the availability of the one-year plan. It is substantively unconscionable to contract for the two-year plan, which provides no benefit to the consumer relative to the cheaper one-year plan. It is procedurally unconscionable to withhold information about the clearly superior (from the consumer's perspective) one-year plan.

23. A business promises to help a consumer obtain a \$14,000 unclaimed surplus from the sale of the consumer's foreclosed-on property in exchange for half of the surplus, i.e., for a \$7000 fee. In the circumstances, the consumer is aware that the surplus is obtainable, but does not know that it could be easily obtained by visiting the court's help desk (which is easy to find and use) without paying any fee. The \$7000 fee is substantively unconscionable. The procedural-unconscionability test is also satisfied, because the availability of the court's help desk was withheld from the consumer, and in dealing with such a business and accepting such advice the consumer would not have known that the surplus could be obtained easily and without cost at the court's help desk. The outcome would be different if the business had to expend substantial resources in identifying consumers with such unclaimed surpluses—consumers who, without this contract, would have received nothing.

24. A set of cookware is sold, by home solicitation, for \$375 in an area where a set of comparable quality is readily available for \$125 or less. The high price satisfies the substantive-unconscionability test. The procedural-unconscionability test is satisfied if a

high-pressure, door-to-door sales method prevented the consumer from obtaining information on the prevailing market price.

25. A consumer borrows \$5000 under a three-year unsecured-loan contract carrying an interest rate of 135 percent. The interest rate (the “price” of the loan) is substantively unconscionable if, under the facts of the case, it is excessive relative to the cost of credit the consumer can obtain on a comparable loan elsewhere, or relative to the expected cost for the business of supplying the credit, taking into account the risk of default. The procedural-unconscionability test is satisfied if the interest-rate term was obscured at the time of entering the contract or if the consumer was under pressure to enter the contract.

9. *Noncommercial activity.* The rule of this Section does not draw a distinction between commercial and noncommercial activity. Some courts, for example, have held that the rule of subsection (c)(1) does not apply when the business that supplies the standard contract terms is operating not for profit or applies those terms only to its noncommercial activity. The black letter of this Section rejects that approach. However, the noncommercial nature of the transaction or the presence of a not-for-profit participant may be taken into account by a court in determining whether a contract or a term satisfies the definition of “unconscionable.”

10. *Effects of unconscionability.* Under subsection (a), an unconscionable contract or term is unenforceable to the extent stated in § 10. In particular, § 10 restates the power of a court to choose between not enforcing the unconscionable term or contract at all or merely limiting the application of any unconscionable clause so as to avoid any unconscionable result.

11. *Illegality.* The doctrine of unconscionability is related to but distinct from the doctrine of illegality or unenforceability on grounds of public policy. A contract or a term is unenforceable if its performance is inconsistent with statutory or regulatory law or with public policy. See Restatement of the Law Second, Contracts § 178. The legal implications of unenforceability are restated in § 10 of this Restatement.

Illustration:

26. Same facts as Illustration 12. The anti-disparagement clause, in addition to being substantively unconscionable, may also be unenforceable under the doctrine of illegality or on grounds of public policy.

12. Shield versus sword. An unconscionability claim can be used as a defense (“shield”). For example, if a business sues to collect money charged to, but unpaid by, the consumer, the consumer can defend by showing that the charge is unconscionable. The same unconscionability claim can be made by the consumer as a plaintiff if, for example, an unconscionable charge was already collected by the business and the consumer is suing to recover it. In that procedural posture, it is sometimes said that the unconscionability claim is used as a “sword.” That description is misleading. The unconscionability claim is used to challenge the business’s exercise of an alleged contractual right, as in the traditional “shield” cases. A true “sword” application would arise if the consumer had a cause of action for the mere inclusion of an unconscionable term in the contract. Some state consumer-protection laws create an unconscionability-based affirmative right of action and allow consumers to sue for statutory damages. Such statutory claims fall outside the scope of this Restatement. See § 7, Comment 7; § 10, Comment 1.

13. Relation to the Uniform Commercial Code and the Restatement of the Law Second, Contracts. The rules restated herein are consistent with Restatement of the Law Second, Contracts § 208, and UCC § 2-302, as applied by courts. The unconscionability doctrine has long been understood as being comprised of a procedural prong and a substantive prong. Even in sales-of-goods transactions, warranty disclaimers and limitations of remedies are tested not only against the specific rules of UCC §§ 2-316(2) and 2-719(3) but also against the general, overarching unconscionability norm of UCC § 2-302. Such scrutiny may add additional circumstances under which provisions may be found unconscionable beyond those stipulated in the specific rules.

REPORTERS’ NOTES

a. Generally. For decades, courts have sought to lay a dual foundation for the unconscionability doctrine—substantive and procedural. (The dual test was initially proposed in Arthur Leff, *Unconscionability and the Code—The Emperor’s New Clause*, 115 U. PA. L. REV. 485 (1967).) While the motivation for the unconscionability doctrine is grounded in the substantive flaw—the extreme unfairness of a term—courts have also recognized that parties should be free to agree to one-sided deals as long as the process of agreement leads to a meaningful quid pro quo. When the agreement process is proper, courts ordinarily do not second-guess the substance of the contract.

People are free to opt for bargain-basement adjudication—or, for that matter, bargain-basement tax-preparation services; air carriers that pack passengers like sardines but charge less; and black-and-white television. In competition, prices

adjust and both sides gain. “Nothing but the best” may be the motto of a particular consumer but is not something the legal system foists on all consumers.

Carbajal v. H & R Block Tax Servs., Inc., 372 F.3d 903, 906 (7th Cir. 2004) (Easterbrook, J.). Notwithstanding the dual-prong test that pervades American contract law, the doctrine of unconscionability has permitted courts to put greater emphasis on the substantive prong. (Other doctrines, like duress and misrepresentation, put greater emphasis on the procedural flaw and allow courts to vacate agreements even if they are substantively within reason.) The main technique through which the emphasis on the substantive element is achieved is the “sliding scale” approach. When the degree of substantive unconscionability is greater, a lesser degree of procedural unconscionability is required. See, e.g., 1 E. ALLAN FARNSWORTH, FARNSWORTH ON CONTRACTS § 4.28, at 585 (3d ed. 2004); *Sitogum Holdings, Inc. v. Ropes*, 800 A.2d 915 (N.J. Super. Ct. Ch. Div. 2002) (collecting cases); Melissa T. Lonegrass, *Finding Room for Fairness in Formalism—The Sliding Scale Approach to Unconscionability*, 44 LOY. U. CHI. L.J. 1, 12-13 (2012) (collecting cases). In appropriate, “exceptional” circumstances, a high degree of substantive unconscionability is sufficient to find that a contract term, not within the core terms of which the consumer was aware at the time of contracting, is unconscionable. See *Brower v. Gateway 2000, Inc.*, 676 N.Y.S.2d 569, 574 (N.Y. App. Div. 1998) (“While it is true that, under New York law, unconscionability is generally predicated on the presence of both the procedural and substantive elements, the substantive element alone may be sufficient to render the terms of the provision at issue unenforceable.”) (citations omitted). The court in *Brower* relied on *Gillman v. Chase Manhattan Bank, N.A.*, 73 N.Y.2d 1 (1988). Put differently, presenting standard contract terms in a long “boilerplate” may be sufficient to satisfy the procedural unconscionability prong when a strong showing of substantive unconscionability is made. A later decision of the New York Court of Appeals states that under New York law, unconscionability contains both procedural and substantive aspects. *Sablosky v. Edward S. Gordon Co., Inc.*, 73 N.Y.2d 133, 138 (N.Y. 1989) (“The doctrine of unconscionability contains both substantive and procedural aspects . . .”).

Other courts have viewed the presence of either substantive *or* procedural unconscionability as a defense to enforcement, in particular as applied to standard contract terms. See, e.g., *Eaton v. CMH Homes*, 461 S.W.3d 426 (Mo. 2015) (en banc). This Restatement provides for that approach if a state determines to follow it.

b. Substantive unconscionability. The approach taken in this Section encourages the continued development of the substantive-unconscionability doctrine in the common-law method, case by case. Rather than enumerate a comprehensive list of “gray” or “black” terms, the common-law method relies on a general standard and delegates to courts the discretion to apply it in individual cases. The substantive standard applied by courts prohibits terms that are so one-sided as to lead to intolerable results.

One principle that underlies the substantive test applies to the contract as a whole. It asks whether the inclusion of a term has the potential to remove a primary benefit of the transaction—a benefit that motivated the consumer to enter into the contract in the first place. Cf. UNIF. CONSUMER SALES PRACS. ACT § 4(c)(3) (UNIF. L. COMM’N 1970) (“In determining whether an act

or practice is unconscionable, the court shall consider circumstances such as the following of which the supplier knew or had reason to know: . . . that when the consumer transaction was entered into the consumer was unable to receive a substantial benefit from the subject of the transaction.”). A similar test asks whether the consumer would have refrained from entering the entire transaction were it known to the consumer that the term was included in the bargain. Cf. Restatement of the Law Second, Contracts § 211(3) (AM. L. INST. 1981).

In addition, the substantive test applies to individual terms even if they do not have the potential to remove a main benefit of the transaction, but only to remove important rights that are attached to the transaction. This Section lists several types of harsh terms that have been regarded as unconscionable by courts and statutes. The use of specific categories of substantive unconscionability in subsection (c) provides the benefit of greater certainty for businesses at the front end, and for consumers at the back end. It is also consistent with much of the law of unconscionability. State unfair-and-deceptive-acts-and-practices (UDAP) statutes often include lists of terms that are presumed to be unconscionable acts and practices. See, e.g., OHIO REV. CODE § 1345.031; MICH. COMP. LAWS § 445.903.

The first category listed as substantively unconscionable in subsection (c) is terms that unreasonably exclude the business’s liability or limit the consumer’s remedies for death or personal injury. This rule extends the presumption of unconscionability in Uniform Commercial Code (UCC) § 2-719(3) beyond the sale-of-goods context. Not all limits of liability for personal injury are unreasonable. See, e.g., *Larsen v. Pacesetter Sys., Inc.*, 837 P.2d 1273, 1289 (Haw. 1992) (holding that “[l]imitation of consequential damages for injury to the person in the case of consumer goods is prima facie unconscionable,” but stating that the presumption is rebuttable by the business); *Horn v. Boston Sci. Neuromodulation Corp.*, 2011 WL 3893812, at *13 (S.D. Ga. Aug. 26, 2011) (stating that “[d]efendant’s attempt to limit damages for breach of its express warranty to replacement of the product is prima facie unconscionable” and that defendant failed to rebut this presumption). Specifically, when the risk is known to the consumer, the consumer understands and accepts the contractual allocation of that risk, and the shifting of the risk does not lead to the delivery of unreasonably dangerous goods or services by the business, the limit on liability is not unreasonable. Additionally, under subsection (c)(1)(B), terms excluding the business’s liability or limiting the consumer’s remedies for losses caused through an intentional or negligent act or omission of the business are also substantively unconscionable.

The second category of terms listed as substantively unconscionable covers attempts to unreasonably expand the business’s remedies or enforcement powers. Those include, for example:

(1) Unreasonably high liquidated damages for consumer breach. Cf. Restatement of the Law Second, Contracts § 356 (AM. L. INST. 1981); UCC § 2-718. See also *In re Cellphone Termination Fee Cases*, 122 Cal. Rptr. 3d 726, 746 (Cal. Ct. App. 2011) (stating that “because liquidated damage clauses in consumer contracts are presumed void, the burden is on the proponent of the clause to rebut that presumption”); *Mitchell v. Ford Motor Credit Co.*, 702 F. Supp. 2d 1356, 1368 (M.D. Fla. 2010); *Fritz v. Nationwide Mut. Ins. Co.*, 1990 WL 186448, at *4 (Del. Ch. Nov. 26, 1990) (including “the inclusion of penalty clauses” in a multifactor test of unconscionability).

(2) Cross-collateralization clauses. Cf. 16 C.F.R. § 444.2 (Unfair Credit Practices); *Williams v. Walker-Thomas Furniture Co.*, 350 F.2d 445 (D.C. Cir. 1965).

(3) Terms attempting to disclaim legal defenses that a consumer can assert against an assignee of the debt. Cf. 16 C.F.R. § 433.2 (Preservation of Consumers' Claims and Defenses); UCC §§ 9-403(d), 9-404(d); *Unico v. Owen*, 232 A.2d 405 (N.J. 1967); *Holt v. First Nat'l Bank of Minneapolis*, 214 N.W.2d 698 (Minn. 1973).

The third category of terms that are listed as substantively unconscionable addresses terms that unreasonably limit consumer redress. See, e.g., *Huskins v. Mungo Homes, LLC*, No. 5916, 2022 S.C. App. LEXIS 61 (S.C. Ct. App. June 1, 2022) (holding that a "limitation of claims" term shortening the statutory limitations period from three years to 90 days was unconscionable). This Section does not take a position on the question whether arbitration agreements or class-action waivers are unconscionable under the rules of consumer-contract law. Rather, it restates the contract-law principle that courts have regularly utilized to evaluate a broader set of limitations. Since a contract is the right to receive performance from the other party or, failing that, remedies in its place, limitations on the power to seek remedies that render this option impractical undermine the basis of the contract, including the value of the right to seek performance. The test stated in subsection (c)(3) examines whether contract provisions "unreasonably limit the consumer's ability to pursue or express a complaint or seek reasonable redress for a violation of a legal right." See, e.g., *Brower v. Gateway 2000*, 676 N.Y.S.2d 569 (N.Y. App. Div. 1998). Most federal and state courts consider limitations on the consumer's ability to seek redress as an important factor when deciding whether to enforce a contract or clause. State courts that have considered the issue include: California, see, e.g., *Discover Bank v. Super. Ct.*, 113 P.3d 1100 (Cal. 2005) (considering the role of a class action, which can sometimes be the sole effective means of redress); Florida, see, e.g., *S.D.S. Autos, Inc. v. Chrzanowski*, 976 So. 2d 600 (Fla. Dist. Ct. App. 2007) (determining that as a matter of public policy, a private enforcement scheme could not effectively deter violations of a statute if consumers were prevented from seeking relief as a class); Massachusetts, see, e.g., *Feeney v. Dell Inc.*, 908 N.E.2d 753 (Mass. 2009) (valuing the right to a class action in a consumer-protection case because, often, aggregation of small claims is likely the only realistic option for pursuing a claim); Missouri, see, e.g., *Ruhl v. Lee's Summit Honda*, 322 S.W.3d 136 (Mo. 2010) (determining that simply severing an unconscionable class waiver was an insufficient remedy, and that the appropriate remedy in that case was to invalidate the entire arbitration agreement as unconscionable); New Mexico, see, e.g., *Fiser v. Dell Comput. Corp.*, 188 P.3d 1215 (N.M. 2008) (noting that in view of the fact that consumer's alleged damages were just 10 to 20 dollars, by attempting to prevent consumer from seeking class relief, business had essentially foreclosed the possibility that consumer could obtain any relief); Ohio, see, e.g., *Schwartz v. Alltel Corp.*, 2006 WL 2243649 (Ohio Ct. App. June 29, 2006) (holding that the limitation of consumer rights found within the arbitration provision establishes a quantum of substantive unconscionability); Tennessee, see, e.g., *Pyburn v. Bill Heard Chevrolet*, 63 S.W.3d 351 (Tenn. Ct. App. 2001) (the ability to seek redress is an important factor, but class-action waivers do not interfere with the ability to seek redress); Washington, see, e.g., *Scott v. Cingular Wireless*, 161

P.3d 1000 (Wash. 2007) (ruling that a class-action-waiver clause was an unconscionable violation of Washington's policy to protect the public and foster fair and honest competition because it drastically forestalled attempts to vindicate consumer rights); West Virginia, see, e.g., *State ex rel. Dunlap v. Berger*, 567 S.E.2d 265 (W. Va. 2002) (finding that the provisions in the purchase-and-financing-agreement document that severely limited buyer's rights and remedies were unconscionable). The federal courts that have considered the issue include the following: First Circuit, see, e.g., *Kristian v. Comcast*, 446 F.3d 25 (1st Cir. 2006) (severing certain provisions of the arbitration clause because they prevented the vindication of statutory rights); Second Circuit, see, e.g., *In re Currency Conversion Fee Antitrust Litig.*, 265 F. Supp. 2d 385 (S.D.N.Y. 2003) (determining that cardholders did not sufficiently demonstrate the likelihood that they would incur large arbitration costs that would effectively preclude them from vindicating their federal statutory rights in arbitration in order to make the agreements unconscionable); Third Circuit, see, e.g., *Homa v. Am. Express Co.*, 558 F.3d 225 (3d Cir. 2009) (holding that because claims were of too little value to pursue individually, class-action waiver was unconscionable); Fourth Circuit, see, e.g., *Snowden v. Checkpoint Check Cashing*, 290 F.3d 631 (4th Cir. 2002) (setting a higher bar for limitations on redress that justify nonenforcement; in this case, enforcing the contract because attorney's fees were recoverable); Fifth Circuit, see, e.g., *Iberia Credit Bureau, Inc. v. Cingular Wireless LLC*, 379 F.3d 159 (5th Cir. 2004) (recognizing the importance of accountability, but considering attorney general's enforcement powers as a substitute for consumer's ability to sue); Seventh Circuit, see, e.g., *Livingston v. Assocs. Fin., Inc.*, 339 F.3d 553 (7th Cir. 2003) (determining that borrowers had not met their burden of proving that arbitration costs were prohibitively high); Eighth Circuit, see, e.g., *Pleasants v. Am. Express Co.*, 541 F.3d 853 (8th Cir. 2008) (denying an unconscionability claim because the provisions did not limit consumer's remedies); Ninth Circuit, see, e.g., *Chalk v. T-Mobile USA, Inc.*, 560 F.3d 1087 (9th Cir. 2009) (finding an arbitration clause substantively unconscionable and unenforceable based on the unilateral nature of the waiver and the disincentive to litigate that was created); Eleventh Circuit, see, e.g., *Jones v. DirecTV, Inc.*, 381 F. App'x 895 (11th Cir. 2010) (holding that the arbitration agreement with business was unconscionable because the costs of arbitration would significantly deter consumer from pursuing consumer's complaint against business). A few courts, while not expressly denying the importance of the ability to seek redress, have enforced contracts or clauses that limit the ability to seek redress. E.g., *Carbajal v. H & R Block Tax Servs., Inc.*, 372 F.3d 903 (7th Cir. 2004) (holding that consumer can waive statutory rights in exchange for lower prices); *Edelist v. MBNA Am. Bank*, 790 A.2d 1249 (Del. Super. Ct. 2001) (enforcing contract with no discussion of impact on redress when surrender of class action was clearly articulated).

This principle—that unreasonable limitations on the ability to seek redress undermine the basis of the contract—applies equally to litigation and arbitration; to individual and aggregate forms of dispute resolution; and to provisions that impose costs in the form of filing fees, procedural inconvenience, or unreasonable limitations periods. The focus is on the costs and burdens of the dispute-resolution process, not on its tribunal classification.

Contractual clauses that simplify or reduce costs of dispute resolution or promote informal procedures are not substantively unconscionable under this test, whereas clauses that complicate or increase costs of dispute resolution or promote biased procedures may be. It is possible that the application of the cost criterion would have a differential impact on private arbitration versus public litigation. Arbitration clauses could satisfy this criterion more easily (when the cost of arbitration is lower, due to its informality); or they could satisfy it less easily (when the cost of arbitration is higher, due to fees and procedures that restrict access).

This criterion does not have a definitive implication as to the enforceability of class-action waivers under consumer-contract law. While class aggregation is a method to reduce the costs and burdens of dispute resolution, individual procedures are, in many cases, a reasonable form of dispute resolution. However, contractual clauses that select individual forms of dispute resolution for the purpose of imposing unreasonably high costs on a consumer seeking to enforce a legal right are substantively unconscionable. See, e.g., *Scott v. Cingular Wireless*, 161 P.3d 1000 (Wash. 2007) (finding a class-action waiver unconscionable because it drastically forestalled attempts to vindicate consumer rights and functioned to exculpate the drafter from liability for a broad range of undefined wrongful conduct, including potentially intentional wrongful conduct).

The principle restated in subsection (c)(3) is consistent with the general approach taken by contract law toward limitations on redress. For example, the UCC stipulates that:

[I]t is of the very essence of a sales contract that at least minimum adequate remedies be available. If the parties intend to conclude a contract for sale . . . they must accept the legal consequence that there be at least a fair quantum of remedy for breach of the obligations or duties outlined in the contract.

UCC § 2-719, Official Comment 1. This principle is also consistent with provisions in federal consumer-protection statutes that envision private class actions as a form of redress for low-stakes collective causes of action. See, e.g., Truth in Lending Act § 130, 15 U.S.C. § 1640; Fair Credit Reporting Act § 707, 15 U.S.C. § 1691e; Fair Debt Collection Practices Act § 813, 15 U.S.C. § 1692k; Electronic Fund Transfer Act § 915, 15 U.S.C. § 1693m; Credit Repair Organizations Act § 409, 15 U.S.C. § 1679g. But note that the scope of some of those statutory rights has been curtailed by *CompuCredit Corporation v. Greenwood*, 565 U.S. 95 (2012). Accordingly, if particular forms of arbitration or other remedial procedures place an unreasonable burden on consumers and undermine the principle of minimum adequate redress, they are substantively unconscionable.

Subsection (c)(3) states a principle of consumer-contract law: unreasonable limits on consumers' ability to seek redress for breach of contract are substantively unconscionable. In particular, subsection (c)(3) does not address the possible preemption of contract-law claims under the Federal Arbitration Act. See *AT&T Mobility v. Concepcion*, 563 U.S. 321 (2011). In the wake of *Concepcion*, courts have considered the enforceability of arbitration clauses and class-action waivers, and the limits of their power to strike them down under state law, in light of the preemption holding of the U.S. Supreme Court. When the procedures of the agreed-upon arbitration clause are more costly or burdensome than reasonable, courts have struck them down

as unconscionable, without overstepping the boundaries of state law under the preemption holding. See, e.g., *Lau v. Mercedes-Benz USA, LLC*, 2012 WL 370557 (N.D. Cal. Jan. 31, 2012) (holding that the arbitration clause was substantively unconscionable because it imposed unreasonably high costs on the consumer). See also *Penilla v. Westmont Corp.*, 207 Cal.Rptr.3d 473 (Cal. Ct. App. 2016) (finding that an arbitration clause was substantively unconscionable because it imposed prohibitively expensive arbitration fees and significant limitations on remedies, and distinguishing the case from *Concepcion* by noting that the latter involved class-action waivers, not limitations on arbitral remedies); *Gandee v. LDL Freedom Enters., Inc.*, 293 P.3d 1197, 1203 (Wash. 2013) (finding that the arbitration clause at issue was unconscionable, and distinguishing it from *Concepcion* by explaining that the arbitration clause “here contained numerous unconscionable provisions based on the specific facts at issue in the current case. *Concepcion* provides no basis for preempting our relevant case law, nor does it require the enforcement of Freedom’s arbitration clause”) (footnote omitted); *Brewer v. Mo. Title Loans*, 364 S.W.3d 486 (Mo. 2012), cert. denied, 568 U.S. 822 (2012) (ruling that the Federal Arbitration Act did not preempt the defense of unconscionability, and that the class arbitration waiver was in fact unconscionable because the evidence, including the lack of available counsel, demonstrated that there was no practical, viable means of individualized dispute resolution). The gist of those decisions is to require that a term drafted by the business mandating arbitration of a consumer’s complaint not impose unnecessary costs on the consumer, particularly when other, more accessible or less costly arbitration avenues exist.

Subsection (c)(3) also covers other restrictions and burdens that businesses might impose on consumers seeking to complain or respond to breach. For example, some businesses try to prevent consumers from posting their complaints publicly through negative reviews by inserting so-called anti-disparagement clauses in their standard-form contract. Such attempts to limit the consumer’s ability to voice a complaint have been scrutinized by courts and legislatures. See, e.g., *People v. Network Assocs., Inc.*, 758 N.Y.S.2d 466 (N.Y. Sup. Ct. 2003) (enjoining LLC from selling software under conditions that prohibited consumers from publishing reviews of LLC’s products without LLC’s consent); *Palmer v. KlearGear.com*, No. 13-cv-00175 (D. Utah Dec. 18, 2013) (entering judgment against defendant internet retailer for violating the Fair Credit Reporting Act when defendant billed customers following a negative review in accordance with defendant’s anti-disparagement clause in the site’s terms and conditions); CAL. CIV. CODE § 1670.8 (making it unlawful for a contract to include a provision “waiving the consumer’s right to make any statement regarding the seller or lessor or its employees or agents, or concerning the goods or services”); Consumer Review Fairness Act of 2016, Pub. L. No. 114-258, 130 Stat. 1355. Such restrictions undermine the reputation mechanism. In consumer markets, in which legal forms of redress are often impractical or delayed, the existence of a robust reputation mechanism is particularly important. Contractual arrangements that seek to weaken it are therefore against public policy and substantively unconscionable.

Subsections (c)(1) to (c)(3) enumerate important categories of substantively unconscionable terms, but they do not constitute an exhaustive list of such terms. The concept of

substantive unconscionability has been developed in case law to encompass other contractual practices as well. Importantly, substantive unconscionability is closely related to the standard of “unfairness” under Federal Trade Commission (FTC) law, cf. FTC Act, 15 U.S.C. § 45(n), and UDAP statutes. Seventeen state UDAP statutes prohibit unconscionable practices. See NAT’L CONSUMER L. CTR., UNFAIR AND DECEPTIVE ACTS AND PRACTICES (8th ed. 2012 & Supp. 2013). See also UNIF. CONSUMER SALES PRACS. ACT § 4 (UNIF. L. COMM’N 1970). For example, charging an unconscionably high price has been found to be unfair under UDAP statutes. See NAT’L CONSUMER L. CTR., at 289 n.818 (collecting cases). In UDAP case law, terms have been found to be substantively unconscionable when, for example, the contract price grossly exceeded the price at which similar goods or services were readily obtainable. See, e.g., *Besta v. Beneficial Loan Co. of Iowa*, 855 F.2d 532 (8th Cir. 1988) (holding that not telling consumer that consumer could have repaid the same loan with lower monthly payments in one-half the time deprived consumer of fair notice and amounted to unfair surprise, constituting procedural unconscionability); NAT’L CONSUMER L. CTR., at 293 n.866 (8th ed. 2012); *id.* at 44 (Supp. 2013) (collecting cases). Terms have been found to be unfair also when there was a low likelihood that the consumer would be able to receive the benefit of the bargain. See, e.g., *Bennett v. Bailey*, 597 S.W.2d 532 (Tex. 1980) (soliciting client of a dance studio to commit to more service than client could potentially use). Terms have also been found to be unconscionable when there was a low likelihood that the consumer could pay the obligation in full and avoid debt collection and the associated losses.

Beyond the more traditional “unfairness” criterion under FTC law and UDAP statutes, a new standard of “abusiveness” has been recently introduced by the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010, Pub L. No. 111-203, 124 Stat. 1376. The Consumer Financial Protection Bureau (CFPB), which was put in charge of enforcing that standard in the consumer-credit area, sees it as protecting against exploitation of consumers’ imperfect understanding and limited sophistication. CONSUMER FIN. PROT. BUREAU, SUPERVISION AND EXAMINATION MANUAL pt. 2 (2023), https://files.consumerfinance.gov/f/documents/cfpb_supervision-and-examination-manual_2023-01.pdf. As the new standard is developed by courts and regulatory agencies, it may also inform the continued development of the unconscionability doctrine.

Finally, the substantive unconscionability test can be applied to scrutinize the contract price, but that should be done with extra care. When prices are salient—and they often are the most salient element of the transaction—egregiously high prices ought not to be held unconscionable by courts, unless they are specifically prohibited by statute, or unless special circumstances of the case justify a finding of procedural unconscionability. Prices are not always salient, and non-salient, egregious prices (as well as salient but underappreciated, egregious price dimensions) can be found unconscionable. An example is an excessively high fee for service that is incidental to the main purpose of the transaction (and which, therefore, the consumer may not have appreciated when ordering the service). See, e.g., *Perdue v. Crocker Nat’l Bank*, 702 P.2d 503 (Cal. 1985) (finding that the overdraft fee charged by bank might be substantively unconscionable). (Cf. UNIF. CONSUMER SALES PRACTICES ACT § 4(c)(2) (UNIF. LAW COMM’N 1970), adopted by many UDAP

statutes.) A price may also be found procedurally unconscionable when it results from absence of meaningful choice due to market power of the business, pressure tactics during the negotiation and formation of the contract, or urgency. Accordingly, a price term has also been found to be unconscionable when it exceeded, by a substantial margin, market prices for similar goods or services that are readily available. See, e.g., UNIFORM CONSUMER SALES PRACS. ACT § 4(c)(2) (UNIF. L. COMM'N 1970). See also *Fritz v. Nationwide Mut. Ins. Co.*, 1990 WL 186448, at *4 (Del. Ch. Nov. 26, 1990) (including “a significant cost-price disparity or excessive price” in a multifactor test of unconscionability). While cases finding a price term to be unconscionable are not common, the basic test—whether such a term is overly harsh and whether it results in unfair surprise or from absence of meaningful choice—applies to price terms as it does to any other term in the contract. Such cases commonly involve short-term loan agreements with exceedingly high interest rates and other fees. See, generally, *De La Torre v. CashCall, Inc.*, 422 P.3d 1004 (Cal. 2018); *James v. Nat'l Fin., LLC*, 132 A.3d 799 (Del. 2016).

c. Procedural unconscionability. Since general contract law already provides for process-based invalidation doctrines (like duress, mistake, and misrepresentation), courts have labored to identify the type of procedural flaw that would be sufficient to render substantive unconscionability actionable. The stated procedural tests often require “absence of meaningful choice” or “undue surprise.” Sometimes it is the complexity of the agreement that makes it difficult for consumers to evaluate a term and make it part of the consumer’s contracting decisions. Making such a term conspicuous would not make it clear. *Shaffer v. Amazon Servs. LLC (In re Potential Dynamix LLC)*, No. 2:11-bk-28944 (Bankr. D. Ariz. Feb. 15, 2021) (noting that “capitalized lettering does not alone make the clause clear”). In many cases, the procedural flaw is nothing more than the delivery of the terms in a nonnegotiable, standard-term document (sometimes referred to derogatorily as “contract of adhesion”). The problem with that solution is that it proves too much. Are all consumer contracts procedurally unconscionable? Does the procedural unconscionability prong establish any meaningful requirement? The absence of a clear criterion for procedural unconscionability has diminished the usefulness of that requirement and has led courts to set it aside in many cases. Courts have used the “sliding scale” approach to minimize the procedural unconscionability requirement and emphasize the substantive unconscionability requirement. See, e.g., Larry A. DiMatteo & Bruce Louis Rich, *A Consent Theory of Unconscionability: An Empirical Study of Law in Action*, 33 FLA. ST. U. L. REV. 1067 (2006) (surveying a large number of cases and finding that courts tend to focus on substantive, rather than procedural, unconscionability).

To maintain the dual-test doctrine, but rest it on a more coherent conceptual framework that more closely tracks the doctrine’s normative underpinnings, this Section adopts an approach that is consistent with the cognitive notion of “salience.” A term is salient if it is likely to affect the contracting decisions of a substantial number of consumers. Salience is the heart of the procedural test. The great majority of standard terms are *not* salient, and such non-salience alone—without additional procedural flaws—ought to meet the minimum quantum necessary for the procedural test. Accordingly, if standard terms are *prima facie* non-salient, courts adjudicating an

unconscionability claim can focus their attention on the substantive inquiry. And yet, if the standard form presentation of the term and its non-salience are the only grounds for procedural unconscionability, a greater quantum of substantive unconscionability would be required.

As a normative matter, salience is a suitable underlying test because competition can normally be counted on to police salient terms, but not non-salient ones. If competition scrutinizes salient terms, courts need not provide additional discipline. Because competition does not police non-salient terms, the existence of alternative sellers that the consumer could have purchased from should not provide a defense against unconscionability claims vis-à-vis non-salient terms. If the relevant term is non-salient, that term would not affect consumers' choice among alternative sellers, and thus competition would not drive sellers to produce terms that respond to demand. As a result, even in a fiercely competitive market, sellers might all offer similarly unfairly one-sided standard-form terms. See Russell Korobkin, *Bounded Rationality, Standard Form Contracts, and Unconscionability*, 70 U. CHI. L. REV. 1203 (2003).

Note that a term may affect the purchasing decisions of many consumers and yet be misunderstood by (imperfectly rational) consumers who misinterpret the effect of the term to increase, rather than decrease, those consumers' benefit of the bargain. That term would affect the purchasing decisions of many consumers, but in the wrong direction. Courts may find such terms procedurally unconscionable. Such terms may also be policed under § 7 (Deception). Moreover, a term may apply to a salient aspect of the deal but be presented in a manner that makes it unnecessarily difficult for consumers to act on consumers' preferences or in a manner that reduces consumers' deliberative capacity. Such tactics to subvert and manipulate consumer choice, sometimes referred to as "dark patterns," represent a high quantum of procedural unconscionability. They are also deceptive and may lead to nonenforceability of a term even in the absence of substantive unconscionability. See, e.g., *Fed. Trade Comm'n v. AMG Cap. Mgmt., LLC*, 910 F.3d 417 (9th Cir. 2018), which is the basis for Illustration 16; *Fed. Trade Comm'n v. Com. Planet, Inc.*, 642 F. App'x 680 (9th Cir. 2016) (finding seller had manipulated consumer choice when it offered consumers a free "Online Auction Starter Kit" that could be obtained by providing a valid address and credit-card number to pay for shipping and handling, and included in its "Terms and Conditions," accessible on an inconspicuous and noncontrasting link at the bottom of the web page, a term automatically enrolling the consumer to a web-hosting service that began charging the provided credit card unless the consumer canceled the membership within two weeks); *Fed. Trade Comm'n v. Grant Connect, LLC*, 763 F.3d 1094 (9th Cir. 2014); *Fed. Trade Comm'n v. Cardiff*, 2020 WL 6540509 (C.D. Cal. Oct. 9, 2020); Jamie Luguri & Lior J. Strahilevitz, *Shining a Light on Dark Patterns*, 13 J. LEGAL ANALYSIS 43 (2021); Oren Bar-Gill & Omri Ben-Shahar, *Mispriority of Information: A Theory of Manipulation*, forthcoming in J. LEGAL. STUD.

Standard terms are not salient, even if they meet technical criteria of disclosure, or even if affirmed by signatures, because it is cognitively impossible to process and comprehend dense quantities of information packaged in standard forms. Most consumers are not capable of carefully reading, and businesses that seek to take advantage of consumers who are unable to fully

understand the standard contract terms should not enjoy immunity simply by “showing” comprehensive disclosure in front of such consumers. See *Verna Emery v. Am. Gen. Fin., Inc.*, 71 F.3d 1343, 1347 (7th Cir. 1995) (determining that the allegation that the plaintiff “belongs to a class of borrowers who are not competent interpreters of such forms and that the defendant knows this and sought to take advantage of it” was sufficient to withstand a motion to dismiss) (emphasis removed). However, a court may find that other processes of formation and of negotiation, including processes by which sellers disseminate information in the marketplace or consumers share such information among themselves, render a standard term salient.

The concept of salience underlies the metrics regularly used by courts to evaluate the procedural-unconscionability claim. For example, a “lack of meaningful choice” occurs when the terms do not affect consumers’ contracting decisions. Similarly, an “unfair surprise” occurs only when the terms were not salient. Other tests, such as “hidden” or “unduly complex” contract terms or “uneven bargaining power” are either synonymous with, or direct results of, non-salience. The salience test is also similar to the test employed by the UCC to evaluate warranty disclaimers. Under UCC § 2-316(2), the disclaimer must be “conspicuous,” as the Code “seeks to protect a buyer from unexpected and unbargained language of disclaimer” thus “permitting the exclusion of implied warranties only by conspicuous language *or other circumstances which protect the buyer from surprise.*” UCC § 2-316, Official Comment 1 (emphasis added).

If courts were to focus on the criterion of salience, rather than on technical elements like disclosure, they would be able to avoid undesirable circumvention of the unconscionability test. When the procedural unconscionability test is based on formalistic tests like conspicuousness of the typeface or the comprehensiveness of the disclosure, businesses can be ensured that the terms will be enforceable, even if they are substantively unconscionable and non-salient. Businesses design forms with large-type and bold-face fonts—but that are just as likely to remain unread by consumers. Rather than scrutinizing unread, standard-form terms, a conspicuousness-of-disclosure procedural-unconscionability test immunizes those terms from substantive scrutiny. The conspicuousness-of-disclosure rule brings about an outcome that is inconsistent with the rule’s underlying purpose. The salience criterion restores harmony between doctrine and policy. Further, using salience to determine whether disclosure was successfully conspicuous would provide appropriate underpinning to the conspicuousness test. The test should examine whether the term was surprising to many consumers. Using large typeface or all caps in printing the standard terms should not guarantee conspicuousness or salience.

Nevertheless, various statutes provide a safe harbor for businesses that technically comply with disclosure or conspicuousness requirements. The salience test does not purport to override the explicit instruction of such provisions. The salience test could, however, provide a metric by which courts determine whether a disclosure was indeed conspicuous. Other statutes specify that conspicuousness is a necessary condition for enforceability, but not a sufficient condition. In those cases, courts must still apply the unconscionability doctrine, as restated here. For example, UCC § 2-316(2) requires that disclaimers of warranties be conspicuous, and courts, after finding that the conspicuousness requirement has been met, have proceeded to scrutinize the disclaimers for

unconscionability. See *Martin v. Joseph Harris Co.*, 767 F.2d 296 (6th Cir. 1985) (considering the fact that the purchasers were uncounseled laypersons and were not at all aware of the fact that the disclaimer clauses in question altered significant statutory rights); *Jefferson Credit Corp. v. Marciano*, 302 N.Y.S.2d 390, 393-394 (N.Y. Civ. Ct. 1969) (“It can be stated with a fair degree of certainty that [the consumer] neither knew nor understood he had waived the implied warranty of merchantability and the implied warranty of fitness for a particular purpose, despite the fact that those waivers are printed in large black type in the contract.”).

§ 7. Deception

(a) A consumer contract or a term adopted as a result of a deceptive act or practice by the business is unenforceable.

(b) Without limiting the scope of subsection (a), an act or practice by the business is deceptive if it has the effect of:

(1) contradicting or unreasonably limiting in the standard contract terms a material affirmation of fact or promise made by the business before the consumer assented to the transaction;

(2) obscuring the presentation of a material term of the contract or of its effect, including a charge to be paid by the consumer or the overall cost or detriment to the consumer; or

(3) obscuring the fact that the subject matter of the contract does not have a material beneficial attribute that consumers to such transactions reasonably expect it to have.

Comment:

1. Deception renders a contract or term unenforceable. This Section provides a consumer with the power to avoid any contract or term that is a result of a deceptive act or practice by a business. Deception undermines the premise that the contract term was agreed to and that it promotes the interests of all contracting parties. Deception under this Section does not require an intent to deceive. This Section elaborates on the rules in the Restatement of the Law Second, Contracts §§ 159 to 173, which render unenforceable standard contract terms that conflict with material affirmations of fact or promises that preceded the manifestation of assent, even though the affirmations of fact or promises that led to this conflict may not be made or undertaken with an intent to deceive. Deception is evaluated in context, taking into account the consumer's perspective, and the relevant inquiry is how the act or practice alleged to be deceptive typically affects a consumer who is the target of such an act or practice. Cf. Restatement of the Law Second, Contracts § 164 (contract voidable as a result of a misrepresentation that is either fraudulent *or* material). The consumer may avoid the specific term, or, if the effect of the term is to undermine the value of the contract as a whole, the entire contract. Additional effects of severing a term from the contract, including the possible reformation of the contract, are addressed in § 10.

2. *Specific forms of deception.* Subsection (b) lists examples of acts or practices that are prima facie deceptive. These examples share a pattern in which the business draws the consumer in by cultivating the consumer's reasonable expectations that the subject matter of the contract will have some attributes, which the business then attempts to deny or qualify in a less noticeable manner. Such conduct by the business could be a form of misrepresentation when the business knows that the standard contract terms are not aligned with other affirmation of facts and promises. (See Restatement of the Law Second, Contracts § 161, Comment *e*.) It also interferes with the reasonable expectations the business elicited among consumers. (See Restatement of the Law Second, Contracts § 211(3) and § 211, Comment *f*.)

Subsection (b)(1) establishes that it is deceptive to make a material affirmation of fact or promise that is contradicted by or unreasonably limited in the standard contract terms. (See § 1(a)(6) for the definition of "affirmation of fact or promise.") For example, it is deceptive to represent that a service is covered by an extensive warranty when the standard contract terms include broad disclaimers of implied warranties and other limitations on the business's liability. In the same spirit, a clause in the standard contract terms claiming precedence over contract terms individually and expressly negotiated is not enforceable.

A consumer alleging that a standard contract term contradicts or unreasonably limits an affirmation of fact or promise under subsection (b)(1) has to prove the existence of such affirmation of fact or promise. It would be easier to prove the claimed prior affirmation of fact or promise if it were part of the core deal terms or if it were made in the form of a public advertisement. It would be more difficult for a consumer to prove the claimed prior affirmation of fact or promise if it were made privately in the form of an oral statement by an agent of the business to the consumer. If the consumer provides evidence of the affirmation of fact or promise, the business may then seek to demonstrate circumstances that render its affirmation or promise nondeceptive, for example, by showing that additional precontractual communications between the parties reflected the provision subsequently adopted in the standard contract terms. While the present Section deals with unenforceability of standard contract terms that unreasonably negate the consumers' expectations formed by prior affirmations of fact and promises, §§ 8 and 9 address the enforceable contractual rights consumers acquired as a result of those expectations.

Subsection (b)(2) establishes that it is deceptive to make a false or misleading representation about material terms of the contract, including elements of the price, when such

representations (which can occur through an omission) take the passive form of obscuring or deprioritizing critical information. Businesses naturally highlight positive and favorable aspects of the product and the transaction, but when the practices of selective presentation of information manipulatively obscure the less favorable but critical aspects, they have a deceptive quality (see § 6(d)(3)).

In many consumer contracts, price is multidimensional, comprised of different fees, rates, discounts, rebates, add-ons, etc. It is misleading for a business to unduly emphasize certain price dimensions as part of the core deal terms, while relegating other price dimensions to the non-core standard contract terms, if such emphasis obscures the total cost. When certain price dimensions are contingent upon the occurrence of future events, it is deceptive for a business to make a false or misleading affirmation of fact or promise about the likely occurrence or nonoccurrence of such events. It is also deceptive to induce consumers to pay an additional price for add-ons or services that are reasonably available to the consumer for little or no charge, implicitly representing that such payments are necessary to obtain the services.

Subsection (b)(3) establishes that it is deceptive to invite consumers into a transaction while obscuring the fact that beneficial attributes consumers reasonably expect from such transactions, and which are central to consumers' contracting decision, are absent. As in the other examples listed in subsection (b), subsection (b)(3) protects reasonable expectations of consumers regarding the core deal terms, which are created or exploited by the business to secure consumers' assent to the transaction. An attempt by the business to obscure facts that conflict with consumers' reasonable expectations is equivalent to an assertion that the facts do not exist. (See generally Restatement of the Law Second, Contracts §§ 161(b), 211(3).)

In both subsections (b)(2) and (b)(3), a business may deceptively obscure a term or its effect in an affirmative manner, as when information necessary to correct misperceptions is overshadowed by other terms the business prioritizes. The obscuring may also result from an omission by the business, as when the business has reason to believe that the consumer reasonably but mistakenly expects a particular term or a particular benefit and fails to correct that expectation. A business that discloses part of the truth about the transaction but fails to add qualifications or other information necessary to avoid a reasonable but mistaken expectation by the consumer engages in both an act and an omission that obscure a term or a fact. (Cf. Restatement of the Law Third, Torts: Liability for Economic Harm § 5, Comment *e*.)

Illustrations:

1. A business advertises on its website a “complete assembled product,” but the product is delivered as a “do it yourself” kit for assembly by the consumer. The standard contract terms to which the consumer clicked “I Agree” when purchasing the product contained a disclaimer: “notwithstanding any representation made elsewhere, it is agreed that the product will be delivered unassembled and will require further assembly by the consumer.” The explicit advertisement on the website, which is an affirmation of fact, is deceptive, and the disclaimer in the standard contract terms is not enforceable. (Cf. Uniform Commercial Code (UCC) § 2-316(1).)

2. A business sells a product along with the statement: “free cancellations with full refunds, without restrictions, up to 90 days, no questions asked.” During checkout, the consumer agrees to “Terms and Conditions” that contain a provision permitting cancellations and refunds of the purchased product only if it has not been used. The “free cancellations” affirmation is deceptive, and the limitation on refunds in the standard contract terms is not enforceable.

3. A consumer orders a concert ticket on a website. On the checkout web page, a service fee of \$10 appears, as well as a prominent link to “Terms and Conditions.” The consumer manifests assent to the transaction by clicking “I Agree.” Among the standard contract terms in the Terms and Conditions page is a two-dollar surcharge added to all services, to be charged separately to the consumer’s credit card. The representation that the service fee amounts only to \$10 is deceptive, and the two-dollar surcharge term is not enforceable.

4. A business advertises a “Free Phone” for new customers joining the service. An easily visible asterisk is attached to the phrase “Free Phone” and refers the recipient to an easily findable footnote, printed at the bottom of the advertisement page, which states: “some fees, taxes, and charges may apply.” The consumer is charged a sales tax and connection fees when receiving the phone. The “Free Phone” affirmation in the advertisement is not deceptive, and the provisions in the footnote are adopted as part of the contract because the qualification was presented in a manner that is reasonable and therefore becomes part of the affirmation itself.

5. The website of a vacation resort advertises its well-equipped guest rooms, a rich breakfast buffet, and a lively pool scene. A notice, in small font, presented on the web page in a manner that need not be viewed by a consumer who completes a booking, states that the pool is undergoing repairs and will not be available during the month of August. A consumer books a vacation for a week in August. A reasonable consumer would expect, based on the prominent depiction of the pool scene, that pool services will be available, and the failure of the business to correct that expectation obscures the fact that they are not available, and is deceptive. If, however, the notice concerning the pool's maintenance is presented in a conspicuous manner, such that a consumer completing the booking is not likely to overlook it, the exclusion of the pool amenity from the transaction is not deceptive.

6. A budget airline advertises low-cost flights to consumers by offering the option of paying separately for checked-in luggage and for advance seat selection, two common features in budget airline travel. A consumer books a flight online and chooses to forgo advanced payment for checked-in luggage at a cost of \$25 per item. A notice at the bottom of the checkout page, in small font, states that "additional baggage fees may apply." At the airport, the consumer checks in a luggage item and is charged a \$100 fee. A reasonable consumer would not expect such a significantly increased fee, and the business's failure to provide a more conspicuous and specific alert regarding the fee differential is deceptive. If, instead, the website's reservation page displays an alert, which the consumer must acknowledge, that a \$100 baggage fee would apply to unreserved checked-in baggage, the term is not deceptive.

3. *Deception as to value.* An affirmation of fact or promise is deceptive if it would imply to a reasonable consumer that the contract's value substantially exceeds the actual value a consumer derives from the contract.

Illustration:

7. A business sells a kitchen appliance and with it sells, for an additional price, a two-year service contract commencing on the date of purchase. The appliance comes with a manufacturer's warranty offering the same protection as the service contract, albeit for a period of one year. Selling the service contract is deceptive unless the business explains that the service contract provides only one year of additional coverage.

4. *Deception in solicitation of acceptance.* It is deceptive to solicit consumers' entry into an ancillary contract without their knowledge. Such deception may be done by inducing the consumer to receive and not reject an unsolicited free product, accompanied by standard terms that, unbeknownst to the consumer, stipulate recurring deliveries by the business at a stated price. "Negative option" contracts can be beneficial, as they allow consumers to receive uninterrupted services without the hassle of having to renew them. However, "negative options" are deceptive when the business misrepresents the scope of acceptance, obscuring the obligation to pay and relegating it to the standard contract terms.

Illustrations:

8. A business offers a product to a consumer for free during a trial period and then charges the consumer periodically until the consumer cancels the arrangement. Unless the automatic renewal is clearly stated in the inducing solicitation and the consumer is informed how to cancel the arrangement, it is deceptive.

9. A business offers a consumer a service with "no contract." The service is governed by standard contract terms to which the consumer clicked "I Agree." Those terms do not include any time commitment and do not reflect a termination fee. The affirmation of "no contract" is not deceptive because consumers frequently view the term "no contract" as implying there is no long-term commitment and no termination fee. If, however, the standard contract terms contain a termination fee, the "no contract" affirmation is deceptive, and any term inconsistent with free exit is not enforceable.

5. *Relevance of reliance.* The rules in this Section provide for avoidance of a contract or term when that contract or term was agreed to "as a result of" a deceptive act or practice. Cf. Restatement of the Law Second, Contracts § 167 (When a Misrepresentation Is an Inducing Cause). The causation requirement can be satisfied either by (i) an actual-reliance requirement (as in the common law of fraud; see Restatement of the Law Third, Torts: Liability for Economic Harm §§ 5, 11), or (ii) a requirement that consumers entering such transactions will be entitled to rely on the allegedly deceptive act or practice when agreeing to the contract or term (compare Fed. Trade Comm'n, Policy Statement on Deception (1983), https://www.ftc.gov/system/files/documents/public_statements/410531/831014deceptionstmt.pdf (rejecting an actual-reliance requirement, and stating that deception occurs when a material representation or omission is "likely to mislead"

consumers acting reasonably in the circumstances); see also UCC § 2-313 (“basis of the bargain” test)). Elaborating on interpretation (ii), a deceptive advertisement can affect the market equilibrium (e.g., by raising the market price) and may thus affect all consumers alike, including those who were not aware of it and did not rely on it. Accordingly, deception under this Section could result in the avoidance of a contract or term even if the specific consumer-plaintiff did not see the advertisement. The rule in this Section is also consistent with the general principle of estoppel, which prevents a business that engaged in a deceptive act or practice from claiming a right to the detriment of a consumer who was entitled to rely on the business’s conduct.

6. Effects of deception. The ordinary consequence of a conflict between an affirmation of fact or promise and a standard contract term under this Section is the removal of the standard contract term from the agreement to the extent necessary to avoid the conflict. If severance of specific standard contract terms is not sufficient to undo the conflict with the affirmation of fact or promise, the consumer may avoid the contract in its entirety. Any terms voided under this Section may be replaced by provisions consistent with the affirmation of fact or promise made to the consumer and, if necessary, by gap-fillers in accordance with the guidelines in § 10.

7. Shield versus sword. A deception claim can be used as a defense (“shield”). For example, if a business sues to collect money charged to, but unpaid by, the consumer, the consumer can defend by showing that the charge had arisen from a deceptive term. The same deception claim can be made by the consumer as a plaintiff if, for example, a deceptive charge was already collected by the business and the consumer is suing to recover it. In that procedural posture, it is sometimes said that the deception claim is used as a “sword.” That description is misleading. The deception claim is used to challenge the business’s exercise of an alleged contractual right, as in the traditional “shield” cases. A true “sword” application would arise if the consumer had a cause of action for the mere inclusion of a deceptive term in the contract. See § 6, Comment 12. Some state consumer-protection laws create a deception-based affirmative right of action and allow consumers to sue for statutory damages. Misrepresentations may also give rise to tort claims with additional remedies that the consumer-plaintiff may recover. Such statutory and tort claims fall outside the scope of this Restatement.

8. Relation to other law. The rules restated in this Section are related to several other legal doctrines, both within and beyond traditional contract law:

(a). *Law of precontractual misrepresentation.* This Section is consistent with the general principle that agreements reached as a result of a material misrepresentation are not binding. See Restatement of the Law Second, Contracts, Chapter 7, Topic 1. It is also consistent with the tort of misrepresentation. See Restatement of the Law Third, Torts: Liability for Economic Harm §§ 5, 9, and 15. Whereas the standard result of precontractual misrepresentation under contract law is to render the entire agreement voidable, and under tort law to recover the pecuniary loss caused by reliance on the misrepresentation, this Section as an alternative enables courts to strike the standard contract terms that are inconsistent with the affirmations of facts or promises and enforce the remainder of the contract (see § 10), thereby protecting the consumer's forward-looking expectation. That result is often more practical and favorable to consumers than outright cancellation of the contract or the recovery of reliance damages.

(b). *Federal and state anti-deception law.* This Section is consistent with federal and state anti-deception law, but it restates only the common-law consequences of deception and does not incorporate the tests and remedies of that anti-deception law. At both the federal and state level, statutory law, as applied by agencies and courts, protects consumers against deception. Those laws share the same objectives as the common law's rules that are restated in this Section—to prevent deceptive affirmations of fact or promises. They often provide redress beyond the avoidance of a contract or term, or the enforcement of a specific contract. Primarily, those laws seek to prohibit specific deceptive acts and provide remedies—both injunctions and damages—for violations. This Section does not expand the reach of the statutory anti-deception law, nor does this Section incorporate that law, but this Section clarifies an additional consequence of the common law of deception—the non-enforceability, within the scope of this Section, of some contract terms.

(c). *Parol-evidence rule.* This Section affects the resolution of conflicts between standard contract terms and prior oral representations and, specifically, prevents standard contract terms from overriding or modifying prior affirmations of fact or promises that are part of the bargain in fact. See, in particular, subsection (b)(1). While the common law's parol-evidence rule generally gives precedence to written terms over prior oral statements, the fraud or misrepresentation exception to the parol-evidence rule is consistent with the rule restated in this Section. (See Restatement of the Law Second, Contracts § 214(d).) Indeed, the parol-evidence rule gives precedence to a written document when the parties intend for that document to be the only

source of their contractual obligations (superseding prior oral or written agreements and contemporaneous oral agreements); no such intent can be inferred when an affirmation of fact or promise is deceptively undermined by the standard contract terms that are only weakly scrutinized by consumers. See also § 8.

(d). *Exclusion or modification of warranties.* Some of the rules restated in this Section prevent a business from making an express promise and then attempting to exclude or modify this promise in the standard contract terms. See, in particular, subsection (b)(1). These rules are consistent with UCC § 2-316, which requires that an express warranty and its disclaimer “be construed wherever reasonable as consistent with each other,” or, when that cannot be done, requires that the limitation be rendered inoperative. (See UCC § 2-316, Official Comment 1; Magnuson-Moss Warranty Act, 15 U.S.C. § 2308.)

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a. *Generally.* Deception is one of the main concerns permeating consumer-contract law. This Section restates the general rule of the common law that a contract or term agreed to as a result of deception is not enforceable by the deceiving party.

This Section then proceeds to delineate acts or practices that are deceptive. These acts or practices share a common theme: affirmations or promises undermined by subsequent standard contract terms. The concern is that a business would make a representation designed to attract consumers and then undermine that representation in the business’s standard contract terms. While such deceptive acts and practices may be prohibited by statutory law and give rise, under these statutes, to various remedies, their designation as deceptive under this Section renders them unenforceable irrespective of the coexistence of prohibitions under statutory law.

The law of deception plays a central role not only in consumer-contract law (and the common law in general) but also in statutory consumer-protection law. In practice, deceptive acts and practices give rise to lawsuits that raise both contract-law claims and claims under the relevant consumer-protection statute. Recognizing the similarity between those bodies of law—their shared policy to combat deception and their application in similar situations—this Section explicitly incorporates doctrines originally developed under federal and state anti-deception law (specifically, § 5 of the Federal Trade Commission Act, 15 U.S.C. § 41 et seq., and state unfair-and-deceptive-acts-and-practices statutes).

Deception should be understood broadly to encompass not only outright fraud, but any act or practice that is likely to mislead the reasonable consumer. The emphasis is on the consumer’s false perception, not on the business’s intent to deceive. Indeed, a reasonable consumer might be deceived, even when the business had no intention to deceive. Cf. FTC Policy Statement on Deception, Letter to John D. Dingell, Chairman, Subcomm. on Oversight & Investigations, Comm. on Energy & Com. (Oct. 14, 1983), reprinted as applied to *In re Cliffdale Assocs.*, 103 F.T.C. 110,

174 (1984). The law of deception, so understood, places a burden on the business to police representations made by the business's agents and verify that those representations are not inconsistent with the standard contract terms that the business offers.

Deception may apply to the mere presence of an obligation to pay. A business acts deceptively when it induces consumers to enter a contract and accept an obligation to pay without the consumers' knowledge. Such is the case when consumers receive unsolicited products that are reasonably perceived to be provided for free, and when the obligation to pay for those products appears only in the standard contract terms. That may occur at the initiation of a transaction or at the time of renewal. Misleading, negative options are regarded as an unfair and deceptive practice by the Federal Trade Commission and a number of state attorneys general. See, e.g., *Fed. Trade Comm'n v. LeanSpa, LLC*, 920 F. Supp. 2d 270 (D. Conn. 2013) (denying motions to dismiss complaints regarding how LeadClick defendants deceptively solicited consumers to sign up for an allegedly free trial of the product); *Fed. Trade Comm'n v. NextClick Media, LLC*, No. C08-1718-VRW (N.D. Cal. Nov. 3, 2009); *Fed. Trade Comm'n v. UltraLife Fitness*, No. CV08-07655-DSF-PJW (C.D. Cal. Dec. 3, 2008); *State ex rel. Miller v. Vertrue, Inc.*, 834 N.W.2d 12 (Iowa 2013) (dealing with an action for consumer fraud brought by state attorney general against business, including for business deceptively offering consumers free trial memberships with negative options); *Fed. Trade Comm'n v. Com. Planet, Inc.*, 642 F. App'x 680 (9th Cir. 2016) (concluding that an inconspicuously disclosed negative option, bundled with an otherwise free trial offer, was an unfair and deceptive practice); *Fed. Trade Comm'n v. Grant Connect, LLC*, 763 F.3d 1094 (9th Cir. 2014); *Fed. Trade Comm'n v. Cardiff*, 2020 WL 6540509 (C.D. Cal. Oct. 9, 2020). To curb the potential for abuse, the Federal Trade Commission enacted a rule that requires sellers who engage in negative-option marketing to satisfy a "clear and conspicuous" standard of disclosure. The rule also requires that consumers manifest affirmative consent to the negative-option offer and that businesses establish simple cancellation procedures that allow consumers to easily exit negative-option plans at any time. See 16 C.F.R. pt. 425.

A related deceptive practice under subsection (b)(2) is "post-transaction marketing," in which a third-party company deceptively offers purportedly discount subscription services for a fee while a consumer completes the online check-out process from a known vendor. The offer is often deceptively titled "Reward" or "Bonus" and at first glance appears to be some sort of gift. The consumer is asked to accept the offer by entering the consumer's email address, completing a survey, or entering the last four digits of the consumer's credit-card number. Once this step is completed, the known merchant will automatically transfer the consumer's payment information to the third-party vendor, and the consumer's credit card will be automatically billed a small amount each month until the consumer notices the charge and figures out how to cancel it. Notice of the obligation to pay for the membership rewards is generally hidden in tiny print under deceptive titles, such as "Claim Prize Here" or "Free Coupon" for services associated with the known vendor. This practice has been declared deceptive in actions brought by the Federal Trade Commission and various state attorneys general. See, e.g., *Minnesota ex rel. Hatch v. U.S. Bancorp, Inc.*, No. 99-872 (D. Minn. 1999); *In re AT&T Mobility*, No. 09-2-00463-1 (Wash. Dist.

Ct. Feb. 26, 2009); Fed. Trade Comm'n v. Smolev, No. 01-8922-CIV-ZLOCH (S.D. Fla. Nov. 27, 2001); Illinois v. Blitz Media, Inc., No. 2001-CH-592 (Sangamon Co. Ill. Dec. 2001). Furthermore, the practice of automatic transfer of consumer-payment information from a merchant to a third-party vendor has been rendered illegal by the Restore Online Shoppers' Confidence Act, 15 U.S.C. § 8401. That Act also makes it unlawful for a post-transaction third-party seller to charge, or attempt to charge, a consumer for products sold online unless the material terms of the transaction are clearly disclosed to the consumer and the seller obtains the consent and payment information directly from the consumer.

Price is one of the most important elements of a consumer contract—an element that the consumer will often be keenly aware of. It would thus seem more difficult to deceive the consumer about price. Still, deception about price exists and is addressed in subsection (b)(2); see also Comment 2. In many consumer contracts, price is multidimensional, including multiple, possibly contingent fees and rates, discounts, rebates, add-ons, etc. Price deception might occur when the seller emphasizes one (or more) price dimension(s), while obscuring other price dimensions. An unnecessarily complex and multidimensional pricing scheme designed to conceal the true cost of the product or service can be deceptive in and of itself. Adding non-salient price dimensions that are likely to be ignored or underestimated by the consumer can also be deceptive.

§ 8. Affirmations of Fact and Promises that Are Part of the Consumer Contract

(a) An affirmation of fact or promise made by a business that creates a reasonable expectation by a consumer who is the business's intended audience that the subject matter of the contract will have a particular attribute becomes part of the consumer contract between the business and the consumer.

(b) An affirmation of fact or promise made by a third party that creates a reasonable expectation by a consumer who is the third party's intended audience that the subject matter of the contract will have a particular attribute:

(1) becomes part of the contract between a business and a consumer if:

(A) the business knew or reasonably should have known of the affirmation or promise, and

(B) the consumer could have reasonably believed that the business intended to stand behind the affirmation or promise; and

(2) creates a contractual obligation of the third party to the consumer, even if the third party did not transact directly with the consumer, so long as the third party has an appreciable financial interest in the contract between the business and the consumer.

(c) Standard contract terms that purport to negate or unreasonably limit the obligations arising from affirmations of fact or promises that become part of the consumer contract under subsections (a) and (b) are not enforceable.

Comment:

1. Generally. Consumer contracts are often preceded by various affirmations of fact and promises that are intended to arouse consumers' interest in the subject matter of the contract, to create consumers' expectations about specific attributes of the transaction, to increase consumers' willingness to pay the quoted price, and ultimately to encourage consumers to enter a contract. Those communications include representations and warranties about the product or service that the consumer is acquiring but can also relate to other matters, such as the rights of the consumer, comparative cost, price, and discounts (including rebates). The communications can be done through advertising, product claims, demonstrations, samples, representations by businesses' agents, and various other ways that can be reasonably understood by consumers as supplying concrete information about the transaction. The communications can also be done through any

other form of communication in the course of contracting (see § 1), or through communications made in the precontractual phase by parties who are not in immediate contractual relation with the consumer but who have an appreciable financial interest in the transaction. The communications may also be done after the consumer manifests assent to the transaction, through manuals, warranty statements, and other channels that continue to inform consumers about the subject matter of the contract. This Section is intended to hold the business to the truth of those affirmations and promises. It thus serves several purposes. First, it affords protection to consumers' reasonable expectations. Second, it enables businesses to make credible representations and to be taken seriously by businesses' target consumers. Third, it reduces consumers' need to rely on more expensive search and verification tools and thus improves the efficiency of the marketplace.

2. *Reasonable expectations.* An obligation under this Section arises from an affirmation of fact or a promise that creates reasonable expectations by a consumer who is the intended audience of that affirmation of fact or promise that the subject matter of the contract will have the described attributes. The test is an objective one—whether a reasonable consumer would have formed such expectations—and does not require proof of the specific expectation formed by the particular consumer. Factors such as the materiality, salience, and prominence; specificity and definiteness; certainty; and verifiability of the representation determine whether the representation is indicative of a commitment and is made part of the consumer contract. Vague statements by the business are interpreted in accordance with the meaning lay consumers would reasonably attribute to them. Sales talk that is reasonably understood as “puffing” or statements of opinion do not become part of the basis of the bargain. (See generally Restatement of the Law Second, Contracts § 211(3).)

3. *Advertising.* A contractual obligation can arise based on affirmations or promises made in advertising. In the context of advertising, some puffing is more likely and therefore some degree of skepticism about the information content is reasonable. Nevertheless, language in advertising that is specific and/or reasonably indicative of commitment should be treated no differently than such language used in any other context.

Illustration:

1. A business advertises that a piece of gaming hardware is compatible with gaming software of another system. A consumer purchases the gaming hardware. The advertisement creates an obligation that the device be compatible with the other system.

4. *Timing of affirmations or promises.* Normally, the affirmations or promises that are part of a consumer contract are made prior to the consumer's manifestation of assent. However, this Section does not restrict its application to such precontractual statements. Some are made after the consumer manifests assent, in accordance with § 2, or in the course of a modification of the contract. (See generally Uniform Commercial Code (UCC) § 2-313, Official Comment 7 (explaining that a post-assent affirmation or promise can become a modification).) It is common for warranty statements to be sealed in the box, and consumers reasonably expect the party making the warranty to stand by that party's promise.

Illustrations:

2. One year after purchasing a software program, a consumer receives a notice from the business that an update is available for download. The notice also highlights some new functionalities of the updated version and a statement that it is compatible with more hardware platforms. The consumer downloads the software update. The notice creates an obligation that the updated version conform to the description.

3. A consumer purchases a car from a dealership. Two weeks later, on an icy day, when the consumer picks up the car from the lot, in response to the consumer's inquiry, the salesperson tells the consumer that the car is equipped with anti-lock brakes. The affirmation becomes part of the consumer contract, which thus includes an obligation to supply anti-lock brakes.

4. A consumer purchases an appliance from a store along with an installation and extended-service contract. Two weeks later, when the appliance is delivered and installed, the store's installer tells the consumer that the service contract includes a 10 percent discount on parts. The affirmation becomes part of the consumer contract, which thus includes the 10 percent discount.

5. *Affirmations of fact and promises made by third parties—general.* In many markets, the parties that make such affirmations and promises are the ones that participate in earlier (and sometimes subsequent) links of the chain of distribution and that benefit directly from an increased volume of purchases by consumers, but that do not deal directly with the consumers and thus do not have contractual privity. For example, original manufacturers make various representations through ads and labels directed at the consumer, but they are not a party to the subsequent retail

contract, which is concluded between a consumer and the retail outlet. In some cases, there is a post-purchase formation of a separate contract with the manufacturer (as, for example, when a consumer installs a computer or software purchased from a retailer and is asked to adopt additional terms provided by the computer manufacturer or the software transferor). See § 2, Comment 9. But often there is only one contract—with the direct retailer. Nevertheless, consumers' interest in that transaction may have been triggered, in significant part, by representations made by such third parties, and those representations are as much a part of the contract, in the mind of consumers, as if the retailer made them. This is also the case when a warranty statement by a third party is sealed in the box. (See Magnuson-Moss Warranty Act, 15 U.S.C. § 2301 (contemplating liability by a supplier making a warranty to a remote purchaser).) While consumers rarely see the warranties before entering the contract with the business, consumers' expectation that a warranty attached to a product will create a binding obligation often drives consumers' willingness to enter the contract. Subsection (b) provides consumers protection that is not diminished by the technical separation between the representing and the transacting businesses. Consumers are often unaware of this separation, and the burden to become aware of such matters would be expensive and inefficient.

6. Affirmations of fact or promises by third parties—liability of the business. An obligation of a business can arise from precontractual affirmations of fact or promises made by other parties if a consumer could reasonably view the business as standing behind the affirmation or promise and the business knew or should have known of the affirmation or promise. Those third parties are typically parties who are prior links in the normal chain of distribution or are involved in procuring customers for the business. In those circumstances, the affirmations or promises that contribute to the consumer's willingness to enter into the contract and to pay for its subject matter directly benefit the business (i.e., the retailer). Further, consumers often do not know which entity is responsible for making the affirmation or promise—whether it is the entity with which they transact or a prior link in the chain of distribution—and reasonably believe that the business intends to stand behind the claims made in the affirmations or promises. It would be both inefficient and unfair to place on consumers the burden of distinguishing between the representing and contracting parties. Thus, even a business that did not know of such affirmations or promises may nevertheless be bound to them unless it can also be established by the business that the business could not have reasonably known of them. The rule in subsection (b)(1) does not apply to standard terms supplied by the third party, such as warranty statements sealed in the box, unless the third party made

reference to those terms in a manner that could reasonably have brought them to the attention of the consumer and the business prior to the contract. But, under subsection (b)(2), such standard terms may create a direct obligation of the third party to the consumer.

7. *Affirmations of fact or promises by third parties—liability of third party.* A third party that makes an affirmation of fact or a promise that creates a reasonable expectation by a reasonable consumer who is its intended audience that the subject matter of the contract will have the described attribute may be independently obligated under subsection (b)(2) to ensure that the contract conforms to its affirmation of fact or promise—even if it does not contract directly with the consumer. Such an obligation to a remote consumer is consistent with the manifest intention of the party making the affirmation of fact or promise and with long-standing market norms. For example, a “limited warranty” statement enclosed in the box by a manufacturer who has not contracted directly with the consumer creates an obligation on the manufacturer to stand by its promise. (Cf. § 2, Comment 9 (explaining when the obligation by a third party is adopted as part of a separate contract).)

This obligation generally applies to third-party businesses in the supply chain, such as a manufacturer or wholesale distributor, that have an appreciable financial interest in the specific transaction that is the subject of the contract between the business and the consumer. But the obligation could potentially apply to third parties not in the supply chain but that nonetheless have an appreciable financial interest in the specific transaction. For example, it could apply to affirmations or promises by a third party hired by the business to solicit customers for the business or by a trade organization representing a group of businesses with similar interests. In contrast, it would not apply to affirmations or promises by individual consumers based on those consumers’ personal experiences with the business or the product or service, by agents of the consumer, or by independent testers and reviewers not affiliated with the business or others in the supply chain. Liability would chill the activity and speech of such third parties, and those third parties would be unable to reallocate that liability to the business, with which the third parties do not have a contractual relationship. In some circumstances, however, the consumer may have a separate contractual relationship with advisers or other third parties that shape the consumer’s expectations and decisions, and separate causes of action may arise under those contracts.

Illustration:

5. A consumer purchases a car from a dealer and does not transact directly with the car's manufacturer. The car comes with an owner's manual from the manufacturer that contains a "limited warranty," which is intended to inform the consumer about the scope of the express warranty provided by the manufacturer. Under subsection (b)(2), the "limited warranty" creates a contractual obligation by the manufacturer to the consumer. Because the "limited warranty" does not create a reasonable expectation by the consumer that the dealer would be obligated on the warranty, it does not become part of the contract between the consumer and the dealer.

8. *Inability to negate or limit the effects of an affirmation or promise.* When a business or third party makes an affirmation or promise that becomes part of the contract between the business and the consumer or creates an obligation of the third party toward the consumer, the effect of that affirmation or promise cannot be negated or limited in the standard contract terms. (See also § 9; cf. UCC § 2-316(1).) Note, however, that when an affirmation of fact or promise contains its own limitation, the affirmation of fact or promise and the limitation must be construed whenever reasonable as consistent with each other, but the limitation is inoperative to the extent that such construction is unreasonable.

9. *Remedy.* Promises that become part of the contract under this Section, if they are not honored by the business or the third party, give rise to standard remedies for breach of contract. Affirmations of fact that become part of the contract under this Section, if not true, give rise to standard remedies for misrepresentation, and, when appropriate, for breach of contract.

10. *Relation to the Uniform Commercial Code and to warranty law.* The rule restated in subsection (a) is consistent with UCC § 2-313 and reflects the application of the "basis of the bargain" principle beyond the sales-of-goods context without the use of that language. The rule restated in subsection (b)(1), while formally broader than UCC § 2-313, derives from the same principle. The rule of subsection (b)(2) goes beyond existing obligations created under the UCC and reflects the Magnuson-Moss Warranty Act, 15 U.S.C. §§ 2301-2312, which contemplates enforceable warranty obligations by remote "suppliers" to consumers, and establishes the format that such warranty statements, when made, must have.

REPORTERS' NOTES

a. Generally. This Section is intended to hold a business, and potentially other third parties, to the truth of affirmations of fact and promises they make directly to consumers in encouraging consumers to enter the consumer contract. Because consumers are largely unaware of the relationship between a retailer and its suppliers—whether these are a single business or a network of separate entities connected via supply contracts—consumers' rights do not depend on the nature of that relationship.

To secure that level of protection for consumers who received precontractual affirmations and promises from third parties, subsection (b)(1) makes a business liable for representations made by third parties, provided that the business knew or had reason to know of the representations and the consumer could have reasonably believed that the business intended to stand behind the representations. Since the business benefits from such representations in terms of consumers' willingness to transact, the business should also be liable for the breach of those representations. This rule is consistent with Uniform Commercial Code § 2-313(1)(b), which states, *inter alia*, that “[a]ny description of the goods which is made part of the basis of the bargain creates an express warranty that the goods shall conform to the description.” A store that displays goods in their boxes thus provides an express warranty that the goods in the boxes will conform to the labels on the boxes. This principle is consistent with the rulings in *Keith v. Buchanan*, 220 Cal. Rptr. 392 (Cal. Ct. App. 1985) (determining that representations made in sales brochure amounted to express warranties); *Beckett v. F. W. Woolworth Co.*, 28 N.E.2d 804 (Ill. App. Ct. 1940) (holding that retailer permitting the sale of mascara with an express warranty on the container and a card assumed responsibility that it was harmless for the use for which it was intended); *Postell v. Boykin Tool & Supply Co.*, 71 S.E.2d 783 (Ga. Ct. App. 1952) (deciding that retailer, in stating that he would stand behind what turned out to be defective paint, knew that purchaser would look to retailer rather than to manufacturer to make good any defect, and retailer sold the paint subject to that condition); *Dorfman v. Nutramax Labs., Inc.*, 2013 WL 5353043 (S.D. Cal. Sept. 23, 2013) (ruling in favor of plaintiff alleging that claims on the label of a joint health supplement were false and misleading insofar as the label stated that the product would protect cartilage and reduce joint pain). But see *In re Hydroxycut Mktg. & Sales Pracs. Litig.*, 299 F.R.D. 648, 657 (S.D. Cal. 2014) (dismissing class-action express-warranty claims because plaintiffs had not specified who made the representations that plaintiffs were exposed to prior to purchasing the products).

Further, to preserve the integrity of precontractual affirmations and promises, the party who makes them in expectation that those affirmations and promises would be part of the contract with the consumer should be held responsible for the truth of its representations, even if that party does not deal directly with the consumer. Thus, subsection (b)(2) allows the consumer to recover not only from the party to the transaction (the retailer) but also from the party originally making the affirmations of facts or promises. This is the case even though the consumer does not have contractual privity with that third party. This rule is consistent with the Magnuson-Moss Warranty Act, 15 U.S.C. §§ 2301-2312, which contemplates liability by a supplier making a warranty to a remote purchaser. The Act applies to a party who is “engaged in the business of making a consumer

product directly or *indirectly* available to consumers.” 15 U.S.C. § 2301(4) (emphasis added). Federal Trade Commission regulations confirm that such remote suppliers are creating an enforceable obligation. For example, “The supplier of the refrigerator [to be installed in a boat or RV] relies on the boat or vehicle assembler to convey the written agreement to the consumer. In this case, the supplier’s written warranty is to a consumer, and is covered by the Act.” 16 C.F.R. § 700.3(c). While such warranty arises in the absence of privity, it only operates between the party making the warranty and the specific persons to whom that party directed its warranty statement—namely, the customer.

Many cases find that an express warranty arises despite the absence of privity. See, e.g., *Kinlaw v. Long Mfg. N.C., Inc.*, 259 S.E.2d 552, 557 (N.C. 1979) (finding absence of privity not fatal to remote buyer’s claim for breach of an express warranty against manufacturer when plaintiff purchased a new tractor from dealer and the tractor came with an owner’s manual from manufacturer); *Stepp v. Takeuchi Mfg. Co. (U.S.)*, 2008 WL 4460268, at *10 (W.D. Wash. Oct. 2, 2008) (“The privity requirement is ‘relaxed,’ however, if the manufacturer makes express representations to the plaintiff and the plaintiff knows of such representation.”); *Cardinal Health 301, Inc. v. Tyco Electronics Corp.*, 87 Cal. Rptr. 3d 5, 27 (Cal. Ct. App. 2008) (finding sufficient privity between a product’s buyer and its manufacturer’s successor, because although successor did not itself engage in negotiations with purchaser as to the initial purchase agreement, it accepted and benefited from those negotiations in taking the place of the original product supplier); *Prairie Prod., Inc. v. Agchem Div.-Pennwalt Corp.*, 514 N.E.2d 1299, 1302 (Ind. Ct. App. 1987) (ruling that written affirmations created an express warranty from defendant corporation to plaintiff despite corporation being a remote manufacturer with no contractual privity). But see *Sanders v. City of Fresno*, 65 Fed. R. Serv. 3d 960 (E.D. Cal. 2006) (holding a victim’s breach-of-warranty claims against a Taser manufacturing company did not fit into the exception to the privity requirement for reliance on the manufacturer’s written representations in labels or advertising materials). See generally James J. White, *Warranty in the Box*, 46 SAN DIEGO L. REV. 733, 751 (2009) (“[T]housands of claims are made against these [third-party] warranties each year, but we find no case in which a remote seller of new goods who has made an express warranty packaged with the product has denied the legal effectiveness of that warranty.”).

Under subsection (c), the obligations arising under this Section cannot be derogated from through less noticeable standard contract terms. There is a concern that businesses would draft express limitations in the standard contract terms intended to undo the effect of precontractual representations. While the stipulation of conditions and limitations is often necessary and permissible, especially when those do not conflict with the precontractual affirmations of fact or promises, they have the potential of reducing or completely eliminating the value to consumers of liability for precontractual representations. Such limitations are inoperable if deceptive (under § 7) or if they negate the reasonably expected effect of the precontractual affirmations and promises (under this Section). A business seeking to limit the liability arising from its precontractual representations must do so as part of the representation itself.

If a business is held liable for representations made by another party in an earlier link along the distribution chain or in the marketing process, it may be entitled to indemnification. That is so even if the business is deemed to have made the same representations (for example, by displaying the product in its store, along with the labels on the box). The business should not bear the ultimate liability for any nonconformity when the business does not have a reasonable opportunity to inspect and discover the existence of the nonconformity. For example, when the business is a retailer that acquires the goods in sealed packages, it might be liable to consumers, but it then has the right to be indemnified by its upstream suppliers. See, e.g., *Ruping v. Great Atl. & Pac. Tea Co.*, 126 N.Y.S.2d 687 (N.Y. App. Div. 1953) (deciding, in regard to a ginger-ale explosion, that if store was found passively negligent it would have been entitled to recover against glass company); *Borchard v. Wefco, Inc.*, 733 P.2d 776 (Idaho 1987) (holding that wholesaler was bound to indemnify retailer because retailer did not make any warranties outside those made by wholesaler on the package). This Section does not take a position on the question of whether the business's right to indemnification covers all or only part of its cost of liability.

§ 9. Standard Contract Terms and the Parol-Evidence Rule

A standard contract term that contradicts, unreasonably limits, or fails to give the effect reasonably expected by a consumer to a prior affirmation of fact or promise by a business does not constitute a final expression of the agreement regarding the subject matter of that term, and does not have the effect under the parol-evidence rule of discharging obligations that would otherwise arise as a result of the prior affirmation of fact or promise.

Comment:

1. Balancing two interests. Consumer contracts, like all contracts, are subject to the parol-evidence rule (Restatement of the Law Second, Contracts §§ 209 to 218). As that rule is stated in Restatement of the Law Second, Contracts § 213, a conclusion that an agreement is partially or completely integrated—that is, that the agreement consists of a writing (including in electronic form) that constitutes a final expression of one or more terms of an agreement—has the effect of discharging prior agreements. In consumer contracts, the finality provided by the parol-evidence rule protects an important interest of the business in certainty and security. But such finality might undermine the interest of consumers in enforcing consumers' reasonable expectations as formed by affirmations of fact or promises made outside the standard contract terms. Since the standard contract terms do not result from a combined effort by both parties to draft a negotiated agreement, there is less justification to view them as a joint affirmative memorialization of a mutually designed agreement, and thus less reason to allow them to override affirmations of fact or promises made to the consumer. Accordingly, when standard contract terms are inconsistent with prior affirmations of fact or promises, this Section denies those terms the preclusive effect of the parol-evidence rule. It accomplishes this by negating the prerequisite for finding an integrated agreement—the conclusion that the standard contract terms constitute a final expression of those terms. This is consistent with § 8, which holds that such affirmations of fact or promises are part of the contract and cannot be undone by standard contract terms (see § 8(c)). Indeed, an attempt to use standard contract terms to contradict or unreasonably limit an affirmation or promise is deceptive under § 7. The result stated in this Section is, therefore, a logical corollary of §§ 7 and 8. Such an attempt to use standard contract terms to contradict or unreasonably limit an affirmation or promise is also procedurally unconscionable under § 6(d). In tandem, these rules protect consumers' expectations that reasonably arise from representations made by the business and that are central to consumers' decision to enter the transaction. (See generally Restatement of the Law Second, Contracts

§ 211(3) and § 211, Comment *f* (providing that standard contract terms that “eviscerate” the terms explicitly represented to consumers, or that “eliminate the dominant purpose of the transaction,” are not enforceable).) This Section is not a complete statement of the parol-evidence rule and does not supplant or derogate from other limitations on the parol-evidence rule that might apply.

Illustrations:

1. A consumer who lives in an area with frequent, heavy snowfalls enters into a contract with a snow-removal business to shovel the consumer’s sidewalk the day following snowfalls of two inches or more. During the negotiations, the business’s representative assures the consumer that all snow removal will be completed by 10 a.m. on the day of removal. This is important to the consumer because a local ordinance requires sidewalks to be shoveled by that time. The written agreement signed by the consumer and the business, however, contains a standard contract term stating that the business promises only to complete snow removal by sunset on the day of removal. That standard contract term contradicts the prior promise that snow will be removed by 10 a.m. Accordingly, the “snow removal by sunset” term in the written agreement does not constitute the parties’ final expression of the timing term.

2. A consumer enters a dealership to buy a vehicle and, after the consumer identifies a satisfactory model for purchase, the dealer promises that delivery will occur within 10 weeks. The time of delivery is important for the consumer because the consumer will be renting a vehicle until delivery. The consumer manifests assent to the transaction by signing the dealership’s Contract for Sale. That document makes no reference to delivery obligations by the seller. It contains a merger clause. The absence of a statement or any reference to the promised delivery does not discharge the obligation of the business that arose from the promise to deliver within 10 weeks.

3. A consumer visits a health club with an interest in becoming a member. After an agent for the club gives the consumer a tour of the facilities and explains membership fees and costs of said membership, the consumer requests an additional period to make a final decision. The agent presents the consumer with a Membership Contract, which the consumer signs after the agent assures the consumer that it will not go into effect upon signing, promising that the consumer may take additional time to make a final decision and give express approval. The standard contract terms in the Membership Contract contain an

initiation term that contradicts the agent's assurance that the agreement will not be effective immediately. The initiation term in the written agreement does not constitute the parties' final expression of agreement regarding the effective date of the membership, and the parol-evidence rule does not bar evidence of the condition precedent represented orally to the consumer.

4. A consumer purchases a mortgage-protection insurance policy and demands and receives an express assurance from an agent of the insurer that upon the consumer's death, the benefit paid to the consumer's spouse will equal the outstanding mortgage balance on their home plus an additional \$50,000. Upon the consumer's death, the insurer pays only the mortgage balance and points to the written provisions of the standard-form insurance policy, which set the benefit to equal the outstanding mortgage balance and contain no reference to the additional \$50,000 benefit. There is no other evidence in the record indicating that the consumer knew or should have known that the policy did not contain the expanded benefit the agent led the consumer to believe would be in it. The parol-evidence rule does not bar evidence of the oral promise that coverage will include an additional \$50,000.

2. Demonstrating prior affirmations of fact or promises. A consumer may demonstrate that a standard contract term contradicts, unreasonably limits, or fails to give the reasonably intended effect to a prior affirmation of fact or promise by a business even when the standard contract term is unambiguous. Accordingly, in consumer contracts, the "four corners test" does not apply, and a determination of integration must be informed by the alleged prior affirmations of fact or promises. (See Restatement of the Law Second, Contracts § 209, Comment *c*.)

3. Merger clauses. Consumer contracts often contain "merger clauses" stating that there are no affirmations of fact, promises, or agreements between the parties except those found in the writing. Because consumers are not likely to notice, read, or understand the effect of such merger clauses, they do not ordinarily control the conclusion of whether the standard contract terms constitute a partially or completely integrated agreement, and thus do not preclude a finding that the standard contract terms do not constitute the parties' final expression of a particular matter.

4. Relation to the Restatement of the Law Second, Contracts, and the Uniform Commercial Code. The rule of this Section supplements the approach taken by Restatement of the Law Second, Contracts § 213. Uniform Commercial Code (UCC) §§ 2-202 and 2A-202, which are similar in

effect to Restatement of the Law Second, Contracts § 213 (although they employ a different structure and different terminology), are also triggered by a “final expression.” As a result, this Section can be used to supplement those UCC provisions.

REPORTERS’ NOTES

a. Generally. The parol-evidence rule, see Restatement of the Law Second, Contracts §§ 209 to 218 (AM. L. INST. 1981), applies to consumer contracts. Indeed, given the reality of consumer contracts, there is a general understanding that the business can set the standard terms of the transaction within reason (see §§ 2 and 5). See, e.g., *Gregorio v. Geico Gen. Ins. Co.*, 815 F. Supp. 2d 1097 (D. Ariz. 2011) (refusing to use the reasonable-expectations doctrine to add coverage that was not in the policy because insurer had an objectively reasonable basis for denying coverage). Accordingly, standard contract terms will often be considered a partially or fully integrated agreement under Restatement of the Law Second, Contracts § 213 (AM. L. INST. 1981).

That result applies unless the standard contract terms contradict, unreasonably limit, or fail to give the reasonably intended effect (from the perspective of a reasonable consumer) to a prior affirmation of fact or promise by the business. The existence of such a prior affirmation of fact or promise, which is inconsistent with the standard contract terms, undermines the prerequisite for finding an integrated agreement—the conclusion that the standard contract terms constitute a final expression of the parties’ intent with respect to those terms. See Restatement of the Law Second, Contracts § 213 (AM. L. INST. 1981). The standard terms, which consumers rarely read, cannot override affirmations of fact or promises that either become part of the basis of the bargain or otherwise inform the consumer’s reasonable expectations. See § 8(c). (This Section does not take a position on the question, on which different jurisdictions might differ, as to what conditions must be satisfied for a precontractual affirmation of fact or promise to create an enforceable obligation.) Indeed, it is deceptive for the business to induce the consumer to contract by making certain affirmations of fact or promises and then to contradict, unreasonably limit, or fail to give effect to those affirmations or promises in the standard contract terms. See § 7(b)(1).

Illustration 2 is based on *Bob Robertson, Inc. v. Webster*, 679 S.W.2d 683 (Tex. App. 1984). Illustration 3 is based on *Our Fair Lady Health Resort v. Miller*, 564 S.W.2d 410 (Tex. Civ. App. 1978). Illustration 4 is based on *Rempel v. Nationwide Life Insurance Company, Inc.*, 370 A.2d 366 (Pa. 1977). See also *Alfa Mut. Ins. Co. v. Northington*, 561 So. 2d 1041 (Ala. 1990).

In the standard contract terms, businesses often include an express, complete integration clause (or “merger clause”) that presents the standard terms as the complete and exclusive expression of the parties’ intent regarding any and all issues relating to the transaction. In consumer contracts, there is no persuasive reason why such a clause, which like other standard terms goes unread by most consumers, could change the legal consequences. Thus, its inclusion does not preclude a finding that the standard contract terms do not constitute the parties’ final expression of a particular matter. While a few courts consider a merger clause as conclusive on the question of complete integration, most courts allow consumers to demonstrate that an affirmation of fact or

promise made to the consumers did not receive its reasonably intended effect in the standard contract terms.

The rules in this Section pertaining to the application of the parol-evidence rule in consumer-contracts cases derive from existing case law. Starting with the traditional analysis, this Restatement focuses on the most recent published decisions by the highest courts. There are 16 states in which the state supreme court, a state appellate court, or a federal appellate court applying state law has weighed in on the application of the parol-evidence rule to consumer contracts. These are Alabama, California, Connecticut, Florida, Idaho, Illinois, Kansas, Louisiana, Minnesota, New York, Ohio, Pennsylvania, Texas, Utah, Washington, and West Virginia.

Those courts have allowed evidence from prior communications to qualify the enforcement of subsequent standard-form terms. In seven cases, the contract included a merger clause. In only one of those did the court explicitly reject the possibility of admitting prior evidence, stating that the merger clause conclusively prevents the admission of parol evidence. See *Yocca v. Pittsburgh Steelers Sports, Inc.*, 854 A.2d 425, 498 (Pa. 2004) (indicating that the integration clause was a “clear sign that the writing is meant to be just that and thereby expresses all of the parties’ negotiations, conversations, and agreements made prior to its execution”). In another case, the court concluded that a clear and unambiguous merger clause precluded the admission of parol evidence. See *Tangren Family Tr. v. Tangren*, 154 P.3d 180 (Utah Ct. App. 2006) (determining that plaintiff had not overcome the presumption that a writing that on its face appears to be an integrated agreement is what it appears to be). In the remaining five cases, courts enumerated the various circumstances under which parol evidence could potentially be admissible, including holding that previous conflicting terms could be a sign that the parties did not intend the standard terms to be the final expression of agreement. See *Lopez v. Reynoso*, 118 P.3d 398 (Wash. Ct. App. 2005); *Colafrancesco v. Crown Pontiac-GMC, Inc.*, 485 So. 2d 1131 (Ala. 1986); *Korff v. Hilton Resorts Corp.*, 506 F. App’x 473 (6th Cir. 2012) (acknowledging a specific merger clause disclaims reliance on specific prior oral representation); *Olah v. Ganley Chevrolet, Inc.*, 946 N.E.2d 771 (Ohio Ct. App. 2010) (interpreting the rule to be that absent fraud, mistake, or other invalidating cause, the parties’ final written integration of their agreement may not be varied, contradicted, or supplemented by evidence of prior or contemporaneous oral agreements, or prior written agreements); *Posey v. Ford Motor Credit Co.*, 111 P.3d 162 (Idaho Ct. App. 2005) (siding with the Uniform Commercial Code parol-evidence provision that was intended to liberalize the common-law rule).

In the absence of a merger clause, courts have admitted parol evidence. In one case, the court explicitly ruled that parol evidence could potentially be admitted even though the writing would presumptively create an integrated agreement. See *Sims v. Honda Motor Co.*, 623 A.2d 995 (Conn. 1993). In the remaining cases, courts did not explicitly rule on that issue, but some allowed parol evidence in particular circumstances, such as when the court determined that the written agreement did not include all the terms that the parties apparently had agreed to, including terms in prior negotiations. See *Kaufman v. Audubon Ford/Audubon Imps., Inc.*, 916 So. 2d 1060 (La. 2005); *George v. Auto. Club of S. Cal.*, 135 Cal. Rptr. 3d 480, 490 (Cal. Ct. App. 2011) (siding

with partial integration, saying “the trial court must provisionally consider parol-evidence allegations, but unless those allegations would support an interpretation to which the contract is reasonably susceptible, a demurrer is properly sustained”); *Life Care Ponte Vedra, Inc. v. Wu*, 162 So. 3d 188 (Fla. Dist. Ct. App. 2015) (subscribing to a partial-integration approach in finding that the trial court erred in failing to consider extrinsic evidence); *CIT Grp./Sales Fin., Inc. v. E-Z Pay Used Cars, Inc.*, 32 P.3d 1197 (Kan. Ct. App. 2001) (commenting that considering evidence that is not inconsistent with the final articulation of the parties’ contractual intent does not violate the parol-evidence rule); *Stanley v. Huntington Nat’l Bank*, 492 F. App’x 456 (4th Cir. 2012) (supporting a presumption of complete integration such that the parol-evidence rule bars the admission of oral statements made prior to or contemporaneously with the execution of a clear and unambiguous contract); *Portfolio Acquisitions, L.L.C. v. Feltman*, 909 N.E.2d 876 (Ill. App. Ct. 2009) (including parol evidence because the parties failed to identify that all the essential terms are in writing and ascertainable from the instrument itself); *William P. Terrell, Inc. v. Miller*, 697 S.W.2d 454 (Tex. App. 1985) (allowing parol evidence because there was no integrated agreement covering the entirety of the transactions).

The rules in this Section gain further support from a comprehensive, empirical examination of cases in federal and state courts available on LexisNexis and Westlaw (excluding employment cases) that address the admission of previous or contemporaneous agreements despite a final standard-form contract. The cases considered start with *Our Fair Lady Health Resort v. Miller*, 564 S.W.2d 410 (Tex. Civ. App. 1978), and end with *Life Care Ponte Vedra, Inc. v. Wu*, 162 So. 3d 188 (Fla. Dist. Ct. App. 2015). The analysis includes 32 cases, including five unpublished cases. The cases span 21 states and eight circuits, including the District of Columbia, and include cases from four state supreme courts, nine state appellate courts, and three federal circuit courts.

In most cases, whether the contract had a merger clause or not, courts have found that, under certain circumstances, prior statements could be admitted in light of a subsequent standard written agreement. Specifically, the courts adopted that position in all but one of the 14 cases in which the contract lacked a merger clause or the court did not discuss one. Among the 18 cases in which the contracts had merger clauses, courts stated that extrinsic evidence could potentially be admitted despite a subsequent integrated agreement in 15 cases and denied that possibility in three cases. Two of those three cases are unpublished, state-appellate-court cases from Michigan and Ohio, and the third is a state-supreme-court case from Pennsylvania. To this date, this is the only published high-court case taking such a position.

In 17 cases, a prior affirmation of fact or promise conflicted with a standard contract. In six of those cases, there was no merger clause. The courts admitted extrinsic evidence in all six cases. In 11 cases, there were merger clauses. Parol evidence was allowed in five of those cases. And of the remaining six cases, in which parol evidence was ultimately not allowed, the courts ruled that parol evidence was presumptively admissible.

Finally, an analysis of the most influential cases in this area, measured by out-of-state and out-of-circuit court citations, reveals results consistent with the approach of this Section. The analysis is restricted to only those cases that have an average of at least two out-of-state citations

per year. Cases in which the court ruled or articulated that evidence of prior agreements could be admissible in light of subsequent integrated consumer standard-form contracts are more likely to be cited than cases in which the court ruled that the presumption is conclusive. The first category is headed by *George*, 135 Cal. Rptr. 3d 480, with 23 total out-of-state citations and over four citations per year, followed by *Force v. ITT Hartford Life and Annuity Insurance Company*, 4 F. Supp. 2d 843 (D. Minn. 1998), with 67 total out-of-state citations and almost four such citations per year. The only case in the second category is *Yocca*, 854 A.2d 425, with 23 total out-of-state citations and over two such citations per year.

§ 10. Effects of Derogation from Mandatory Provisions

(a) If a contract, a term, or any group of terms is found to exclude, limit, or violate any mandatory provision of law, or is otherwise unenforceable, then, in addition to any other remedy, enforcement may be limited in the following ways:

(1) the entire contract may be unenforceable;

(2) the remainder of the contract may be enforced without the derogating term or terms; or

(3) the remainder of the contract may be enforced, with appropriate limits to the effects of the derogating term or terms.

(b) If the remainder of the contract is enforced, a derogating term may be replaced with:

(1) a term that is reasonable in the circumstances, including a term supplied or incorporated under any provision of the law;

(2) a term that effects the minimal correction necessary to bring the contract into compliance with the mandatory rule; or

(3) if the contravening term was placed by the business not in good faith, or if it purports to effect extreme derogation from a mandatory provision of law, a term that is calculated in a manner proportional to the severity and willfulness of the derogation to give the business an incentive to avoid placing such terms in consumer contracts.

Comment:

1. General. This Restatement contains several mandatory rules—rules that cannot be derogated from by agreement of the parties. (See, in particular, § 3(c) (modifications must be made in good faith); § 5(b) (consumer contracts may not include a term purporting to grant the business the unbridled discretion to determine its contractual rights; obligations unrestrained by any good-faith obligation unenforceable); § 6 (unconscionable terms or contracts are unenforceable); § 7 (prohibition against engaging in deceptive acts or practices); § 8 (contract terms limiting or negating affirmations of fact or promises that have become part of the consumer contract are unenforceable).) Consumer contracts are also governed by additional mandatory rules—statutory or otherwise—beyond those in this Restatement, which render specific terms of the contract unenforceable. (See Comment 6.) This Section describes the legal implications of an attempt by

the business to derogate from those mandatory rules. It restates general principles of reformation of contracts and severability, and applies them to consumer contracts. These legal implications are complementary to other remedies available under other law, including contract and tort law. The rules restated in this Section apply when the business seeks to enforce a consumer contract and also when the consumer initiates an action with respect to the consumer contract.

2. *Severability*. When a term in a consumer contract violates a mandatory rule, the court may: (i) refuse to enforce the entire contract, (ii) sever the offending term and enforce the remainder of the contract without it, or (iii) limit the application of the offending term. If the court enforces the contract without the offending term, it may fill the resultant gap (see Comment 3).

The quality and magnitude of reformation of the contract that the court exercises should be proportional to the severity and willfulness of the violation by the business. When the offending term is immaterial, it should be sufficient to sever the term and enforce the remainder of the contract. When the offending term is material, the court is more likely to refuse to enforce the entire contract. The presence of a severability clause in the contract is relevant but not conclusive for severability and enforceability questions.

In certain cases, when the offending term is material, the court may give the consumer a choice between either (i) severing the offending term and enforcing the remainder of the contract, or (ii) treating the entire contract as unenforceable. In deception cases, when the term constitutes a deceptive act or practice under § 7, the consumer may be given that choice even if the term is immaterial.

Illustration:

1. A contract contains a provision that allows the business to amend any of the standard terms at the business's discretion, explicitly disavowing any good-faith or other constraint on the business's discretion. The provision is material, and its effect is to render the contract illusory. The court should give deference to the consumer's choice whether to sever the provision and enforce the remainder of the contract or treat the entire contract as unenforceable.

3. *Gap-filling*. When the court decides to enforce the contract without the offending term, the court may be required to fill a gap left by the unenforceable term. For example, if a price term is excessive and unconscionable, or if a period of limitations is too short and unconscionable, the

term will not be enforced—but what price or limitations period would fill the gap created by the severance? The rule in this Section treats this question as a gap-filling problem. It offers three criteria of gap-filling. The first and principal criterion, stated in subsection (b)(1), requires the gap in the contract to be filled with a reasonable term—the term that reasonable parties would choose in the circumstances. Often, this would be the same gap-filler incorporated under provisions of the law when the contract is silent on the matter. This is the approach to gap-filling found in the Uniform Commercial Code (UCC), Article 2, Part 3. In deception cases, when the term violates § 7 and the consumer elects to avoid only the specific terms that are inconsistent with an affirmation of fact or a promise, the gap created by the removal of the inconsistent term is filled by terms that reflect the affirmation of fact or the promise, supplemented as necessary by legally supplied gap-fillers. This form of redress protects the consumer's reasonable expectations under the contract and allows the consumer to recover the benefit of the bargain.

Often, however, there is a range of reasonable terms, and it is within the court's discretion to choose a reasonable term along that range. If the offending term was placed in the contract by the business in a reasonable attempt to protect a material interest of the business, subsection (b)(2) enables the court to fill the gap while preserving as much of the original agreement as may properly survive the severance of the offending portion. Once the offending feature of the term is removed, the additional protection to which the consumer is entitled ends, and there are no additional grounds for intervention and for further severance.

If, instead, the offending term was placed in the contract by the business not in good faith, for example, when the business knew that the term as drafted included aspects that were unenforceable, subsection (b)(3) enables the court to fill the gap with a term calculated to give the business an incentive to avoid such drafting. In that case, the invalidated term is replaced with a term that operates against the business to an extent proportionate to the deviation from good faith. (Compare the interpretation principle of *contra proferentem* in Restatement of the Law Second, Contracts § 206.)

Illustrations:

2. A contract contains an arbitration clause that requires consumers to arbitrate under the auspices of a specified arbitration forum. The clause is unconscionable under § 6 because the named arbitration forum is known for using pro-business, biased arbitrators. If the business did not know about this bias and chose the arbitration forum innocently,

subsection (b)(1) allows the court to replace the contractually specified arbitration forum with another arbitration forum that the court considers most reasonable in the circumstances, reflecting the most common market practices in similar transactions. Subsection (b)(2) allows the court to replace the contractually specified forum with arbitration that most resembles the proceedings in the named forum, but one that is free from bias. This solution preserves, as much as possible, the original agreement and should apply only if the business was not aware of the scam when it named the arbitration forum in its contract. Additionally, subsection (b)(3) allows the court to replace the biased arbitration forum with a dispute-resolution clause that gives the business an incentive to avoid drafting such terms. For example, the court may let the consumer choose a forum, including litigation in court. This solution should apply if the business knew about the arbitrators' bias.

3. A contract contains an arbitration clause that requires consumers to arbitrate at a forum that charges a filing fee that is held to be excessively high and thus unconscionable under § 6. If the business should have known with reasonable certainty that this element of the arbitration clause would unreasonably limit the consumer's ability to pursue or express a complaint or seek reasonable redress for a violation of a legal right, the entire arbitration clause may be severed under subsection (b)(3), and the consumer may then be entitled to bring an action in court. If, instead, the inclusion of the unconscionable element was done in good faith, the court may decide to sever only the offending element (say, by allowing the business to reimburse the consumer for the excessive portion of the filing fee or by switching to arbitration in a different forum that does not charge the high filing fee).

4. A consumer borrows \$5000 under a three-year, unsecured loan contract carrying an interest rate of 135 percent. The interest rate is unconscionable under § 6. The court may adjust the interest rate to reflect the rate prevailing for similar loans (under subsection (b)(1)). Alternatively, the court may adjust the interest rate to the highest level that, in the circumstances, is not substantively unconscionable (under subsection (b)(2)). If the court concludes that the violation was deliberate and in not in good faith, it may, under subsection (b)(3), further reduce the interest rate. These adjustments of the interest rate are in addition to any other sanctions stipulated by law.

5. A contract contains a service-warranty provision but grants the business the power to modify the terms of the warranty and apply the new terms to past transactions entered into prior to the modification. The warranty-service agreement explicitly conflicts with the requirements of §§ 3 and 5. The court may substitute a reasonable warranty clause (under subsection (b)(1)) or merely remove the retroactivity element (under subsection (b)(2)). If the court concludes that the violation was deliberate, it may substitute a warranty-service agreement that is especially protective of consumers (under subsection (b)(3)).

4. Extreme derogation from mandatory provisions of law. If the violating term is plainly illegal, deviating in an extreme manner from the bounds of permissible contracting, such that any competent lawyer could recognize its unenforceability and could draft in a straightforward manner a provision that does not impose such extreme derogation, subsection (b)(3) should apply, even if it cannot be shown that the business deliberately deviated from the standards of good faith.

Illustration:

6. A contract contains an exculpatory clause that absolves the business from liability for personal injuries due to any factor, including gross negligence and intentional wrongdoing. A consumer was injured due to ordinary negligence of the business. Because of the substantial overbreadth of the clause, the court may decline to narrow the exculpatory clause and, instead, under subsection (b)(3), strike it entirely, even without a finding a deliberate deviation from the standards of good faith on the part of the business. As a result, even if courts in the jurisdiction generally enforce exculpatory clauses for ordinary negligence, the result of striking the exculpatory clause entirely is to allow a consumer to bring a claim for ordinary negligence.

5. Enforcement by the consumer. While an offending contract or term cannot be enforced by the business against the consumer, the consumer has no obligation to assert that the contract or term is not enforceable and may choose to obtain the benefit of the agreement. If the consumer so chooses, the business may not assert that the contract or term is not enforceable.

6. Other invalidating causes. The methodology laid out in this Section also applies to situations in which a contract or term is found to violate mandatory rules that are not restated here. For example, when a term is unenforceable because it is against public policy, or when it violates

a statute, courts may need to supply an alternative term, and the three gap-filling approaches in subsection (b) of this Section provide guidance.

Illustration:

7. A contract contains an early-termination fee that the court holds to be excessive and thus unenforceable under the doctrine that requires liquidated damages to be reasonable (but the court does not determine the fee to be unconscionable). Under subsection (b)(1), the court may replace the fee with a reasonable fee. Under subsection (b)(2), the court may merely reduce the fee to the highest level that it determines is permissible under the penalty doctrine as applied to liquidated damages. Under subsection (b)(3), if the court determines that the excessive fee was included not in good faith, the court may reduce it to zero.

7. *Severability and savings clauses.* Contracts often include standard contract terms that purport to resolve the reformation and gap-filling functions addressed by this Section. Such severability or savings clauses typically involve an instruction to partially enforce a provision in case it is found to violate legal limits, and do so “to the maximum extent permitted by law.” Those contractual clauses may be given effect unless they conflict with the rules in this Section. For example, if it is found that the contravening term was placed by the business not in good faith, in circumstances that justify its replacement with a term calculated to give the business an incentive to avoid such drafting, the rule in subsection (b)(3) should override conflicting instructions in the standard contract terms.

8. *Relation to Restatement of the Law Second, Contracts; the Uniform Commercial Code; and other law.* The rules of this Section are consistent with the approaches taken by courts when a term is deemed unconscionable under the provisions of the UCC and the Restatement of the Law Second, Contracts (as explained in the preceding Comments). This Section goes further, however, restating the criteria courts deploy in adjusting the gap-filler to the circumstances that led to the inclusion of the offending term. It allows courts to choose the appropriate degree to which the gap-filler is more favorable to the consumer than the term found to be in violation, depending on whether the violation was innocent or the court sees a need to discourage the business from overreaching. Nothing in this Restatement is intended to replace causes of action or defenses arising under the common law not expressly addressed herein.

REPORTERS' NOTES

a. Generally. The legal consequences of a term that attempts to derogate from a mandatory rule are restated in this Section. This Section begins by following the language of the Uniform Commercial Code § 2-302 and Restatement of the Law Second, Contracts § 208 (AM. L. INST. 1981). While that language was originally developed to govern the consequences of an unconscionability finding, it applies more broadly to any contract or term that violates a mandatory rule.

When a term attempts to derogate from a mandatory rule, the court can choose to not enforce the contract at all, to sever the offending term and enforce the remainder of the contract, or to limit the application of the offending term. That decision is influenced by the materiality of the offending term. An immaterial term is more likely to be severed, allowing for the enforcement of the remainder of the contract. If the offending term is material, the court is more likely to deem the entire contract unenforceable.

When the court decides to sever the offending term and enforce the remainder of the contract, it may need to fill a gap left by the severed term. The latter part of this Section addresses this gap-filling problem. It identifies three criteria that have been followed in the case law. See generally Omri Ben-Shahar, *Fixing Unfair Contracts*, 63 STANFORD L. REV. 869 (2011); Bailey Kuklin, *On the Knowing Inclusion of Unenforceable Contract and Lease Terms*, 56 U. CIN. L. REV. 845 (1988).

The first and most widely used criterion for filling gaps left by unenforceable terms, stated in subsection (b)(1), is the reasonableness criterion: replace the offending term with the most reasonable alternative. For example, when the court strikes an arbitration term that picked a forum too inconvenient to the consumer, it would replace it with the arbitration forum that the court deems most reasonable. Or, if a court invalidates a liquidated-damages clause or early-termination fee that is overcompensatory, it would replace it with standard expectation damages.

But the range of reasonable terms is often broad, and circumstances might justify choosing a gap-filler at either end of that range. One such circumstance is when the offending term was placed innocently, without intent by the business to overreach. Under that circumstance, a court is more likely to follow the second criterion for gap-filling, stated in subsection (b)(2), which is minimal intervention: adjust the contract minimally—only to the extent necessary to bring it across the enforceability threshold. Stated by Corbin, in the unconscionability context, “a contract that requires a payment of a very high interest will be enforced, *up to the point at which unconscionability becomes an operative factor*.” 1 ARTHUR LINTON CORBIN, CORBIN ON CONTRACTS § 129, at 556 (1963) (emphasis added). Corbin recognizes this rationale: “[T]he line [representing the enforceable term] must be drawn somewhere, and it is drawn at the point where the protection to which the buyer is justly entitled ends.” Arthur L. Corbin, *A Comment on Beit v. Beit*, 23 CONN. B.J. 43, 46 (1949). “Partial enforcement [of a contract term] involves much less of a variation from the effects intended by the parties than total non-enforcement would.” *Id.* at 50. This criterion is consistent with the language of severability clauses that appear in many standard-form contracts, which stipulate that if any provision of the agreement shall be held illegal or

unenforceable, that provision shall be limited or eliminated to the minimum extent necessary so that the agreement shall otherwise remain in full effect. It is also consistent with the doctrine of partial enforcement and the way it is applied when noncompetition clauses are found to be unenforceable. As stated by one court, the restraint is “not enforceable beyond a time or area considered reasonable by the [c]ourt.” *Justin Belt Co. v. Yost*, 502 S.W.2d 681, 685 (Tex. 1973). This criterion may effectively apply when the defendant is proposing to replace the unenforceable element with one that the court deems acceptable. For example, if the court regards a particular arbitration tribunal as too inconvenient and unreasonable, the court may replace the tribunal with another forum proposed by the business, as long as it is within reason.

The third criterion for filling gaps left by unenforceable terms, stated in subsection (b)(3), is replacing the offending term with the term least favorable to the business. It is justified as a mode of deterrence against deliberate overreaching, calculated to give the business an incentive not to overreach. It should be applied only when the court determines that the business included the term knowing that it was unenforceable, or when the business can be charged with such knowledge. This added deterrence is needed, because, if the drafting party expects that the court would only strike the excessive increment, what incentive does it have to avoid overreaching? Such stronger intervention has been implemented even in the absence of a finding regarding the business’s good faith when the offending term was “extreme.” See *Broadley v. Mashpee Neck Marina, Inc.*, 471 F.3d 272, 275, 276 (1st Cir. 2006) (striking the exculpatory clause entirely and refusing to narrow it and to enforce its permissible component; explaining that even though “[t]here is no finding in this case as to the good or bad faith of the” business, “[i]n declining to narrow the exculpatory clause, we rely on the extreme overbreadth of the clause and the plainness of its illegality. . . . Any competent lawyer could write a straightforward exclusion of liability for negligence that we would sustain”). Similar interventions can be found in other areas of standard-form contracting, for example in employment cases in which employers insert restraints knowing them to be unenforceable. In *Central Adjustment Bureau, Inc. v. Ingram*, the court notes:

We recognize the force of the objection that judicial modification could permit an employer to insert oppressive and unnecessary restrictions into a contract knowing that the courts can modify and enforce the covenant on reasonable terms. . . . [T]he employer may have nothing to lose by going to court, thereby provoking needless litigation. If there is credible evidence to sustain a finding that a contract is deliberately unreasonable and oppressive, then the covenant is invalid.

678 S.W.2d 28, 37 (Tenn. 1984). See also *Jenkins v. Jenkins Irrigation, Inc.*, 259 S.E.2d 47, 51 (Ga. 1979) (holding that when unreasonably broad territorial restrictions were found in noncompete covenants related to the sale of a business, the court would enjoin the seller from competing in only that area shown by clear and convincing evidence to be essential to protect the buyer); *Walker v. Sheldon*, 179 N.E.2d 497 (N.Y. 1961) (holding that punitive damages would be justified in a case in which fraudulent transactions were not part of an isolated incident on the part of an otherwise legitimate business, but were the very basis of the business). It is also consistent with punitive provisions in statutes addressing violations of permissible contracting, e.g., Fair

Labor Standards Act of 1938, 29 U.S.C. § 216(b) (awarding an aggrieved employee who was paid less than minimum wage double the unpaid wages); Alabama Small Loan Act, ALA. CODE § 5-18-15.1 (2023) (reducing the finance charge in a loan that violated the maximum permissible finance charge to zero dollars, in addition to levying fines on the lender, if the excess charge was deliberate or in reckless disregard of the permitted limits).

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